華邦電(2344)　BUY

■台灣 50　□中型 100　□MSCI

元富投顧研究部
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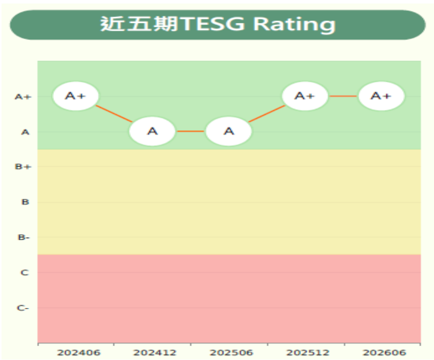
評等	
日期:	2026/8/11
目前收盤價 (NT$):	179.5
目標價 (NT$):	225
52 週最高最低(NT$):	18-222
加權指數:	44928.76

公司基本資料	
股本 (NT$/mn):	45,000
市值 (NT$/mn):	807,750
市值 (US$/mn):	26,925
20 日平均成交量(仟股):	126,947
PER (2026):	7.35
PBR (2026):	3.75
外資持股比率:	16.63
TCRI	4

股價表現	1-m	3-m	6-m
絕對報酬率(%)	1.7	67.8	73.4
加權指數報酬率	-0.9	8.0	35.9

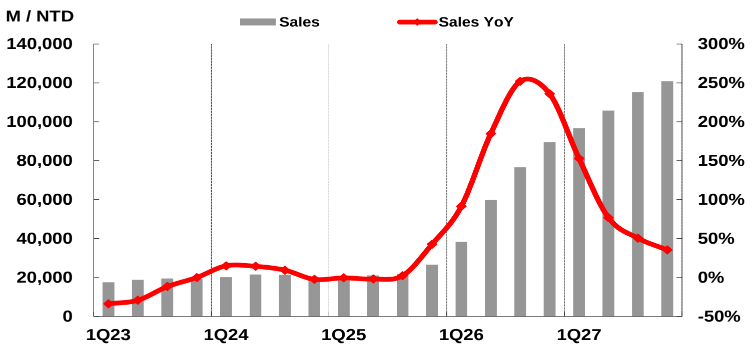
2026 Key Changes	Current	Previous
評等	BUY	BUY
目標價 (NT$)	225	121
營業收入 (NT$/mn)	264,139	203,105
毛利率 (%)	68.41	60.32
營益率 (%)	52.55	44.02
EPS (NT$)	24.43	15.50
BVPS(NT$)	47.89	38.95



獲利和資本支出展望皆上修

- 2Q26 營收 598 億元(+56%QoQ)，CMS 業務 ASP 漲幅高於 Flash 業務，毛利率提升至 66.2%，營業利益 289.7 億元(+131%QoQ)，EPS 5.4 元優於預期之 3.67 元。展望 3Q26，DRAM 和 Flash 漲價循環皆延續，估計 3Q26 營收 766 億元(QoQ+28%)，EPS 7.52 元。
- 2027 年 CMS 出貨量成長來自於高雄廠產能提升和 16nm 製程轉換效益，應用需求則以 eSSD 最為看好，可望占 CMS 業務 10%營收。此外，最新世代 AI 機櫃 NOR Flash 用量高達 500-600 顆，華邦市占高達 40-50%，2027 年 Flash 位元成長上看 40%+並優於今年之 20%+，其中 SLC NAND 出貨成長性將優於 NOR Flash。
- 明年高雄廠 DRAM 產能提升至 24K 仍無法滿足客戶需求，已有大量客戶想與公司簽訂 LTA，故高雄廠將啟動 Module B 擴建計畫，2027 年 1 月動工，2029 年底量產，並投入 12nm、14nm 和 16nm，依照無塵室空間，整個投資計畫至多可新增 50-60K 投片產能，但第一階段僅先安裝 10-20K 產能，EUV 需待第二階段擴產才會導入，Module B 產能已有客戶洽談 LTA。
- 2026 年和 2027 年 EPS 分別上修至 24.43 元和 47.63 元。考量今明年獲利持續上修，並啟動高雄廠擴產計畫，維持買進，TP 225 元。

Exhibit 1: 營收與營收 YOY



Sources : Masterlink

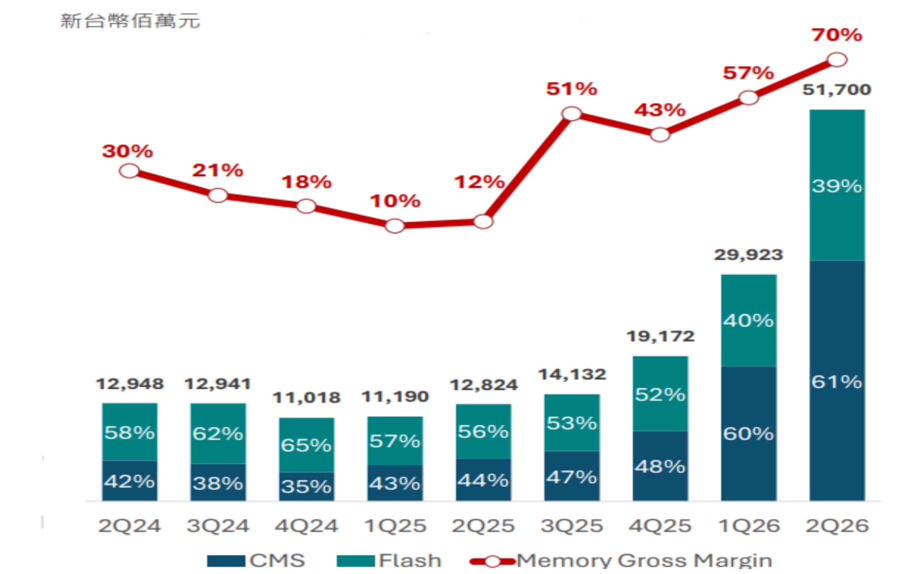
Exhibit 2: TESG 企業永續指標

Source：TEJ

華邦電為利基型記憶體製造廠，可根據產業市況彈性調整 DRAM 和 Flash 產能分配

華邦電合併營收包含記憶體業務以及新唐，就記憶體業務營收結構而言，Flash 和 CMS(Specialty DRAM)業務分別占 2Q26 營收比重為 61%以及 39%。以產品應用而言，通訊電子、電腦、消費性電子、車用及工業用分別占 2Q26 記憶體業務 29%、15%、28%、28%，其中以通訊營收+74%QoQ 表現最佳。主要客戶包含手機廠商、歐美日汽車廠以及 NB 廠商。華邦電 2026 年資本支出為 395 億元遠高於 2025 年之 55 億元，生產設備約占 95%，高雄廠年底月產能提升 24K，至於台中廠月產能則為 51-52K，其中 DRAM 產能由 12K 降至 7K，公司可根據產業市況彈性調整 DRAM 和 Flash 產能分配。至於市場期待的 CUBE 以及矽電容業務，公司定調此兩業務將帶動 2027 年後新一輪成長。

華邦電記憶體業務產品組合和毛利率



Source：Company

2Q26 EPS 5.4 元優於預期，3Q26 記憶體漲價趨勢將延續

2Q26 營收 598.4 億元(+56%QoQ)，成長主要來自於記憶體業務，其中 CMS 業務 ASP 漲幅高於 Flash 業務，毛利率 66.2%優於於前季 53.4%，營業利益 289.7 億元(+131%QoQ)，業外認列收益 10.39 億元，稅後純益 243.1 億元(+140%QoQ)，EPS 5.4 元優於預期之 3.67 元。展望 3Q26，不論 DRAM 或是 Flash 漲價循環皆延續，估計 3Q26 營收 766.1 億元(QoQ+28%)，受惠於記憶體業務出貨 ASP 持續上揚，毛利率提升至 71.7%，EPS 7.52 元。

華邦電 2Q26 營收獲利

NT$mn	1Q26	2Q26 (A)	2Q26 (E)	較預期相比	QOQ	YoY	累計 YOY
Net sales	38,253	59,843	48,263	24.0%	56.4%	184.7%	139.2%
Margin %	53.4%	66.2%	60.5%				
Operating profit	12,550	28,979	21,063	38%	130.9%	虧轉盈	虧轉盈
Total non-ope inc.	138	1,039	120				
Pre-tax profit	12,688	30,018	21,183				
Net profit	10,114	24,317	16,523	47%	140.4%	虧轉盈	虧轉盈
EPS	2.25	5.40	3.67				

Source：Company、Masterlink

不論 CMS 或是 Flash 業務供不應，及價格上漲趨勢尚未看到終點

在 CMS 業務方面，2Q26 CMS 營收+78%QoQ，成長主要來自價格上漲。AI GPU/CPU/ASIC 驅動的 HBM、DDR5 和 LP DDR5 需求大幅成長，AI 基礎建設則帶動 eSSD、SmartNIC 與 BMC 採用更高規格 DRAM 因應高速資料處理、傳輸和系統管理要求，至於非 AI 應用產能受限，原廠對客戶擁有更佳之產品訂價能力。在產業供給方面，雖供應商整體擴充產能，但產能規劃將搭配客戶長約需求，並減少 DDR4 和 LP DDR4 等成熟製程產能產出，產業供不應求將延續數季，集邦預估 3Q26 傳統型 DRAM 價格季增 13-18%。2027 年華邦出貨量成長主要來自於高雄廠產能提升以及 16nm 製程轉換效益，至於應用需求則以 eSSD 最為看好，可望占華邦 CMS 業務 10%營收。

在 Flash 業務上，2Q26 Flash 營收+65%QoQ，量價皆較上季成長。最新世代 AI 機櫃 NOR Flash 用量高達 500-600 顆，華邦市占高達 40-50%，AI 應用為 High Density 出貨成長最佳領域，至於 SLC NAND 除受惠於國際大廠退出 2D NAND 市場，以及 eMMC 供不應求致使客戶回頭採購 SLC Flash，價格漲勢以及毛利率皆優於 NOR Flash。華邦 2027 年 Flash 產能將由 40K 提升至 50K，位元成長上看 40%+並優於今年之 20%+，其中 SLC NAND 出貨成長性將優於 NOR Flash，公司冀望挑戰 SLC NAND 市占龍頭目標。

SLC NAND Flash 合約價格漲勢預估

	1H26	2H26E
SLC NAND	up 130~150%	up 120~170%

Source：Trendforce

高雄廠將啟動 Module B 投資，2029 年產能開出

由於目前 DRAM 供給極為吃緊，即便明年高雄廠產能提升至 24K 仍無法滿足客戶需求，已有大量客戶想與公司簽訂 LTA，故高雄廠將啟動 Module B 擴建計畫，2027 年 1 月動工，目標於 2029 年初導入設備，2029 年中開始試產，2029 年底量產，並投入 12nm、14nm 和 16nm，依照無塵室空間，整個投資計畫至多可新增 50-60K 投片產能，但第一階段僅先安裝 10-20K 產能，EUV 需待第二階段擴產才會導入，Module B 產能已有客戶洽談 LTA。此外，公司表示目前出貨以季合約價為主，並未揭露 LTA 客戶營收占比。

維持買進，目標價 225 元

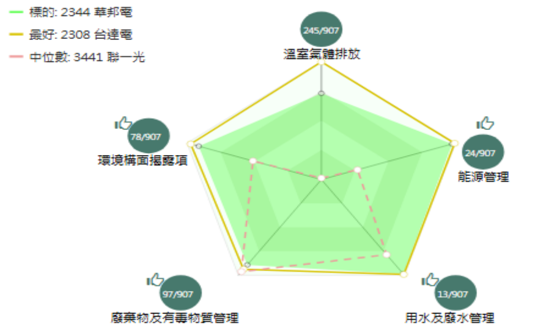
2026 年和 2027 年 EPS 分別上修至 24.43 元和 47.63 元。考量今明年獲利持續上修，並啟動高雄廠擴產計畫，維持買進評等，TP 225 元(2027 PBR x 2.6)。

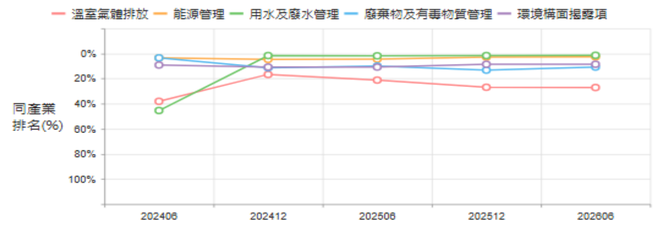
TESG 企業永續指標(分項指標)

環境 Environmental

SASB主產業排名

SASB主產業排名 18 / 907





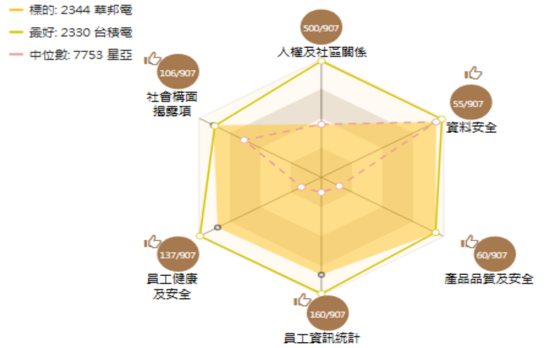
環境構面分析

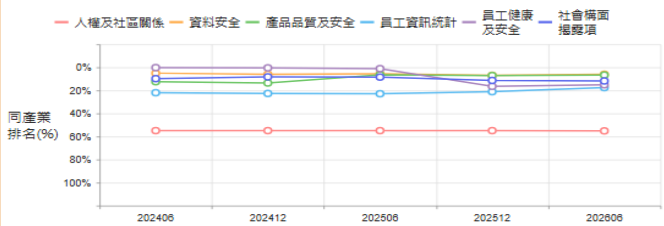
- 溫室氣體排放於SASB主產業排名為中前，位居27.0%，近三期排名下降5.9%。
- 能源管理於SASB主產業排名為領先，位居2.6%。
- 用水及廢水管理於SASB主產業排名為領先，位居1.4%。
- 廢棄物及有毒物質管理於SASB主產業排名為領先，位居10.7%。
- 環境構面揭露項於SASB主產業排名為領先，位居8.6%。

社會 Social

SASB主產業排名

SASB主產業排名 11 / 907





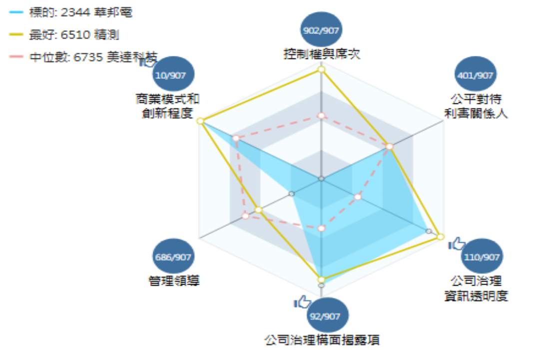
社會構面分析

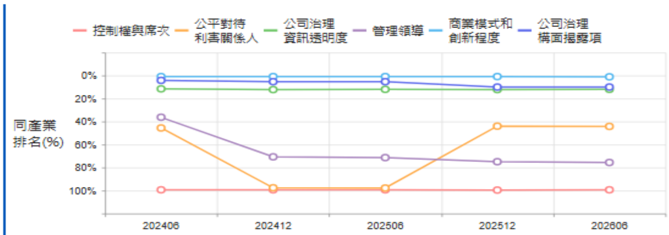
- 人權及社區關係於SASB主產業排名為居中，位居55.1%。
- 資安及客戶隱私於SASB主產業排名為領先，位居6.1%。
- 產品品質及安全於SASB主產業排名為領先，位居6.6%。
- 員工統計於SASB主產業排名為領先，位居17.6%，近三期排名上升5.2%。
- 員工健康及安全於SASB主產業排名為領先，位居15.1%，近三期排名下降13.9%。
- 社會揭露項於SASB主產業排名為領先，位居11.7%。

治理 Governance

SASB主產業排名

SASB主產業排名 310 / 907





治理構面分析

- 控制股權與席次於SASB主產業排名為落後，位居99.4%。
- 公平對待利害關係人於SASB主產業排名為居中，位居44.2%，近三期排名上升53.5%。
- 公司治理資訊透明度於SASB主產業排名為領先，位居12.1%。
- 管理領導於SASB主產業排名為中後，位居75.6%。
- 商業模式和創新於SASB主產業排名為領先，位居1.1%。
- 公司治理構面揭露項於SASB主產業排名為領先，位居10.1%。

資料來源：TEJ

Comprehensive income statement				NT$m
Year-end Dec. 31	FY24	FY25	FY26E	FY27F
	IFRS	IFRS	IFRS	IFRS
Net sales	81,610	89,406	264,139	438,496
COGS	57,609	58,210	83,436	109,900
Gross profit	24,001	31,196	180,703	328,596
Operating expense	23,494	25,662	41,901	52,936
Operating profit	**507**	**5,534**	**138,802**	**275,660**
Total non-operate. Inc.	604	-924	1,167	350
Pre-tax profit	1,112	4,610	139,969	276,010
Total Net profit	710	3,177	110,181	215,288
Minority	109	-784	225	940
Net Profit	**601**	**3,962**	**109,957**	**214,348**
EPS (NT$)	**0.14**	**0.88**	**24.43**	**47.63**
Y/Y %	**FY24**	**FY25**	**FY26E**	**FY27F**
Sales	8.8	9.6	195.4	66.0
Gross profit	7.2	30.0	479.2	81.8
Operating profit	虧轉盈	990.6	2,408.0	98.6
Pre-tax profit	虧轉盈	314.7	2,935.9	97.2
Net profit	虧轉盈	559.2	2,675.3	94.9
EPS	(148.9)	530.1	2,675.3	94.9
Margins %	**FY24**	**FY25**	**FY26E**	**FY27F**
Gross	29.4	34.9	68.4	74.9
Operating	0.6	6.2	52.5	62.9
EBITDA	18.0	20.6	59.8	67.7
Pre-tax	1.4	5.2	53.0	62.9
Net	**0.7**	**4.4**	**41.6**	**48.9**

Consolidated Balance Sheet				NT$m
Year-end Dec. 31	FY24	FY25	FY26E	FY27F
	IFRS	IFRS	IFRS	IFRS
Cash	14,100	15,734	64,344	110,197
Marketable securities	8,318	13,150	13,150	13,150
A/R & N/R	10,061	16,071	38,617	64,108
Inventory	24,201	25,758	34,765	45,792
Others	2,633	2,281	2,281	2,281
Total current asset	59,314	72,995	153,157	235,528
Long-term invest.	10,833	19,017	19,017	19,017
Total fixed assets	100,252	93,800	133,300	233,300
Total other assets	6,368	5,071	5,071	5,071
Total assets	**177,784**	**192,192**	**310,546**	**492,916**
Short-term Borrow	2,120	2,739	2,739	2,739
A/P &N/P	7,061	8,224	10,954	14,429
Other current liab.	32,151	35,219	50,388	67,686
Total current liab.	41,332	46,183	64,082	84,854
L-T borrows	31,128	26,399	21,399	11,398
Other L-T liab.	3,931	3,228	3,228	3,229
Total liability.	**78,625**	**78,062**	**88,709**	**99,481**
Common stocks	45,000	45,000	45,000	45,000
Reserves	13,699	13,752	13,752	13,752
Retain earnings	32,952	49,184	163,085	334,683
Total Equity	**99,159**	**114,130**	**221,837**	**393,434**
Total Liab. & Equity	**177,784**	**192,192**	**310,546**	**492,916**

Comprehensive Quarterly Income Statement				
	1Q26	2Q26	3Q26E	4Q26F
	IFRS	IFRS	IFRS	IFRS
Net sales	38,253	59,843	76,619	89,424
Gross profit	20,415	39,645	54,919	65,724
Operating profit	12,550	28,979	43,581	53,691
Total non-ope inc.	138	1,039	-30	20
Pre-tax profit	12,688	30,018	43,551	53,711
Net profit	10,114	24,317	33,835	41,690
EPS	2.25	5.40	7.52	9.26
Y/Y %	**1Q26**	**2Q26**	**3Q26E**	**4Q26F**
Net sales	91.3	184.7	251.9	235.9
Gross profit	298.6	732.4	440.2	489.6
Operating profit	虧轉盈	虧轉盈	1,076.9	1,212.1
Net profit	虧轉盈	虧轉盈	1,049.6	1,118.2
Q/Q %	**1Q26**	**2Q26**	**3Q26E**	**4Q26F**
Net sales	43.7	56.4	28.0	16.7
Gross profit	83.2	94.2	38.5	19.7
Operating profit	206.7	130.9	50.4	23.2
Net profit	195.5	140.4	39.1	23.2
Margins %	**1Q26**	**2Q26**	**3Q26E**	**4Q26F**
Gross	53.4	66.2	71.7	73.5
Operating	32.8	48.4	56.9	60.0
Net	26.4	40.6	44.2	46.6

Consolidated Statement of Cash flow				NT$m
Year-end Dec. 31	FY24	FY25	FY26E	FY27F
	IFRS	IFRS	IFRS	IFRS
Net income	601	3,962	109,957	214,348
Dep & Amort	12,699	12,806	17,498	20,498
Investment income	-221	-120	-273	-200
Changes in W/C	-422	-6,516	-28,822	-33,043
Other adjustment	-1,531	1,051	-3,000	-3,000
Cash flow – ope.	**11,126**	**11,183**	**95,360**	**198,603**
Capex	-16,122	-6,492	-39,500	-100,000
Change in L-T inv.	0	0	0	0
Other adjustment	-536	-1,166	0	0
Cash flow –inve.	**-16,658**	**-7,658**	**-39,500**	**-100,000**
Free cash flow	-4,996	4,691	55,860	98,603
Inc. (Dec.) debt	-2,875	4,135	-5,000	-10,000
Cash dividend	0	0	-2,250	-42,750
Other adjustment	5,402	-5,697	0	0
Cash flow-Fin.	**2,527**	**-1,561**	**-7,250**	**-52,750**
Exchange influence	**143**	**-330**	**0**	**0**
Change in Cash	**-2,862**	**1,633**	**48,610**	**45,853**

Ratio Analysis				
Year-end Dec. 31	FY24	FY25	FY26F	FY27F
ROA	0.33	2.14	43.74	53.36
ROE	0.60	3.72	65.46	69.68

Option exp. in R.O.C. GAAP & IFRS
MasterLink Securities – Stock Rating System
STRONG BUY: Total return expected to appreciate 50% or more over a 3-month period.
BUY: Total return expected to appreciate 15% to 50% over a 3-month period.
HOLD: Total return expected to be between 15% to –15% over a 3-month period.
SELL: Total return expected to depreciate 15% or more over a 3-month period.

個股聚焦

2026/8/11

產業類別	IC 封測
投資建議	買進
收盤價 NT$ 248.50	6 個月目標價 NT$ 320.00

本次報告：財報公布

交易資料	
潛在報酬率 (%)	28.77
52 週還原收盤價區間 (NT$)	120.99-335.92
市值 (NT$百萬元)	319020
市值 (US$百萬美元)	9,898
流通在外股數 (百萬股)	1,284.00
董監持股 (%)	8.05
外資持股 (%)	29.14
投信持股 (%)	8.19
融資使用率 (%)	6.45

財務資料	2025
股東權益 (NT$百萬元)	50,429
ROA (%)	11.73
ROE (%)	23.51
淨負債比率 (%)	50.15

公司簡介

京元電為國內 IC 測試大廠，主要提供前段晶圓測試(CP)及後段 IC 成品測試(FT)、預燒等服務，近年透過自製測試設備增加取得 AI 客戶信任，同時降低封裝業務來改善公司平均獲利能力。2Q26 營收產品組合為晶圓測試 29.6%、產品測試 61%、產品預燒 7.7%、封裝 1.3%、其他 0.4%。應用別營收比重為消費性電子 30.3%、通訊 17.5%、數據處理與儲存 36.3%、汽車電子 13.0%、工業 2.5%、其他 0.4%。

主要客戶：如聯發科、韋爾半導體、AMD(Xilinx)、意法半導體等
主要競爭對手：日月光、矽格等

王彥鈞 stanley.wang@sinopac.com

京元電子 (2449 TT)

忍一時風平浪靜，第四季海闊天空

永豐觀點

3Q26 營運短期波折，4Q26 起重返高速成長軌道，2027 年營收成長逾 40%。

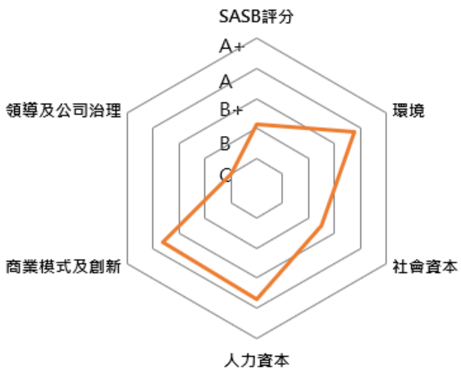
投資評價與建議

目標價降至 320 元：京元電短期遭遇逆風，然 4Q26 起將迎來強勁成長，係考量(1) 主要客戶 XPU 新平台放量、且 CPU 機櫃獨立銷售後，CPU 測試需求可望同步提升，(2) IC 設計客戶的 TPU 預期在 4Q26 放量，(3) 另一 IC 設計服務客戶的 CPU 需求快速成長，產能建置多落在 2026 年底，使 2027 年營運動能可期。惟須留意產能快速擴張下的營業費用增加。評價面，以 2027 年修正後 EPS 推算目前 PER 約 18x，位於近年中間，考量 2026-2027 年公司進入高速成長期，維持買進建議，目標價隨獲利調整至 320 元(23x 2027 EPS(F))。

ESG 評析

京元電企業永續評鑑整體為 B+等，於 SASB 產業永續議題與跨產業五大永續面向平均得分分別為 B+等與 B+等。

SinoPac+ ESG 評鑑系統評等



永續構面		評等
總分		B+
SASB評分		B+
跨產業ESG評分		B+
跨產業ESG項目	環境	A
	社會資本	B+
	人力資本	A
	商業模式及創新	A
	領導及公司治理	C

資料來源：SinoPac+ ESG 評等 (依循 2023 SinoPac+企業永續評鑑方法學)
註 1：資誠永續發展服務股份有限公司僅於 E S G評鑑系統方法學建置過程中，就評分指標提供專業意見，對於評分結果及評估報告內容之完整性及真實性，不負擔保責任，亦不對閱讀或使用本評估報告之第三方負任何責任。
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營運現況與分析

京元電為國內 IC 測試大廠：成立於 1987 年，主要提供前段晶圓測試(CP)及後段 IC 成品測試(FT)、預燒等服務，近年透過自製測試設備增加取得 AI 客戶信任，同時降低封裝業務來改善公司平均獲利能力。2Q26 營收產品組合為晶圓測試 29.6%、產品測試 61%、產品預燒 7.7%、封裝 1.3%、其他 0.4%。應用別營收比重為消費性電子 30.3%、通訊 17.5%、數據處理與儲存 36.3%、汽車電子 13.0%、工業 2.5%、其他 0.4%。目前主要生產據點位於桃園楊梅、苗栗竹南、苗栗頭份、苗栗銅鑼廠區，並正在新加坡、美國等地進行佈局。主要客戶包含全球主要半導體公司，如聯發科、韋爾半導體、AMD(Xilinx)、意法半導體等，主要競爭對手為日月光、矽格等。

2Q26 本業獲利低於預期：京元電 2Q26 受惠於資料處理相關需求續放大、工業及車用需求回升，以及通訊客戶需求持穩，單季營收成長至 111.4 億(+9.3%QoQ，+33.2%YoY)，毛利率受夏季電費影響而降至 39.5%(季減 0.2pts)，營業利益 28.2 億(+2.0%QoQ，+29.9%YoY)低於預期，主因一次性的竹南廠區土地變更費用約 1.4-1.5 億，稅後淨利 24.9 億(+9.0%QoQ，+14.5%YoY)，EPS 2.04 元，略低於我們預期的 2.09 元。

表一：京元電 2Q26 財務概況

百萬元	2Q26(A)	2Q26(F)	差異(%)	QoQ(%)	YoY(%)
營業收入	11,142	11,150	-0.1	9.3	33.2
營業毛利	4,400	4,436	-0.8	8.6	48.1
營業利益	2,828	3,100	-8.8	2.0	29.9
稅前淨利	3,076	3,200	-3.9	9.5	15.7
稅後淨利	2,492	2,560	-2.7	9.0	14.5
每股盈餘(元)	2.04	2.09			
Margin (%)					
營業毛利率	39.5	39.8	--	--	--
營業利益率	25.4	27.8	--	--	--
稅前淨利率	27.6	28.7	--	--	--
稅後淨利率	22.4	23.0	--	--	--

資料來源：京元電；永豐投顧研究部預估及整理，Aug. 2026

下修 3Q26 預估：由於主要客戶 XPU 重新設計，3Q26 新平台來料仍未明顯放量，既有平台出貨量則未明顯下滑，而新平台測試時間雖較舊世代平台增加，然增幅不及市場原先預期，加上通訊大客戶處於新舊產品交替階段，使京元電營運動能短期承壓，預估 3Q26 營收 120.6 億(+8.2%QoQ，+29.8%YoY)，另一方面，考量夏季電費及人事成本攀升，預估毛利率 38.0%，稅後淨利 25.8 億(+3.7%QoQ，+12.2%YoY)，EPS 2.11 元(原估 2.44 元)。

4Q26 開始迎強勁成長：我們預期京元電 4Q26 開始迎來成長週期，係考量(1) 來自聯發科的 TPU 後段測試需求自 9 月開始爬坡，並於 4Q26 起完整貢獻，惟整體訂單或與日月光均分，(2) 主要客戶 XPU 放量，我們預期楊梅廠將有顯著貢獻，也因採用了液冷預燒爐，相關測試單價有望提升，(3) CPU 重要性在進入 Agentic AI 後快速提升。需求的成長同步帶動產能利用率提升，加上少了夏季電費後，毛利率可顯著回升。2027 年則有望淡季不淡，係因(1) XPU 整體測試單價上升，產能需求也拉高，(2) 我們認為主要客戶 CPU 搭載的 SOCAMM2 規格下調，主因記憶體原廠供給仍有限；然而，較低的單機記憶體搭載量反而有助於緩解記憶體供給瓶頸，提升 CPU 系統的可出貨量，進而帶動該客戶 CPU 測試需求增加，(3) 另一 CPU 客戶所需的測試設備建置需求將在 2026 年底顯著增加，營收貢獻則有望自

1Q27 季末發酵，預期總出貨量將較 2026 年迎來倍數成長。另外從供給端來看，2026 年京元電的廠房擴增計畫，除竹南六/七廠、銅鑼四/五廠以外，包含楊梅、頭份廠區無塵室大多在 2026 年底前完工，挹注 2027 年營收成長動能。

2027-2028 年可搶回預燒爐生意：在先前通訊客戶 TPU 產品導入工程時，液冷的預燒爐仍在研發階段，使客戶高功耗的 TPU 產品需選用競品設備並託管至京元電。時至今日，京元電的 HP600Q 液冷預燒爐已投入生產，考量設備價格與競爭對手存在顯著差異，加上可協助客戶進行客製化、並搭配封測廠本身同時測試並調整設備的「打帶跑」能力，研究部認為京元電有望在客戶下世代產品導入時，重新取得市場份額。

財務預估：考量京元電近年不斷透過購地、租賃廠房的方式增加潛在產能，且陸續有無塵室在進行裝修、投產，另外亦有新加坡、美國廠區的計畫進行中，我們上調後續營業費用預估。預期 2026 年營收 477.4 億(+36.7%YoY)，毛利率 39.6%，稅後淨利 107.7 億(-2.2%YoY，年減主因 2025 年公司處分蘇州廠房)，EPS 8.81 元(原估 9.12 元)。2027 年營收 698.1 億(+46.2%YoY)，毛利率 41.6%，稅後淨利 170.3 億(+58.2%YoY)，EPS 13.93 元(原估 15.0 元)。

附表一：當年度損益表

單位：百萬元	26Q1	26Q2	26Q3F	26Q4F	2026F
營業收入	10,192	11,142	12,061	14,351	47,745
營業毛利	4,051	4,400	4,585	5,889	18,925
營業利益	2,772	2,828	3,125	4,155	12,880
稅前淨利	2,808	3,076	3,230	4,260	13,374
稅後純益	2,286	2,492	2,584	3,408	10,770
稅後 EPS (元)	1.87	2.04	2.11	2.79	8.81
營收 QoQ 成長率	2.27	9.32	8.26	18.99	--
營收 YoY 成長率	39.32	33.24	29.83	44.01	36.68
毛利率	39.74	39.49	38.02	41.04	39.64
營益率	27.20	25.38	25.91	28.95	26.98
稅後純益率	22.43	22.36	21.42	23.75	22.56

資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

附表二：五個年度損益表

單位：百萬元	2023	2024	2025	2026F	2027F
營業收入	23,992	26,856	34,934	47,745	69,814
%變動率	-34.77	11.94	30.08	36.67	46.22
營業毛利	7,927	9,344	12,522	18,925	29,073
毛利率 (%)	33.04	34.79	35.85	39.64	41.64
營業淨利	5,252	6,172	9,003	12,880	20,872
稅前淨利	5,241	5,972	10,629	13,374	21,292
%變動率	-41.55	13.95	77.99	25.83	59.2
稅後純益	5,840	7,779	11,016	10,770	17,033
%變動率	-14.57	33.20	41.60	-2.23	58.15
稅後 EPS * (元)	4.78	6.36	9.01	8.81	13.93
市調 EPS * (元)	4.49	7.4	8.64	9.31	--
PER (×)	51.99	39.07	27.58	29.62	18.73
PBR (×)	7.81	7.02	6.03	5.07	4.31
每股淨值 * (元)	31.82	35.41	41.24	49.06	57.7
每股股利 (元)	3.20	4.00	1.00	--	--
殖利率 (%)	4.23	3.93	0.43	--	--

* 以目前股本計算

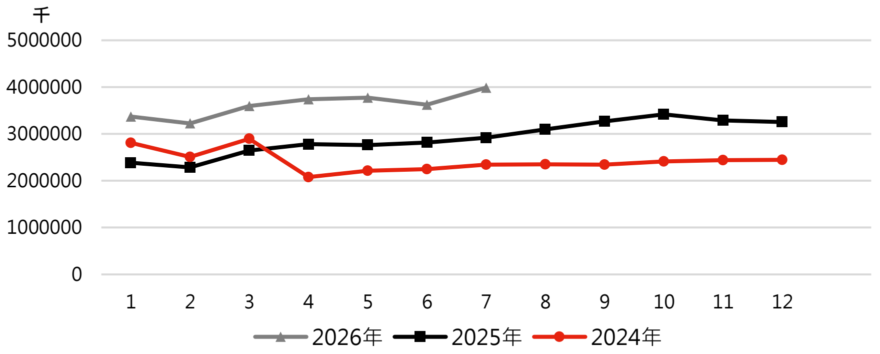
資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

營運基本資料

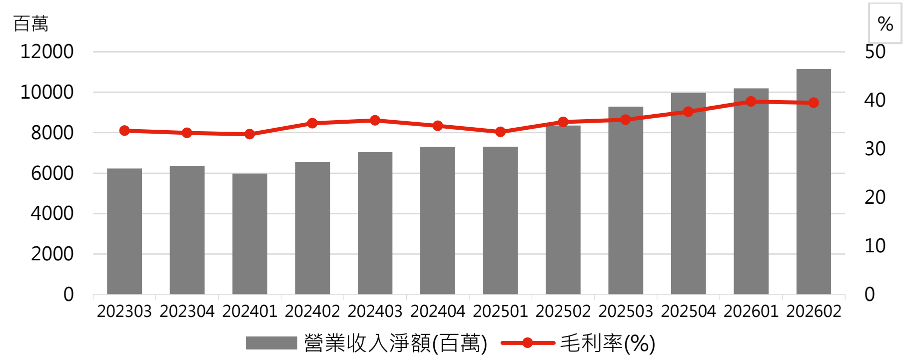
同業比較

代號	公司	投資建議	目前股價	市值(億)	稅後 EPS		PE		PB	
					2025	2026	2025	2026	2025	2026

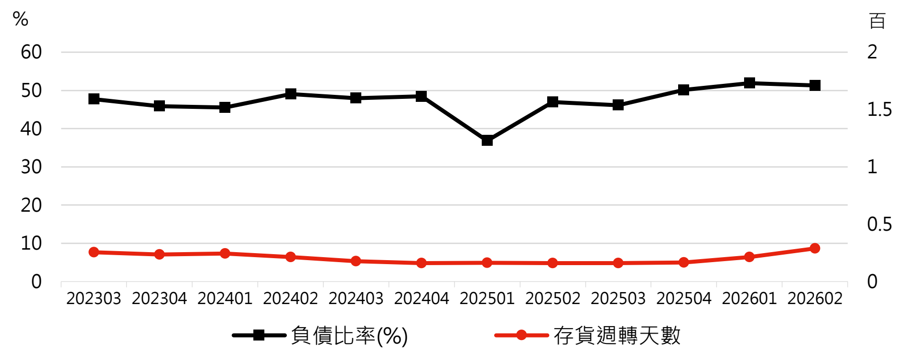
近三年單月營收狀況



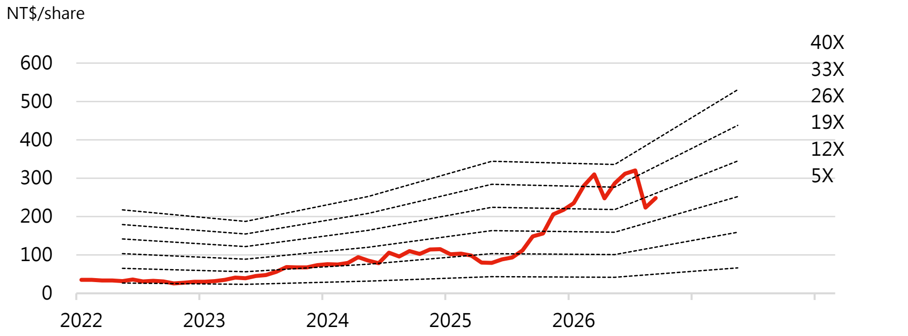
近三年單季營收 VS 毛利率趨勢圖



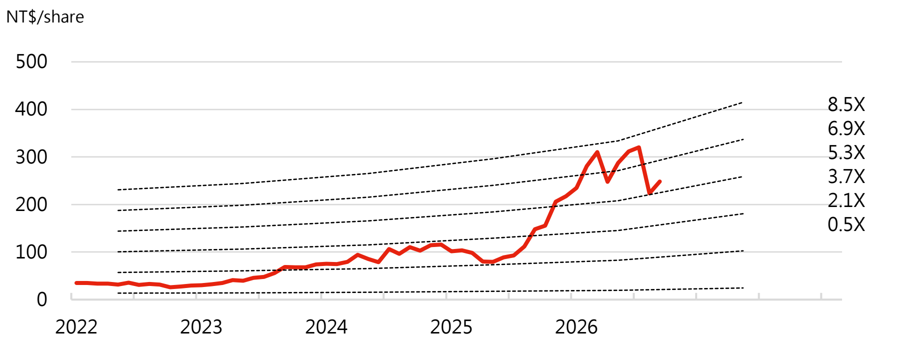
負債比率 VS 存貨周轉天數



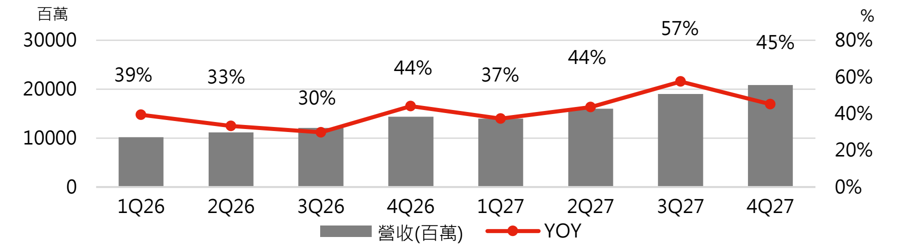
歷史 PE 圖



歷史 PB 圖

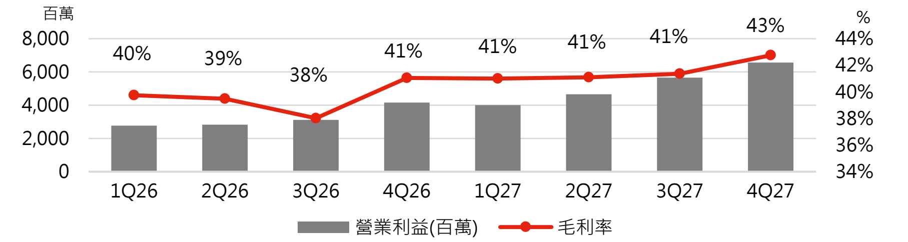


近八季營收及 YoY 趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

近八季營業利益及毛利率趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Aug. 2026

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SinoPac 投資評等

B：Buy 買進：未來 6 個月該股票表現將優於大盤
N：Neutral 中立：未來 6 個月該股票表現將與大盤一致
S：Sell 賣出：未來 6 個月該股票表現將落後大盤

SinoPac+ ESG 評鑑系統級距說明

A+	企業在管理及揭露 ESG 績效的程度在前 20%
A	企業在管理及揭露 ESG 績效的程度在 21%-40%
B+	企業在管理及揭露 ESG 績效的程度在 41%-60%
B	企業在管理及揭露 ESG 績效的程度在 61%-80%
C	企業在管理及揭露 ESG 績效的程度在 81%-100%

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Taiwan PCB & Laminates

CCL price hike not a concern; Buys on Gold Circuit and Tripod

CITI'S TAKE

PCB sector has suffered from concerns over GM pressure from CCL price hikes from June. As per our discussion with Gold Circuit (GCE) and Tripod, we believe PCB makers will be able to raise prices, as customers now would need to leverage PCB makers' relationships with CCL suppliers in order to secure more CCL supplies. While GCE suffered from the pressure in 2Q26, the company would hike the prices to its customers in 3Q26 as Tripod does. We see both names benefitting from favorable product mix and price hikes in the coming quarters. Buy on GCE (TP NT$1,630) and Tripod (TP NT$700).

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GCE: 2Q26 GM miss on CCL price hike — GCE's 2Q26 sales (+26% QoQ) were driven by server segment (+36% QoQ), while networking segment declined 6% QoQ. 2Q26 GM posted 34.7% (-0.2ppt QoQ), missing Citi/consensus forecasts by 2.0ppt/1.4ppt due to time lag to reflect CCL price hike, rising depreciation on new capacity ramp and likely less networking sales. OPEX ratio was 0.2% higher QoQ, due to more employee profit-sharing expense. Despite GM/OPM miss, thanks to lower tax rate, overall 2Q earnings was in line with Citi forecast and 4% higher than consensus forecasts. Thailand plant turned profitable in 2Q26, as per mgmt.

GCE: 3Q26 outlook: ASIC demand ramping up — Backed by higher production value on increasing ASP and new capacity added (especially in Thailand plant), we now forecast 3Q26 sales to grow 16% QoQ. Despite the market's concern over GM pressure from CCL price hike, mgmt. indicated customers have agreed with the PCB price hikes and believe GM wouldn't be negatively impacted. Besides, ASIC demand ramp and better pricing would help more than offset the rising depreciation and FX headwinds, driving its GM profile in 3Q26, as per mgmt. For GM, we now forecast 3Q26E GM of 36.6% (+1.9ppt QoQ). Also, the company lowered full-year tax rate guidance from 32% to 29% due to receipt of tax benefits.

GCE: New ASIC demand likely to ramp in 4Q26; preparing for HDI — For its new AI ASIC business, the company now sees good chance to secure the project; production might start in 4Q26 at the earliest. For HDI, the company plans to invest in new capacity, targeting ramp-up in 2H27. Mgmt. is confident in its HDI capabilities, given similar level of technological complexity to 800G switch products. For new capacity ramped in 2027, Thailand and Suzhou plants are planned to ramp in 2H27.

						Rating		Short-Term	Target Price						Current Fiscal Year EPS		Next Fiscal Year EPS	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Old	New	View	Old	New	ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	Old	New	Old	New
Gold Circuit Electronics	2368.TW	NT$	964.00	504,107	11 Aug 13:30	1	nc	-	1,740.00	1,630.00	69.1	2.0	71.1	Dec-25	39.21	37.24	66.00	64.39
Tripod Technology	3044.TW	NT$	441.50	232,055	11 Aug 13:30	1	nc	-	666.00	700.00	58.6	4.6	63.1	Dec-25	28.45	31.17	38.41	39.76

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change

Source: Citi Research

^Catalyst Watch

Earnings Estimates

				Last Reported Year					Current Fiscal Year					Next Fiscal Year				
Company Name	Ticker	Last Rpt Year	Currency	1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Gold Circuit Electronics	2368.TW	Dec-25	NT$	3.46	3.35	6.38	5.79	18.98	6.62	9.09	10.59	10.95	37.24	13.74	15.69	17.48	17.48	64.39
Old		Dec-25	NT$	3.46	3.35	6.38	5.79	18.98	6.88	9.45	11.48	11.39	39.21	13.92	15.95	18.07	18.06	66.00
Tripod Technology	3044.TW	Dec-25	NT$	4.48	4.65	5.62	4.70	19.45	5.61	7.41	9.36	8.79	31.17	7.85	9.67	11.12	11.12	39.76
Old		Dec-25	NT$	4.48	4.65	5.62	4.70	19.45	5.61	7.12	8.12	7.61	28.45	7.59	9.44	10.99	10.40	38.41

Source: Citi Research

Tripod: 2Q26 GM beat on enhanced product mix — Tripod's 2Q26 sales (+19% QoQ) were driven by the server segment (+40% QoQ), followed by auto (+13% QoQ) and memory (+5% Qo). 2Q26 GM expanded 3.6ppt QoQ to 30.1%, beating Citi/consensus forecasts by 1.8ppt/2.8ppt. Mgmt. attributed GM upbeat to enhanced product mix and price hike to reflect inflation. OP levels also saw better leverage QoQ, beating Citi/consensus forecasts by 14%/18%, while high tax rate was more of a one-off. Overall earnings were still a beat by 4%/8% vs Citi/consensus forecasts.

Tripod: 3Q26 outlook: server continuing picking up — As teir-1 PCB makers focus more on leading AI server boards, Tripod sees more outflowing demand for either general-purpose server mainboard or ASIC CPU mainboard. The company expects its 3Q26 would be driven by continued server demand and price hike (especially for auto customers). Thus, we now forecast Tripod's 3Q26E sales to grow 13% QoQ. For GM, we forecast 3Q26E GM of 31.2% (+1.1ppt QoQ). For memory demand, the company now sees momentum gaining in 2H26 vs 1H26.

Tripod: CCL price hike not an issue — As per management's observation, they don't think CCL price hike would become an issue for its GM profile, as customers in need are fully aware of the CCL shortage and would accept PCB price hikes. Besides, customers now would need to leverage PCB makers' relationships with CCL suppliers in order to secure more CCL supplies, favoring those PCB names with high-tiering and large scale. For its CCL supply, mgmt. thinks its supply is tight now but has not seen the shortage constraint its 3Q26 operation. For capacity expansion, the company is ramping its Vietnam plant and is likely to see limited contribution in 2H26, and is expanding its capacity in Hubei plants.

Earnings revisions; GCE's TP slightly cut to NT$1,630; Tripod's TP lifted to NT$700; Buy on both names — For GCE, we adjust our 2026/27/28E earnings by -1%/+2%/+3% to factor in short-term CCL price hike impact but lower tax rate. We cut our GCE TP to NT$1,630 (25x 2027E EPS) from NT$1,740 (26x 2027E EPS). For Tripod, we increase our 2026/27E/28E earnings by +10%/+4%/+4% to factor in its stronger GM profile. We raise our DCF-based Tripod TP to NT$700 (implied 18x 2027E) from NT$666 (implied 17x 2027E EPS). We see both names benefitting from favorable product mix and price hikes in the coming quarters. We rate both Tripod and GCE Buy.

Figure 1. GCE – 2Q26 Results

(NT$mn)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	24,279	19,313	26%	13,853	75%	24,427	-1%	23,182	5%
Gross profit	8,413	6,722	25%	4,095	105%	8,943	-6%	8,349	1%
Gross margin	34.7%	34.8%	-0.2 ppt	29.6%	+5.1 ppt	36.6%	-2.0 ppt	36.0%	-1.4 ppt
Op. profit	6,418	5,185	24%	2,868	124%	6,997	-8%	6,516	-2%
OP margin	26.4%	26.8%	-0.4 ppt	20.7%	+5.7 ppt	28.6%	-2.2 ppt	28.1%	-1.7 ppt
Net income	4,783	3,484	37%	1,694	182%	4,784	0%	4,413	8%
EPS (NT$)	9.09	6.62	37%	3.35	171%	9.45	-4%	8.82	3%

Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. GCE – Earnings Revisions

	3Q26E			4Q26E			2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	28,227	27,807	2%	28,190	27,499	3%	100,009	99,046	1%	146,911	146,911	0%	192,448	192,448	0%
Sequential growth (%)	16%	14%		0%	-1%		67%	65%		47%	48%		31%	31%	
Gross profit	10,325	10,592	-3%	10,561	10,555	0%	36,021	36,812	-2%	58,893	59,420	-1%	79,978	79,978	0%
Opex	2,324	2,220	5%	2,349	2,250	4%	8,207	7,953	3%	11,266	11,096	2%	13,995	13,826	1%
Operating profit	8,000	8,373	-4%	8,212	8,306	-1%	27,815	28,860	-4%	47,627	48,324	-1%	65,983	66,152	0%
Pre-tax profit	8,023	8,420	-5%	8,234	8,352	-1%	27,644	28,894	-4%	47,747	48,646	-2%	66,143	66,474	0%
Net income	5,576	5,810	-4%	5,764	5,763	0%	19,607	19,840	-1%	33,900	33,399	2%	46,961	45,623	3%
EPS (NT$)	10.59	11.48	-8%	10.95	11.39	-4%	37.24	39.21	-5%	64.39	66.00	-2%	89.20	90.16	-1%
Gross margin (%)	36.6%	38.1%	-1.5 ppt	37.5%	38.4%	-0.9 ppt	36.0%	37.2%	-1.1 ppt	40.1%	40.4%	-0.4 ppt	41.6%	41.6%	0.0 ppt
Opex ratio (%)	8.2%	8.0%	+0.3 ppt	8.3%	8.2%	+0.2 ppt	8.2%	8.0%	+0.2 ppt	7.7%	7.6%	+0.1 ppt	7.3%	7.2%	+0.1 ppt
Operating margin (%)	28.3%	30.1%	-1.8 ppt	29.1%	30.2%	-1.1 ppt	27.8%	29.1%	-1.3 ppt	32.4%	32.9%	-0.5 ppt	34.3%	34.4%	-0.1 ppt
Net margin (%)	19.8%	20.9%	-1.1 ppt	20.4%	21.0%	-0.5 ppt	19.6%	20.0%	-0.4 ppt	23.1%	22.7%	+0.3 ppt	24.4%	23.7%	+0.7 ppt

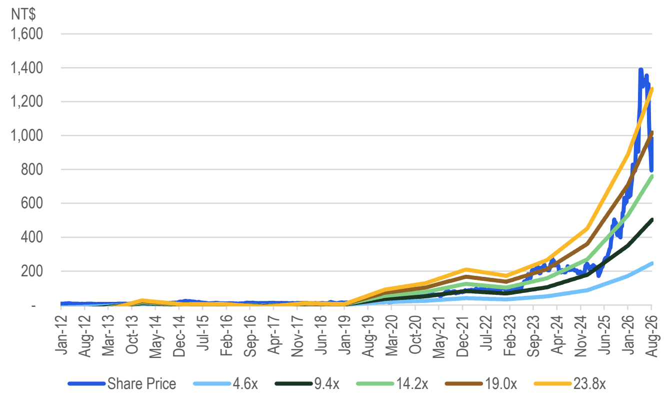
Source: Citi Research Estimates

Figure 3. GCE – Forecast Summary

GCE	2026				2027													
(NT$ in Mn, year-end Dec)	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	19,313	24,279	28,227	28,190	32,684	36,210	39,108	38,909	18,991	23,398	26,607	32,785	30,044	38,952	60,004	100,009	146,911	192,448
COGS	-12,590	-15,866	-17,903	-17,629	-19,962	-21,808	-23,195	-23,054	-16,500	-18,108	-20,236	-24,057	-22,320	-27,556	-40,321	-63,988	-88,018	-112,470
Depreciation costs	-412	-502	-613	-777	-981	-1,151	-1,261	-1,373	-754	-615	-653	-743	-821	-960	-1,195	-2,304	-4,766	-5,948
Gross Profit	6,722	8,413	10,325	10,561	12,722	14,403	15,913	15,855	2,491	5,291	6,371	8,728	7,724	11,396	19,683	36,021	58,893	79,978
Operating Expense	-1,538	-1,996	-2,324	-2,349	-2,559	-2,798	-2,982	-2,928	-1,821	-2,217	-2,249	-2,691	-2,588	-3,329	-5,640	-8,207	-11,266	-13,995
SG&A expenses	-1,186	-1,525	-1,778	-1,804	-1,961	-2,136	-2,307	-2,296	-1,285	-1,575	-1,673	-1,948	-1,866	-2,342	-4,430	-6,293	-8,700	-10,777
R&D expenses	-343	-461	-536	-536	-588	-652	-665	-623	-471	-533	-623	-718	-803	-974	-1,256	-1,876	-2,527	-3,180
EBIT	5,185	6,418	8,000	8,212	10,163	11,605	12,931	12,928	669	3,074	4,123	6,037	5,136	8,067	14,043	27,815	47,627	65,983
Net Interest Income	13	10	10	10	15	15	20	20	-213	-147	-51	-27	78	78	55	43	70	110
Net Other Income	-110	-128	13	12	13	12	13	12	-186	-229	-23	379	3	345	75	-213	50	50
Pre-Tax Profit	5,088	6,299	8,023	8,234	10,191	11,632	12,964	12,960	270	2,698	4,049	6,388	5,218	8,490	14,173	27,644	47,747	66,143
Tax	-1,604	-1,516	-2,447	-2,470	-2,955	-3,373	-3,760	-3,758	-140	-631	-1,122	-1,820	-1,689	-2,875	-4,567	-8,037	-13,847	-19,181
Net Profit	3,484	4,783	5,576	5,764	7,236	8,259	9,204	9,201	130	2,067	2,927	4,568	3,529	5,616	9,607	19,607	33,900	46,961
EPS (NT$)	6.62	9.09	10.59	10.95	13.74	15.69	17.48	17.48	0.24	3.81	5.40	8.80	7.23	11.11	18.98	37.24	64.39	89.20
Sequential Growth (%)																		
Networking	12%	-6%	11%	-3%	34%	-2%	10%	0%	-30%	18%	3%	30%	-25%	12%	59%	78%	40%	27%
Server	21%	36%	16%	1%	15%	13%	8%	0%	8%	28%	11%	48%	-3%	40%	67%	73%	51%	34%
NB	-2%	26%	32%	-9%	-10%	12%	14%	-2%	-8%	12%	25%	-16%	-13%	-15%	25%	15%	17%	0%
Others	18%	-16%	33%	-12%	1%	12%	1%	-12%	-8%	41%	28%	-32%	3%	83%	-29%	4%	6%	0%
Margins (%)																		
Gross Margin	34.8%	34.7%	36.6%	37.5%	38.9%	39.8%	40.7%	40.7%	13.1%	22.6%	23.9%	26.6%	25.7%	29.3%	32.8%	36.0%	40.1%	41.6%
Operating Margin	26.8%	26.4%	28.3%	29.1%	31.1%	32.0%	33.1%	33.2%	3.5%	13.1%	15.5%	18.4%	17.1%	20.7%	23.4%	27.8%	32.4%	34.3%
Net Margin	18.0%	19.7%	19.8%	20.4%	22.1%	22.8%	23.5%	23.6%	0.7%	8.8%	11.0%	13.9%	11.7%	14.4%	16.0%	19.6%	23.1%	24.4%
Sequential Growth (%)																		
Revenue	18%	26%	16%	0%	16%	11%	8%	-1%	-8%	23%	14%	23%	-8%	30%	54%	67%	47%	31%
Gross Profit	22%	25%	23%	2%	20%	13%	10%	0%	-17%	112%	20%	37%	-12%	48%	73%	83%	63%	36%
EBIT	30%	24%	25%	3%	24%	14%	11%	0%	-13%	359%	34%	46%	-15%	57%	74%	98%	71%	39%
Net Profit	19%	37%	17%	3%	26%	14%	11%	0%	-43%	1493%	42%	56%	-23%	59%	71%	104%	73%	39%
EPS	14%	37%	17%	3%	26%	14%	11%	0%	-43%	1490%	42%	63%	-18%	54%	71%	96%	73%	39%

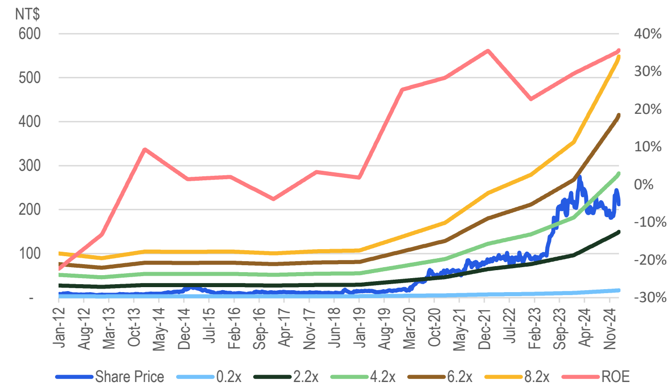
Source: Citi Research Estimates, Company Reports

Figure 4. GCE – 12M Forward P/E Band



Source: dataCentral, Citi Research

Figure 5. GCE – 12M Forward P/B Band



Source: dataCentral, Citi Research

Figure 6. Tripod – 2Q26 Results

(NT$mn)	2Q26 Actual	1Q26 Actual	Q/Q	2Q25 Actual	Y/Y	2Q26 Citi	Diff.	2Q26 Cons.	Diff.
Revenue	24,857	20,964	19%	17,903	39%	24,261	2%	24,236	3%
Gross profit	7,479	5,559	35%	4,693	59%	6,865	9%	6,612	13%
Gross margin	30.1%	26.5%	+3.6 ppt	26.2%	+3.9 ppt	28.3%	+1.8 ppt	27.3%	+2.8 ppt
Op. profit	5,585	3,846	45%	3,224	73%	4,914	14%	4,715	18%
OP margin	22.5%	18.3%	+4.1 ppt	18.0%	+4.5 ppt	20.3%	+2.2 ppt	19.5%	+3.0 ppt
Net income	3,896	2,946	32%	2,444	59%	3,741	4%	3,618	8%
EPS (NT$)	7.41	5.61	32%	4.65	59%	7.12	4%	6.94	7%

Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 7. Tripod – Earnings Revisions

	3Q26E			4Q26E			2026E			2027E			2028E		
(NT$mn)	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff
Sales	28,047	26,245	7%	27,220	24,658	10%	101,089	96,129	5%	118,005	114,917	3%	137,948	134,338	3%
Sequential growth (%)	13%	8%		-3%	-6%		38%	31%		17%	20%		17%	17%	
Gross profit	8,757	7,668	14%	8,345	7,240	15%	30,139	27,332	10%	37,023	35,927	3%	45,423	43,984	3%
Opex	2,168	2,030	7%	2,186	1,983	10%	7,961	7,677	4%	9,216	9,090	1%	10,595	10,449	1%
Operating profit	6,589	5,638	17%	6,158	5,257	17%	22,177	19,655	13%	27,807	26,837	4%	34,828	33,535	4%
Pre-tax profit	6,835	5,930	15%	6,415	5,554	15%	23,037	20,787	11%	29,026	28,042	4%	36,027	34,720	4%
Net income	4,921	4,269	15%	4,619	3,999	15%	16,382	14,956	10%	20,899	20,190	4%	25,939	24,998	4%
EPS (NT$)	9.36	8.12	15%	8.79	7.61	15%	31.17	28.45	10%	39.76	38.41	4%	49.35	47.56	4%
Gross margin (%)	31.2%	29.2%	+2.0 ppt	30.7%	29.4%	+1.3 ppt	29.8%	28.4%	+1.4 ppt	31.4%	31.3%	+0.1 ppt	32.9%	32.7%	+0.2 ppt
Opex ratio (%)	7.7%	7.7%	-0.0 ppt	8.0%	8.0%	-0.0 ppt	7.9%	8.0%	-0.1 ppt	7.8%	7.9%	-0.1 ppt	7.7%	7.8%	-0.1 ppt
Operating margin (%)	23.5%	21.5%	+2.0 ppt	22.6%	21.3%	+1.3 ppt	21.9%	20.4%	+1.5 ppt	23.6%	23.4%	+0.2 ppt	25.2%	25.0%	+0.3 ppt
Net margin (%)	17.5%	16.3%	+1.3 ppt	17.0%	16.2%	+0.8 ppt	16.2%	15.6%	+0.6 ppt	17.7%	17.6%	+0.1 ppt	18.8%	18.6%	+0.2 ppt

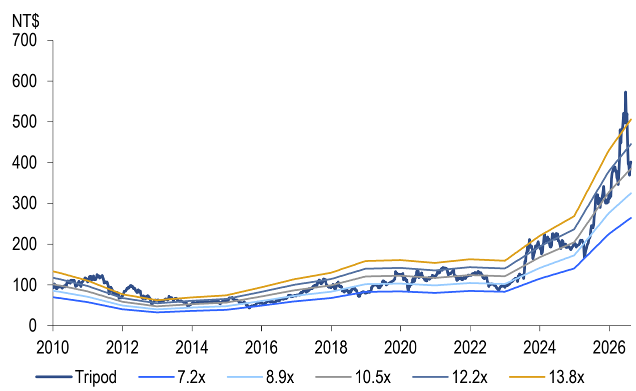
Source: Citi Research Estimates

Figure 8. Tripod – Forecast summary

Tripod	2026				2027															
(NT$ in Mn, year-end Dec)	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	20,964	24,857	28,047	27,220	26,152	28,957	32,484	30,411	52,106	54,451	55,548	63,000	65,784	58,862	65,804	73,399	101,089	118,005	137,948
COGS	-15,406	-17,378	-19,291	-18,876	-18,494	-19,988	-22,215	-20,285	-42,341	-43,185	-44,397	-51,101	-53,979	-47,476	-50,516	-54,407	-70,950	-80,982	-92,525
Gross Profit	5,559	7,479	8,757	8,345	7,658	8,970	10,269	10,126	9,764	11,266	11,150	11,899	11,805	11,387	15,288	18,992	30,139	37,023	45,423
Operating Expense	-1,713	-1,894	-2,168	-2,186	-2,223	-2,226	-2,461	-2,306	-4,343	-4,495	-4,576	-5,286	-5,036	-4,763	-5,557	-6,080	-7,961	-9,216	-10,595
SG&A expenses	-1,650	-1,825	-2,044	-2,067	-2,092	-2,081	-2,299	-2,154	-4,160	-4,290	-4,352	-5,075	-4,796	-4,513	-5,275	-5,774	-7,586	-8,626	-9,906
R&D expenses	-63	-69	-123	-120	-131	-145	-162	-152	-183	-205	-224	-211	-240	-250	-282	-307	-375	-590	-690
EBIT	3,846	5,585	6,589	6,158	5,435	6,744	7,808	7,820	5,422	6,771	6,574	6,613	6,769	6,624	9,731	12,912	22,177	27,807	34,828
Net Interest Income	212	131	160	170	208	226	225	215	163	183	188	211	73	477	916	742	674	875	855
Net Other Income	49	-35	86	86	86	86	86	86	941	844	995	674	983	977	350	344	186	344	344
Pre-Tax Profit	4,107	5,681	6,835	6,415	5,729	7,056	8,119	8,121	6,525	7,798	7,757	7,498	7,825	8,077	10,996	13,998	23,037	29,026	36,027
Tax	1,161	1,785	1,914	1,796	1,604	1,976	2,273	2,274	-1,587	-1,761	-1,631	-1,639	-1,624	-2,015	-2,614	-3,773	-6,655	-8,127	-10,088
Net Profit	2,946	3,896	4,921	4,619	4,125	5,080	5,846	5,847	4,938	6,037	6,126	5,858	6,200	6,062	8,382	10,225	16,382	20,899	25,939
EPS (NT$)	5.61	7.41	9.36	8.79	7.85	9.67	11.12	11.12	9.40	11.49	11.65	11.15	11.80	11.53	15.95	19.45	31.17	39.76	49.35
Margins (%)																			
Gross Margin	26.5	30.1	31.2	30.7	29.3	31.0	31.6	33.3	18.7	20.7	20.1	18.9	17.9	19.3	23.2	25.9	29.8	31.4	32.9
Operating Margin	18.3	22.5	23.5	22.6	20.8	23.3	24.0	25.7	10.4	12.4	11.8	10.5	10.3	11.3	14.8	17.6	21.9	23.6	25.2
Net Margin	14.1	15.7	17.5	17.0	15.8	17.5	18.0	19.2	9.5	11.1	11.0	9.3	9.4	10.3	12.7	13.9	16.2	17.7	18.8
Sequential Growth (%)																			
Revenue	10.5	18.6	12.8	-2.9	-3.9	10.7	12.2	-6.4	13.7	4.5	2.0	13.4	4.4	-10.5	11.8	11.5	37.7	16.7	16.9
Gross Profit	15.0	34.5	17.1	-4.7	-8.2	17.1	14.5	-1.4	16.9	15.4	-1.0	6.7	-0.8	-3.5	34.3	24.2	58.7	22.8	22.7
EBIT	18.6	45.2	18.0	-6.5	-11.7	24.1	15.8	0.2	13.0	24.9	-2.9	0.6	2.4	-2.1	46.9	32.7	71.8	25.4	25.2
Net Profit	19.2	32.3	26.3	-6.1	-10.7	23.2	15.1	0.0	13.1	22.3	1.5	-4.4	5.8	-2.2	38.3	22.0	60.2	27.6	24.1
EPS	19.2	32.3	26.3	-6.1	-10.7	23.2	15.1	0.0	13.1	22.3	1.5	-4.4	5.8	-2.2	38.3	22.0	60.2	27.6	24.1

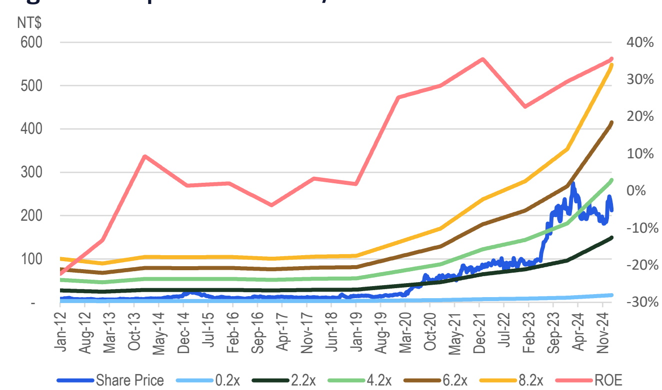
Source: Company Reports, Citi Research

Figure 9. Tripod – Forward P/E band



Source: DataCentral, Citi Research

Figure 10. Tripod – Forward P/B band and ROE



Source: DataCentral, Citi Research

2368.TW: Fiscal year end 31-Dec — Price: NT$964.00; TP: NT$1,630.00; Market Cap: NT$504,107m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	38,952	60,004	100,009	146,911	192,448
Cost of sales	-27,556	-40,321	-63,988	-88,018	-112,470
Gross profit	11,396	19,683	36,021	58,893	79,978
Gross Margin (%)	29.3	32.8	36.0	40.1	41.6
EBITDA (Adj)	**9,118**	**15,327**	**30,291**	**52,749**	**72,376**
EBITDA Margin (Adj) (%)	23.4	25.5	30.3	35.9	37.6
Depreciation	-1,051	-1,284	-2,477	-5,122	-6,393
Amortisation	0	0	0	0	0
EBIT (Adj)	**8,067**	**14,043**	**27,815**	**47,627**	**65,983**
EBIT Margin (Adj) (%)	20.7	23.4	27.8	32.4	34.3
Net interest	78	55	43	70	110
Associates	-340	-79	-111	0	0
Non-Op/Except/Other Adj	685	154	-102	50	50
Pre-tax profit	**8,490**	**14,173**	**27,644**	**47,747**	**66,143**
Tax	-2,875	-4,567	-8,037	-13,847	-19,181
Extraord./Min.Int./Pref.div.	0	0	0	0	0
Reported net profit	**5,616**	**9,607**	**19,607**	**33,900**	**46,961**
Net Margin (%)	14.4	16.0	19.6	23.1	24.4
Core NPAT	5,616	9,607	19,607	33,900	46,961
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Reported EPS ($)	11.11	18.98	37.24	64.39	89.20
Core EPS ($)	11.11	18.98	37.24	64.39	89.20
DPS ($)	3.46	5.72	9.66	18.96	32.78
CFPS ($)	10.96	4.60	27.76	63.04	88.95
FCFPS ($)	0.81	-8.71	-4.30	40.24	66.16
BVPS ($)	42.17	66.16	96.93	161.32	250.52
Wtd avg ord shares (m)	487	491	507	507	507
Wtd avg diluted shares (m)	505	506	526	526	526
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue (%)	29.6	54.0	66.7	46.9	31.0
EBIT (Adj) (%)	57.1	74.1	98.1	71.2	38.5
Core NPAT (%)	59.1	71.1	104.1	72.9	38.5
Core EPS (%)	53.6	70.9	96.2	72.9	38.5
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash & cash equiv.	9,185	18,114	20,692	45,588	88,313
Accounts receivables	13,401	27,001	41,119	50,652	62,227
Inventory	7,900	9,747	14,762	17,610	21,449
Net fixed & other tangibles	12,779	19,121	32,333	39,211	38,667
Goodwill & intangibles	257	284	287	287	287
Financial & other assets	1,062	1,478	2,225	2,729	3,341
Total assets	**44,584**	**75,746**	**111,418**	**156,076**	**214,285**
Accounts payable	8,268	11,029	17,066	20,496	25,119
Short-term debt	2,722	5,937	6,685	6,685	6,685
Long-term debt	4,531	11,875	16,540	20,248	21,993
Provisions & other liab	7,751	13,425	20,099	23,719	28,599
Total liabilities	**23,272**	**42,265**	**60,390**	**71,148**	**82,395**
Shareholders' equity	21,312	33,481	51,028	84,928	131,889
Minority interests	0	0	0	0	0
Total equity	**21,312**	**33,481**	**51,028**	**84,928**	**131,889**
Net debt (Adj)	**-1,931**	**-303**	**2,533**	**-18,654**	**-59,636**
Net debt to equity (Adj) (%)	-9.1	-0.9	5.0	-22.0	-45.2

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	86.8	50.8	25.9	15.0	10.8
PB (x)	22.9	14.6	9.9	6.0	3.8
EV/EBITDA (x)	55.0	32.8	16.7	9.4	6.4
FCF yield (%)	0.1	-0.9	-0.4	4.2	6.9
Dividend yield (%)	0.4	0.6	1.0	2.0	3.4
Payout ratio (%)	31	30	26	29	37
ROE (%)	29.4	35.1	46.4	49.9	43.3
Cashflow (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBITDA	9,118	15,327	30,291	52,749	72,376
Working capital	-1,129	-8,564	-7,468	-5,836	-6,524
Other	-2,451	-4,437	-8,207	-13,727	-19,021
Operating cashflow	**5,538**	**2,327**	**14,616**	**33,187**	**46,830**
Capex	-5,131	-6,733	-16,877	-12,000	-12,000
Net acq/disposals	-263	-66	1,281	0	0
Other	0	0	0	0	0
Investing cashflow	**-5,394**	**-6,799**	**-15,597**	**-12,000**	**-12,000**
Dividends paid	-1,703	-2,920	-4,995	-9,804	-16,950
Financing cashflow	**1,879**	**14,186**	**3,653**	**3,709**	**1,744**
Net change in cash	**2,023**	**9,714**	**2,673**	**24,896**	**36,575**
Free cashflow to s/holders	**407**	**-4,407**	**-2,261**	**21,187**	**34,830**

For definitions of the items in this table, please click here.

3044.TW: Fiscal year end 31-Dec

Price: NT$441.50; TP: NT$700.00; Market Cap: NT$232,055m; Recomm: Buy

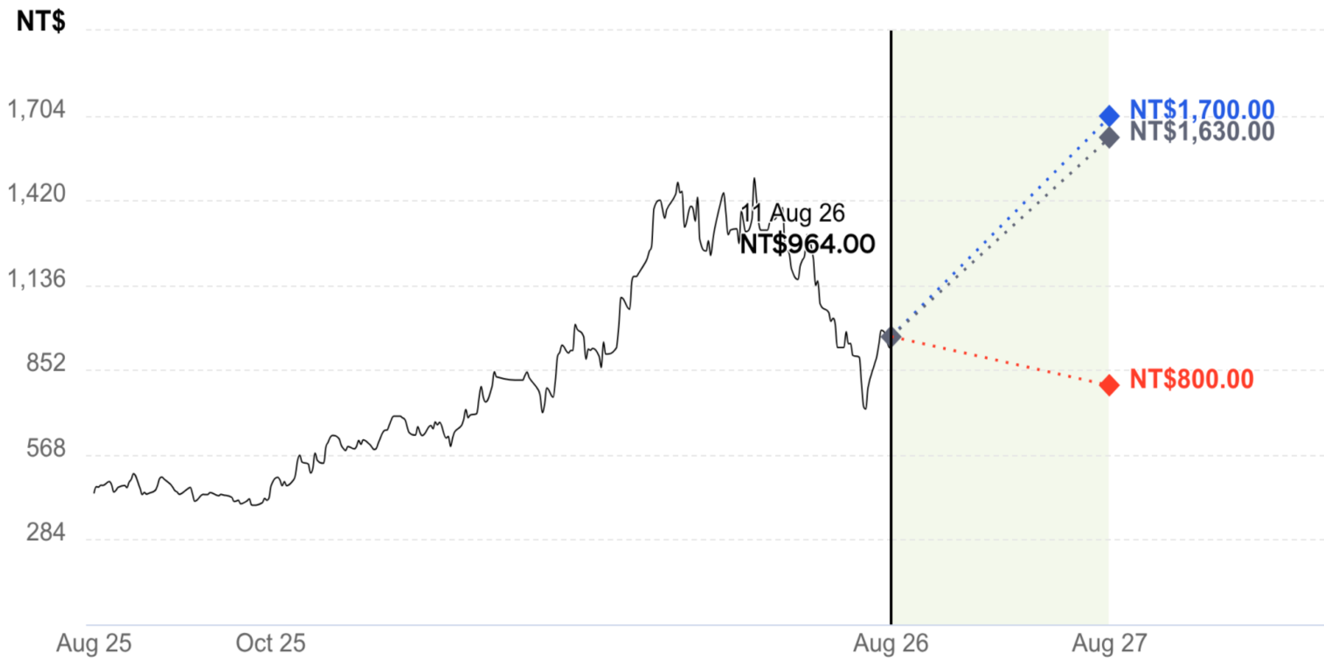
Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	65,804	73,399	101,089	118,005	137,948
Cost of sales	-50,516	-54,407	-70,950	-80,982	-92,525
Gross profit	15,288	18,992	30,139	37,023	45,423
Gross Margin (%)	23.2	25.9	29.8	31.4	32.9
EBITDA (Adj)	**14,071**	**16,915**	**27,008**	**33,424**	**40,792**
EBITDA Margin (Adj) (%)	21.4	23.0	26.7	28.3	29.6
Depreciation	-4,340	-4,003	-4,830	-5,617	-5,964
Amortisation	0	0	0	0	0
EBIT (Adj)	**9,731**	**12,912**	**22,177**	**27,807**	**34,828**
EBIT Margin (Adj) (%)	14.8	17.6	21.9	23.6	25.2
Net interest	916	742	674	875	855
Associates	66	-13	9	0	0
Non-Op/Except/Other Adj	284	357	177	344	344
Pre-tax profit	**10,996**	**13,998**	**23,037**	**29,026**	**36,027**
Tax	-2,614	-3,773	-6,655	-8,127	-10,088
Extraord./Min.Int./Pref.div.	0	0	0	0	0
Reported net profit	**8,382**	**10,225**	**16,382**	**20,899**	**25,939**
Net Margin (%)	12.7	13.9	16.2	17.7	18.8
Core NPAT	8,382	10,225	16,382	20,899	25,939
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Reported EPS ($)	15.95	19.45	31.17	39.76	49.35
Core EPS ($)	15.95	19.45	31.17	39.76	49.35
DPS ($)	10.30	12.64	20.26	25.84	32.97
CFPS ($)	23.19	22.39	20.55	48.22	53.93
FCFPS ($)	18.78	11.22	-5.49	29.20	38.71
BVPS ($)	95.69	102.90	121.42	140.92	164.43
Wtd avg ord shares (m)	526	526	526	526	526
Wtd avg diluted shares (m)	526	526	526	526	526
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue (%)	11.8	11.5	37.7	16.7	16.9
EBIT (Adj) (%)	46.9	32.7	71.8	25.4	25.2
Core NPAT (%)	38.3	22.0	60.2	27.6	24.1
Core EPS (%)	38.3	22.0	60.2	27.6	24.1
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash & cash equiv.	28,914	26,659	20,660	26,378	34,170
Accounts receivables	20,389	22,958	32,398	35,957	41,386
Inventory	8,590	12,019	16,447	17,168	19,972
Net fixed & other tangibles	25,077	28,534	37,392	41,775	43,811
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	4,593	7,991	10,449	11,397	12,654
Total assets	**87,564**	**98,162**	**117,345**	**132,675**	**151,994**
Accounts payable	7,119	9,334	10,782	11,801	13,704
Short-term debt	7,142	6,479	9,548	10,432	11,322
Long-term debt	0	1,000	1,474	1,610	1,748
Provisions & other liab	22,999	27,257	31,714	34,754	38,787
Total liabilities	**37,260**	**44,070**	**53,517**	**58,597**	**65,560**
Shareholders' equity	50,296	54,084	63,820	74,070	86,425
Minority interests	8	8	8	8	8
Total equity	**50,304**	**54,092**	**63,828**	**74,078**	**86,434**
Net debt (Adj)	**-21,772**	**-19,180**	**-9,638**	**-14,336**	**-21,100**
Net debt to equity (Adj) (%)	-43.3	-35.5	-15.1	-19.4	-24.4

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	27.7	22.7	14.2	11.1	8.9
PB (x)	4.6	4.3	3.6	3.1	2.7
EV/EBITDA (x)	15.1	12.4	8.0	6.5	5.2
FCF yield (%)	4.3	2.5	-1.2	6.6	8.8
Dividend yield (%)	2.3	2.9	4.6	5.9	7.5
Payout ratio (%)	65	65	65	65	67
ROE (%)	17.9	19.6	27.8	30.3	32.3
Cashflow (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBITDA	14,071	16,915	27,008	33,424	40,792
Working capital	-536	-2,461	-10,412	-1,170	-3,555
Other	-1,348	-2,687	-5,795	-6,908	-8,889
Operating cashflow	**12,187**	**11,767**	**10,801**	**25,346**	**28,348**
Capex	-2,316	-5,867	-13,688	-10,000	-8,000
Net acq/disposals	0	0	0	0	0
Other	-1,408	-2,971	-9	0	0
Investing cashflow	**-3,724**	**-8,838**	**-13,697**	**-10,000**	**-8,000**
Dividends paid	-3,942	-5,414	-6,646	-10,648	-13,584
Financing cashflow	**-181**	**-5,184**	**-3,103**	**-9,628**	**-12,556**
Net change in cash	**8,283**	**-2,255**	**-5,999**	**5,718**	**7,792**
Free cashflow to s/holders	**9,871**	**5,900**	**-2,887**	**15,346**	**20,348**

For definitions of the items in this table, please click here.

Bull/Bear: Gold Circuit Electronics (2368.TW)

Bull	Base	Bear
NT$1,700.00 ▲76% Upside	NT$1,630.00 ▲69% Upside	NT$800.00 ▼17% Downside



Spread 93pp
Current Price and expected returns (upside/downside) as of 11 Aug 2026

BULL Assumptions

- Penetration into more switch board/UBB/OAM businesses of US CSPs.
- Better efficiency of its Thailand plant.

BASE Assumptions

- Revenue YoY growth of +67%/+47% in 2026/27E.
- GM at 36.0%/40.1% in 2026/27E.

BEAR Assumptions

- Share loss to its peers in switch board/UBB/OAM businesses of US CSPs.
- Poor efficiency of its Thailand plant.

Bull/Bear: Tripod Technology (3044.TW)

NT$ 800.00	NT$ 700.00	NT$ 400.00
▲81% Upside	▲59% Upside	▼9.4% Downside

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Current Price and expected returns (upside/downside) as of 11 Aug 2026

BULL Assumptions

- Better-than-expected server demand recovery

BASE Assumptions

- Revenue YoY at +38%/+17% in 2026E/27E
- Gross margins at 29.8%/31.4% in 2026E/27E

BEAR Assumptions

- Slower than expected demand recovery

Gold Circuit Electronics

Company description

Founded in 1981, Gold Circuit Electronics (GCE) is a Taiwanese company specializing in the production of printed circuit board (PCB) including double-sided PCB, multi-layer PCB, and HDI. GCE's products primarily focus on applications of servers, networking, laptops, base stations, mobile phones, and tablets. The company is known for its high-layer count design capabilities (maximum layer count: +50L) in the PCB industry, which help it to penetrate into more high-end applications such as AI servers and 400G networking. Currently, server/networking accounts for +70% of its total sales. The company has four plants, with one located in Taiwan and the other three in China, and plans to build one plant in Thailand.

Investment strategy

We rate GCE a Buy as we believe its high-tech capabilities in server/networking design will allow it to catch more AI opportunities from US CSPs or US IC designers in the AI boom cycle. We expect its rising sales exposure toward high-end applications with better margins and improving UTR to drive its margin going forward. In our view, geopolitical tensions should benefit non-China suppliers more, which would prevent GCE from fierce ASP competition from China PCB peers.

Valuation

Our TP of NT$1,630 for GCE is based on 25x our 2027E EPS estimate, which is higher than 22x or +2std level of its 1-year-forward PE over the past three years. We believe the 25x multiple is justified by GCE's high AI server/networking sales exposure, market share gain in existing ASIC customer and new AI ASIC customer wins from 4Q26, which drives its AI ASIC sales growth and margin profile. Recall that TSMC expects close to a 50%+ CAGR in the next five years for its AI-related demand, which is stronger than any other applications. Thus, we believe investors would be willing to pay for high-growth AI names (especially ASIC) with high PE multiples. Our target price is equivalent to 44x/25x our 2026/27E EPS estimates and 16.5x/9.9x our 2026/27E BVPS.

Risks

Key downside risks that could prevent the shares from reaching our target price include: 1) weaker-than-expected server recovery; 2) slower ramp-up pace of new server platform; 3) less-than-expected AI demand; 4) more PCB peers added into AI supply chain; and 5) stricter practice of China+1 by customers due to geopolitical concerns.

Tripod Technology

Company description

Established in 1997, Tripod is a major printed circuit board (PCB) supplier, ranked No.9 globally by Prismark in 2025. Tripod has manufacturing sites in

Taiwan and Wuxi, China. The company has a diversified product portfolio including DRAM, TFT-LCD, HDD, HDI, PC, server, and automotive.

Investment strategy

We rate Tripod a Buy. We like Tripod for its management quality, solid execution, and product-mix improvement. We believe resilient growth from memory, server/networking, and auto businesses will offset soft demand from PCs/handsets and improve the overall margin profile at the same time. Increasing contribution from HDI products should also help margins. With prudent capex, stable depreciation level, and solid operations, we expect the PCB business to generate cash flow to support a decent dividend yield. With AI demand booming and potential supply tightness in high-end PCBs, we believe Tripod could benefit.

Valuation

We use DCF methodology to derive our target price of NT$700. Key assumptions of our DCF model include a risk-free rate of 4.5% (10-year government bond rate), a market risk premium of 7%, and an equity beta of 0.8 (1-year weekly share price), which derives a WACC of 9.7%. Our model assumes c.2% long-term revenue growth and gradually rising EBIT margin from 23.6% in 2027E. Our target price is equivalent to 23x/18x our 2026/27E EPS estimates and 5.8x/5.0x our 2026/27E BVPS estimates, which we believe are more reflective of its current fundamentals.

Risks

Key downside risks that could prevent Tripod shares from reaching our target price are: 1) weaker-than-expected tech demand; 2) increasing China labor costs, rising gold/copper prices, and/or RMB appreciation, which would pressure margins; 3) a sustained drop in conventional PCB pricing; 4) less HDI sales mix; 5) less server/networking/memory sales exposure; and 6) less-than-expected AI growth.

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Appendix A-1

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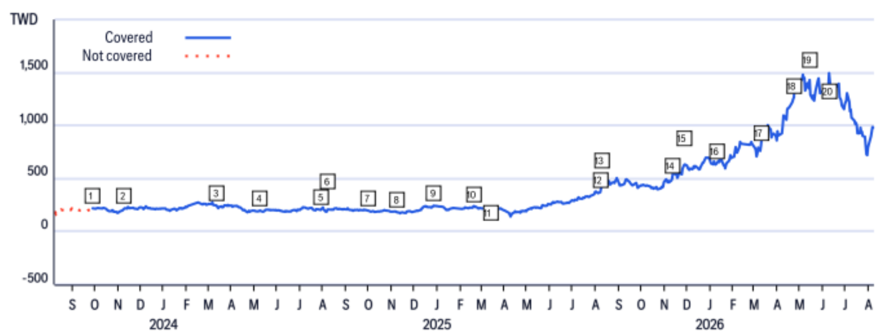
IMPORTANT DISCLOSURES

Gold Circuit Electronics (2368.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen



Date	Rating	Target Price	Closing Price
1 28-Sep-23 03:46:01	*1	*270.00	219.50
2 09-Nov-23 13:43:33	1	*275.00	215.00
3 12-Mar-24 09:50:59	1	*280.00	242.50
4 09-May-24 19:40:33	1	*270.00	198.50
5 29-Jul-24 14:25:02	1	*280.00	204.00
6 07-Aug-24 10:24:15	1	*285.00	207.00
7 30-Sep-24 06:13:16	1	*290.00	198.00

Date	Rating	Target Price	Closing Price
8 07-Nov-24 16:47:02	1	*275.00	188.50
9 27-Dec-24 08:55:33	1	*300.00	244.50
10 18-Feb-25 12:07:53	1	*305.00	236.50
11 13-Mar-25 10:30:00	1	*310.00	217.00
12 07-Aug-25 13:42:52	1	*450.00	372.00
13 08-Aug-25 10:05:38	1	*500.00	409.00
14 11-Nov-25 09:42:04	1	*600.00	498.50

Date	Rating	Target Price	Closing Price
15 26-Nov-25 12:21:53	1	*750.00	610.00
16 09-Jan-26 12:27:10	1	*820.00	637.00
17 10-Mar-26 19:51:47	1	*1,100.00	817.00
18 22-Apr-26 04:54:40	1	*1,500.00	1,250.00
19 13-May-26 11:55:06	1	*1,650.00	1,350.00
20 08-Jun-26 14:04:50	1	*1,740.00	1,360.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Tripod Technology (3044.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen

Date	Rating	Target Price	Closing Price
1 08-Aug-23 20:44:47	*1	*220.00	171.50
2 28-Sep-23 03:46:01	1	*280.00	192.50
3 09-Nov-23 13:43:33	1	*290.00	186.50
4 29-Feb-24 08:49:02	1	*280.00	208.00

Date	Rating	Target Price	Closing Price
5 08-Aug-24 09:48:06	1	*290.00	196.50
6 07-Nov-24 16:47:02	1	*280.00	200.50
7 11-May-25 20:26:29	1	*260.00	195.00
8 17-Jun-25 05:18:52	1	*300.00	227.00

Date	Rating	Target Price	Closing Price
9 07-Aug-25 13:42:52	1	*370.00	285.00
10 23-Jan-26 02:58:31	1	*500.00	360.50
11 05-Mar-26 07:40:59	1	*600.00	367.50
12 22-Apr-26 04:54:40	1	*666.00	459.50

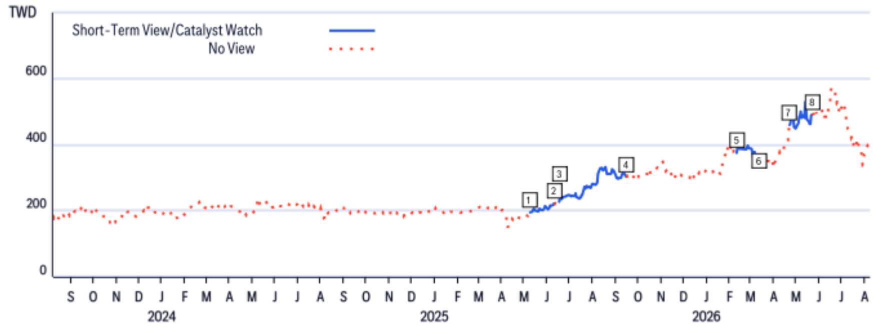
*Indicates Change

Rating/target price changes above reflect Eastern Time

Tripod Technology (3044.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	11-May-25 16:26:29	Add STV	Upside	30 Days	195.00
2	10-Jun-25 21:36:01	Remove STV	Upside	30 Days	222.00
3	17-Jun-25 01:18:52	Add CW	Upside	90 Days	227.00
4	15-Sep-25 21:48:08	Remove CW	Upside	90 Days	302.50
5	10-Feb-26 03:24:09	Add CW	Upside	30 Days	375.00
6	12-Mar-26 21:46:30	Remove CW	Upside	30 Days	359.00
7	22-Apr-26 00:54:40	Add CW	Upside	30 Days	459.50
8	22-May-26 14:25:45	Remove CW	Upside	30 Days	490.50

CW - Catalyst Watch , STV - Short-Term View

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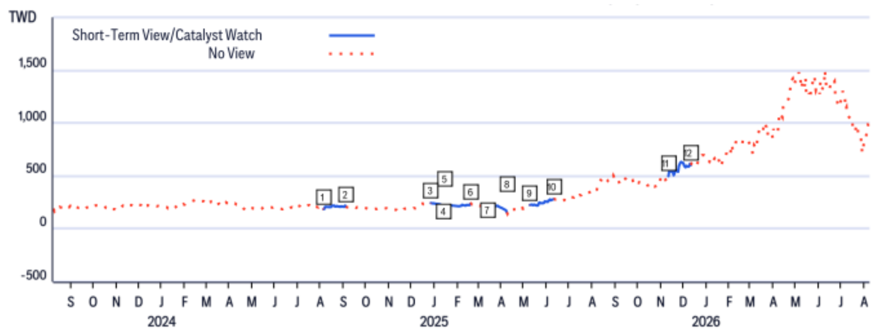
Gold Circuit Electronics (2368.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	05-Aug-24 02:41:35	Add CW	Upside	30 Days	187.00
2	04-Sep-24 21:42:12	Remove CW	Upside	30 Days	210.50
3	27-Dec-24 03:55:33	Add STV	Upside	30 Days	244.50
4	13-Jan-25 00:16:57	Remove STV	Upside	30 Days	203.50
5	13-Jan-25 00:16:57	Add CW	Downside	90 Days	203.50
6	18-Feb-25 07:07:53	Remove CW	Downside	90 Days	236.50
7	13-Mar-25 06:30:00	Add CW	Upside	30 Days	217.00
8	08-Apr-25 01:45:16	Remove CW	Upside	30 Days	158.00
9	11-May-25 16:26:29	Add CW	Upside	30 Days	226.00
10	10-Jun-25 21:35:53	Remove CW	Upside	30 Days	281.50
11	11-Nov-25 04:42:04	Add CW	Upside	30 Days	498.50
12	11-Dec-25 19:37:10	Remove CW	Upside	30 Days	603.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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11 Aug 2026 07:41:48 ET | 14 pages

Inventec (2356.TW)

Structural shift toward AI server business remains intact, but short-term headwinds from tight upstream components supply

CITI'S TAKE

Inventec reported 2Q26 net profit of NT$3,895m, up 60% QoQ and 78% YoY, beating our and consensus estimates by 31-37%, mainly driven by strong revenues growth of 35% QoQ and 45% YoY given the NB pull-in demand and the ramp of server business. Nonetheless, GM dropped from 1Q26's 5.1% to 4.2% and missed market expectation (Citi/Consensus 5.2%/5.1%) due to the margins dilution effect from higher component cost, especially in NB products line. While current outlook into 3Q looks to be tempered by the tight supply of upstream components for server business and the inevitable NB shipment decline on strong pull-in in 1H, we remain constructive over its growth outlook into next year, backed by its new production capacity ramps, emerging general server and ASIC business and continued ramps of its rack level AI server business. Maintain Buy.

Flattish 3Q sales with sequential GM improvement — Despite Inventec already achieving >30% QoQ sales growth for both server and NB business in 2Q, the company is guiding for 3Q26 revenues to be flattish QoQ. NB shipment is expected to decline HSD QoQ, but due to better mix toward commercial NB products and price hike, Inventec is expecting a slight sequential decrease for its NB revenues. With strength in server to largely offset weakness in NB, GM is expected to improve sequentially, marking 2Q as the trough of the year.

Near-term delay not changing its long-term server growth narrative — Inventec commented that the supply shortage in some key components (memory, CPUs, PCB, etc) has led to some order delay from 3Q to 4Q. We acknowledge the near-term supply shortage may cap upside to its server sales momentum in 3Q, but we see long-term growth upside from its continued build-up of its system level server capacity, upward AI demand trajectory, especially from its Chinese clients and accelerating general server demand from emerging agentic AI applications, driving its overall OPM expansion in the years to come. To support the expanding project demand, its 2026 capex is guided to double to US$1bn, from 2025 levels as it builds new facility for production diversification and server capacity expansion.

Maintain Buy — We raise our 2026/27 earnings by 9%/16% to model in better than expected 2Q results and continued ramps of its server capacity. We raise our TP to NT$75 (17x 2027 EPS vs 18x forward earnings previously) from NT$63, as we move forward our valuation base year to 2027.

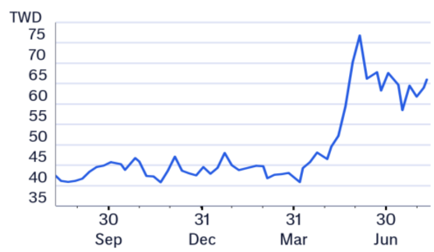
Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	7,306	2.04	19.1	32.0	3.3	11.0	2.6
2025A	8,690	2.42	18.9	26.9	3.1	11.8	2.7
2026E	13,782	3.84	58.6	16.9	3.2	18.4	4.3
2027E	16,176	4.51	17.4	14.4	2.9	21.0	5.1
2028E	17,733	4.94	9.6	13.2	2.7	21.4	5.6

Source: Powered by dataCentral

Buy	
Price (11 Aug 26 13:30)	NT$65.10
Target price	NT$75.00↑
from NT$63.00	
Expected share price return	15.2%
Expected dividend yield	2.6%
Expected total return	17.8%
Market Cap	NT$233,545M
	US$7,240M

Price Performance (RIC: 2356.TW, BB: 2356 TT)



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2356.TW: Fiscal year end 31-Dec

Price: NT$65.10; TP: NT$75.00; Market Cap: NT$233,545m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	646,262	691,190	1,006,303	1,076,800	1,131,031
Cost of sales	-612,925	-654,476	-958,559	-1,019,034	-1,069,532
Gross profit	33,337	36,715	47,744	57,766	61,499
Gross Margin (%)	5.2	5.3	4.7	5.4	5.4
EBITDA (Adj)	**15,863**	**15,185**	**21,723**	**25,592**	**27,544**
EBITDA Margin (Adj) (%)	2.5	2.2	2.2	2.4	2.4
Depreciation	-4,009	-2,479	-3,204	-3,204	-3,204
Amortisation	0	0	0	0	0
EBIT (Adj)	**11,855**	**12,706**	**18,519**	**22,389**	**24,340**
EBIT Margin (Adj) (%)	1.8	1.8	1.8	2.1	2.2
Net interest	-3,095	-3,385	-3,355	-3,355	-3,355
Associates	-449	1,819	644	114	114
Non-Op/Except/Other Adj	938	865	1,816	1,217	1,217
Pre-tax profit	**9,248**	**12,006**	**17,624**	**20,365**	**22,317**
Tax	-1,944	-2,722	-3,848	-4,242	-4,643
Extraord./Min.Int./Pref.div.	1	-594	6	53	60
Reported net profit	**7,306**	**8,690**	**13,782**	**16,176**	**17,733**
Net Margin (%)	1.1	1.3	1.4	1.5	1.6
Core NPAT	7,306	8,690	13,782	16,176	17,733
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Reported EPS ($)	2.04	2.42	3.84	4.51	4.94
Core EPS ($)	2.04	2.42	3.84	4.51	4.94
DPS ($)	1.70	1.78	2.83	3.32	3.64
CFPS ($)	-1.99	4.55	21.06	22.36	6.68
FCFPS ($)	-3.51	2.05	18.64	21.58	5.90
BVPS ($)	19.88	21.23	20.61	22.29	23.91
Wtd avg ord shares (m)	3,587	3,587	3,587	3,587	3,587
Wtd avg diluted shares (m)	3,587	3,587	3,587	3,587	3,587
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue (%)	25.5	7.0	45.6	7.0	5.0
EBIT (Adj) (%)	58.8	7.2	45.7	20.9	8.7
Core NPAT (%)	19.1	18.9	58.6	17.4	9.6
Core EPS (%)	19.1	18.9	58.6	17.4	9.6
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Cash & cash equiv.	30,934	54,315	120,291	187,508	196,703
Accounts receivables	164,762	119,658	152,489	153,632	161,512
Inventory	65,147	76,912	180,361	205,701	216,107
Net fixed & other tangibles	39,553	47,687	35,803	35,399	34,995
Goodwill & intangibles	662	294	245	245	245
Financial & other assets	34,887	32,806	44,233	45,703	47,341
Total assets	**335,944**	**331,672**	**533,421**	**628,187**	**656,903**
Accounts payable	135,836	109,168	277,478	362,149	380,470
Short-term debt	65,675	76,307	77,832	77,832	77,832
Long-term debt	8,390	8,678	8,231	8,231	8,231
Provisions & other liab	55,557	61,071	95,668	99,738	104,315
Total liabilities	**265,458**	**255,224**	**459,209**	**547,950**	**570,847**
Shareholders' equity	71,320	76,177	73,926	79,951	85,769
Minority interests	-834	271	286	286	286
Total equity	**70,487**	**76,448**	**74,212**	**80,237**	**86,055**
Net debt (Adj)	**43,131**	**30,670**	**-34,228**	**-101,445**	**-110,640**
Net debt to equity (Adj) (%)	61.2	40.1	-46.1	-126.4	-128.6

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	32.0	26.9	16.9	14.4	13.2
PB (x)	3.3	3.1	3.2	2.9	2.7
EV/EBITDA (x)	15.6	16.7	10.0	5.9	4.1
FCF yield (%)	-5.4	3.2	28.6	33.2	9.1
Dividend yield (%)	2.6	2.7	4.3	5.1	5.6
Payout ratio (%)	83	74	74	74	74
ROE (%)	11.0	11.8	18.4	21.0	21.4
Cashflow (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBITDA	15,863	15,185	21,723	25,592	27,544
Working capital	-18,337	4,553	58,556	60,903	3,087
Other	-4,653	-3,422	-4,742	-6,265	-6,667
Operating cashflow	**-7,127**	**16,316**	**75,536**	**80,230**	**23,965**
Capex	-5,448	-8,959	-8,653	-2,800	-2,800
Net acq/disposals	-2,190	9,065	-3,633	-114	-114
Other	0	0	0	0	0
Investing cashflow	**-7,639**	**107**	**-12,286**	**-2,914**	**-2,914**
Dividends paid	-5,381	-6,099	-6,401	-10,151	-11,915
Financing cashflow	**16,329**	**8,245**	**-14,657**	**-10,099**	**-11,855**
Net change in cash	**2,839**	**24,667**	**48,593**	**67,217**	**9,195**
Free cashflow to s/holders	**-12,575**	**7,357**	**66,883**	**77,430**	**21,165**

For definitions of the items in this table, please click here.

Figure 1. Inventec – 2Q26 results overview

	2Q26	1Q26		2Q25		2Q26		2Q26	
(NT$mn)	Actual	Actual	Q/Q	Actual	Y/Y	Citi	Diff.	Cons.	Diff.
Revenue	269,857	200,311	35%	186,577	45%	210,874	28%	236,739	14%
Gross profit	11,416	10,177	12%	9,503	20%	11,042	3%	11,974	-5%
Gross margin	4.2%	5.1%	-0.8 ppt	5.1%	-0.9 ppt	5.2%	-1.0 ppt	5.1%	-0.8 ppt
Op. profit	4,741	3,615	31%	3,635	30%	3,873	22%	4,294	10%
OP margin	1.8%	1.8%	-0.0 ppt	1.9%	-0.2 ppt	1.8%	-0.1 ppt	1.8%	-0.1 ppt
Net income	3,895	2,428	60%	2,190	78%	2,835	37%	2,964	31%
EPS (NT$)	1.09	0.68	60%	0.61	78%	0.82	32%	0.82	32%

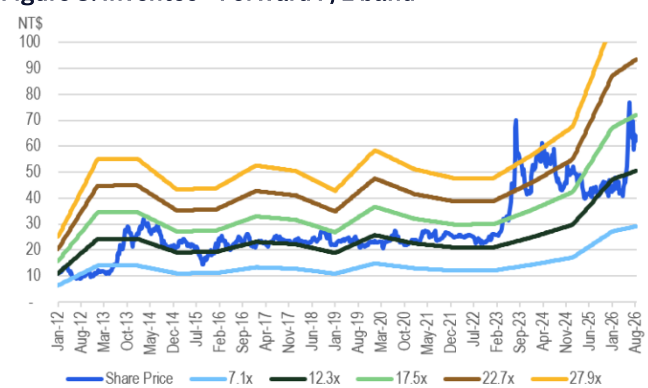
Source: Citi Research, Bloomberg

Figure 2. Inventec – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	1,006,303	817,759	23%	1,076,800	789,716	36%	1,131,031	833,035	36%
YoY growth	46%	18%		7%	-3%		5%	5%	
Gross profit	47,744	43,484	10%	57,766	44,147	31%	61,499	47,221	30%
Opex	29,226	26,742	9%	35,378	26,303	34%	37,159	27,723	34%
Operating profit	18,519	16,742	11%	22,389	17,844	25%	24,340	19,498	25%
Pre-tax profit	17,624	16,033	10%	20,365	17,336	17%	22,317	18,785	19%
Net income	13,782	12,601	9%	16,176	13,900	16%	17,733	15,024	18%
EPS (NT$)	3.84	3.51	9%	4.51	3.87	16%	4.94	4.19	18%
Gross margin	4.7%	5.3%	-0.6 ppt	5.4%	5.6%	-0.2 ppt	5.4%	5.7%	-0.2 ppt
Opex ratio	2.9%	3.3%	-0.4 ppt	3.3%	3.3%	-0.0 ppt	3.3%	3.3%	-0.0 ppt
Operating margin	1.8%	2.0%	-0.2 ppt	2.1%	2.3%	-0.2 ppt	2.2%	2.3%	-0.2 ppt
Net margin	1.4%	1.5%	-0.2 ppt	1.5%	1.8%	-0.3 ppt	1.6%	1.8%	-0.2 ppt

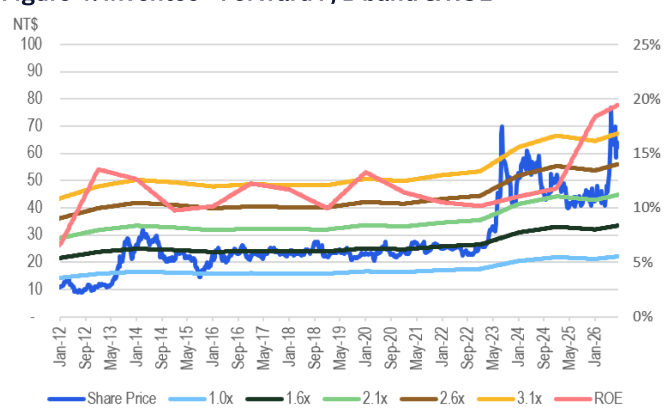
Source: Citi Research

Figure 3. Inventec – Forward P/E band



Source: Citi Research, company data

Figure 4. Inventec – Forward P/B band & ROE



Source: Citi Research, company data

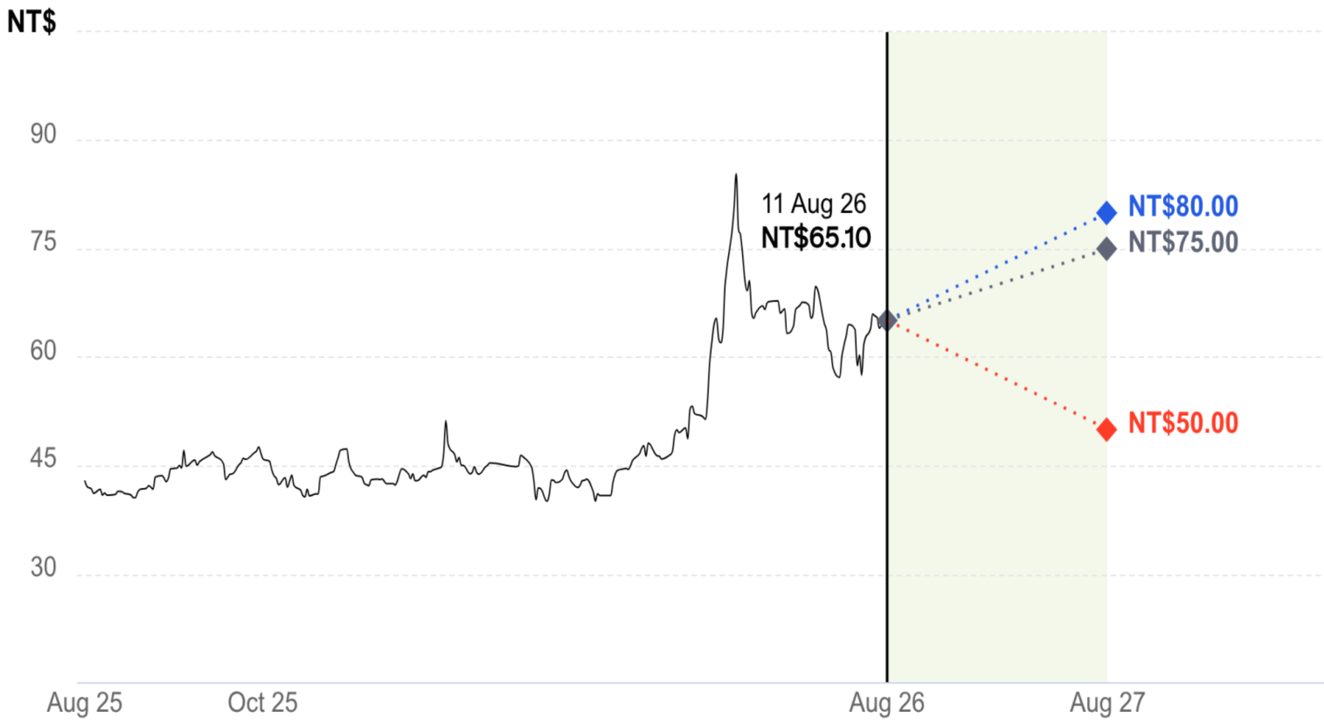
Figure 5. Inventec – Forecast Summary

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Net sales	200,311	269,857	268,546	267,589	230,368	264,846	301,207	280,379	646,262	691,190	1,006,303	1,076,800	1,131,031
Gross profit	**10,177**	**11,416**	**12,562**	**13,590**	**12,193**	**13,828**	**16,536**	**15,209**	**33,337**	**36,715**	**47,744**	**57,766**	**61,499**
OPEX	6,562	6,675	6,714	9,285	7,535	8,475	9,639	9,729	21,482	24,008	29,226	35,378	37,159
Operating profit	**3,615**	**4,741**	**5,848**	**4,304**	**4,658**	**5,353**	**6,897**	**5,480**	**11,855**	**12,706**	**18,519**	**22,389**	**24,340**
Total Non-OP	(308)	276	(327)	(535)	(154)	(574)	(761)	(535)	(2,607)	(700)	(895)	(2,024)	(2,024)
Pre-tax profit	3,307	5,017	5,521	3,770	4,504	4,780	6,136	4,945	9,248	12,006	17,624	20,365	22,317
Income tax	873	1,117	1,104	754	878	1,147	1,227	989	1,944	2,722	3,848	4,242	4,643
Net profit	**2,428**	**3,895**	**4,425**	**3,024**	**3,634**	**3,648**	**4,924**	**3,971**	**7,306**	**8,690**	**13,782**	**16,176**	**17,733**
EPS (NT$)	**0.68**	**1.09**	**1.23**	**0.84**	**1.01**	**1.02**	**1.37**	**1.11**	**2.04**	**2.42**	**3.84**	**4.51**	**4.94**
Margins (%)													
Gross profit	**5.1**	**4.2**	**4.7**	**5.1**	**5.3**	**5.2**	**5.5**	**5.4**	**5.2**	**5.3**	**4.7**	**5.4**	**5.4**
OPEX to Sales Ratio	3.3	2.5	2.5	3.5	3.3	3.2	3.2	3.5	3.3	3.5	2.9	3.3	3.3
Operating profit	**1.8**	**1.8**	**2.2**	**1.6**	**2.0**	**2.0**	**2.3**	**2.0**	**1.8**	**1.8**	**1.8**	**2.1**	**2.2**
Pre-tax profit	1.7	1.9	2.1	1.4	2.0	1.8	2.0	1.8	1.4	1.7	1.8	1.9	2.0
Net profit	**1.2**	**1.4**	**1.6**	**1.1**	**1.6**	**1.4**	**1.6**	**1.4**	**1.1**	**1.3**	**1.4**	**1.5**	**1.6**
Y/Y(%)													
Net sales	27.6	44.6	52.3	56.2	15.0	(1.9)	12.2	4.8	25.5	7.0	45.6	7.0	5.0
Gross profit	8.1	20.1	41.5	52.3	19.8	21.1	31.6	11.9	26.6	10.1	30.0	21.0	6.5
OPEX	10.5	13.8	15.6	45.4	14.8	27.0	43.6	4.8	13.8	11.8	21.7	21.0	5.0
Operating profit	4.1	30.4	90.7	69.6	28.9	12.9	17.9	27.3	58.8	7.2	45.7	20.9	8.7
Pre-tax profit	53.6	72.3	31.3	37.4	36.2	(4.7)	11.1	31.2	27.8	29.8	46.8	15.6	9.6
Net profit	42.6	77.9	62.1	45.8	49.6	(6.4)	11.3	31.3	19.1	18.9	58.6	17.4	9.6
Q/Q(%)													
Net sales	16.9	34.7	(0.5)	(0.4)	(13.9)	15.0	13.7	(6.9)					
Gross profit	14.0	12.2	10.0	8.2	(10.3)	13.4	19.6	(8.0)					
OPEX	2.8	1.7	0.6	38.3	(18.9)	12.5	13.7	0.9					
Operating profit	42.4	31.1	23.4	(26.4)	8.2	14.9	28.8	(20.6)					
Pre-tax profit	20.5	51.7	10.0	(31.7)	19.5	6.1	28.4	(19.4)					
Net profit	17.1	60.4	13.6	(31.7)	20.2	0.4	35.0	(19.4)					

Source: Citi Research, company data

Bull/Bear: Inventec (2356.TW)

NT$ 80.00 ▲23% Upside	NT$ 75.00 ▲15% Upside	NT$ 50.00 ▼23% Downside



Spread 46pp
Current Price and expected returns (upside/downside) as of 11 Aug 2026

BULL Assumptions

- Better than expected AI server project demand

BASE Assumptions

- OPM at 2.0-2.3% in 2026E-27E

BEAR Assumptions

- Weaker than expected AI server project demand

Inventec

Company description

Established in 1975 and listed in 1996, Taiwan-based Inventec is a key ODM of NBs, servers, smartphones, and wearable/IoT devices to global customers. Major shareholders include the founder Mr. Yeh Kuo-I, whose family has (both directly and indirectly) a c35% stake.

Investment strategy

We rate Inventec shares as Buy. We expect stable demand in NB and server to help support near-term earnings, while product diversification within smart devices to areas such as IoT and medical space should help improve L-T margins. We expect the company's solid cash yield to serve as a downside cushion.

Valuation

Our target price of NT$75 for Inventec shares is based on 17x 2027 EPS, which is slightly above the mid-point of its historical trading range, reflecting the company's product diversification and stable demand outlook led by servers and commercial NBs, as well as increasing AI server exposure that could potentially drive margin expansion and better earnings momentum.

Risks

Key downside risks that could impede the stock from reaching our target price include: 1) Slower-than-expected shipment growth/weaker-than-expected sell-through in HomePods and AirPods could lead to downside in our sales forecasts; 2) If competitors adopt aggressive pricing strategies to gain market shares, our ASP and margin assumptions could face downside risk; 3) Lower-than-expected server margins driven by rising exposure to Chinese customers could impact our earnings forecasts negatively; 4) Deterioration in NB demand and investment in solar would hurt our forecasts; and 5) Stronger-than-expected Taiwan dollar could lead to FX loss and downside to our current forecasts.

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Appendix A-1

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IMPORTANT DISCLOSURES

Inventec (2356.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Nicholas Lai

Date	Rating	Target Price	Closing Price
1 10-Nov-23 10:22:40	1	*62.00	42.50
2 12-Mar-24 09:17:45	1	*70.00	55.60
3 13-Aug-24 11:11:17	1	*62.00	47.80
4 11-Nov-24 08:23:28	1	*61.00	54.10
5 13-May-25 08:27:49	1	*60.00	42.90
6 12-May-26 11:55:05	1	*63.00	48.70

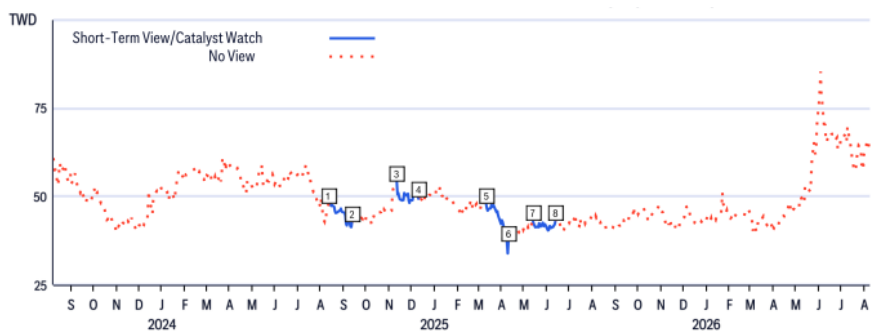
*Indicates Change

Rating/target price changes above reflect Eastern Time

Inventec (2356.TW)

Short-Term View/Catalyst Watch Research

Analyst: Nicholas Lai



Date	Action	Expected Direction	Duration	Closing Price
1 13-Aug-24 07:11:17	Add STV	Downside	30 Days	47.80
2 12-Sep-24 21:44:41	Remove STV	Downside	30 Days	42.85
3 11-Nov-24 03:23:28	Add STV	Downside	30 Days	54.10
4 11-Dec-24 19:58:15	Remove STV	Downside	30 Days	49.60
5 11-Mar-25 03:52:14	Add STV	Upside	30 Days	47.80
6 10-Apr-25 21:37:35	Remove STV	Upside	30 Days	37.25
7 13-May-25 04:27:49	Add STV	Upside	30 Days	42.90
8 12-Jun-25 21:35:47	Remove STV	Upside	30 Days	43.05

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Jul 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.
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Micro-Star (2377.TW)

2Q26 Beat on Margin from Inflated Material Cost Pass-Through

CITI'S TAKE

MSI reported 2Q26 net profit of NT$3.0bn (-12% QoQ/+123% YoY) significantly beat Citi/cons forecasts by 90%/44%, mainly on stronger-than-expected margins and non-op gains. 2Q26 GPM of 16.0% (+1.0ppt QoQ/+4.9ppts YoY) came in well above Citi/cons estimates, primarily reflecting the pass-through of rising memory-driven product ASPs while MSI still benefits from lower-cost inventory procured earlier. Non-operating income of NT$352mn also provided an additional boost to the bottom line. Looking ahead, we expect memory shortages and elevated ASPs to constrain the company's shipment volume, though pricing should remain solid. We are Neutral on MSI, as we believe the recent share price strength has reflected the robust margin performance. We expect to turn more positive only when PC demand recovers or the server business provides a more substantial earnings contribution.

Neutral	
Price (11 Aug 26 13:30)	NT$154.00
Target price	NT$118.00
Expected share price return	-23.4%
Expected dividend yield	2.7%
Expected total return	-20.6%
Market Cap	NT$130,108M
	US$4,034M

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Figure 1. MSI - 2Q26 earnings review

	2Q26			1Q26	QoQ	2Q25	YoY	2Q26	
(NT$ mn)	Actual	Citi est.	Diff (%)	Actual	(%)	Actual	(%)	BBG	Diff (%)
Revenue	49,913	52,535	-5%	56,257	-11%	61,317	-19%	52,897	-6%
Gross profits	7,969	6,308	26%	8,441	-6%	6,815	17%	7,260	10%
Operating profits	3,281	1,948	68%	3,876	-15%	2,064	59%	2,603	26%
Pretax earnings	3,633	2,021	80%	4,133	-12%	1,910	90%	2,686	35%
Net income	2,999	1,577	90%	3,417	-12%	1,343	123%	2,083	44%
EPS (NT$)	3.55	1.87	90%	4.04	-12%	1.59	123%	2.47	44%
Magins (%)									
Gross margin	16.0%	12.0%	4.0%	15.0%	1.0%	11.1%	4.9%	13.7%	2.2%
Operaing margin	6.6%	3.7%	2.9%	6.9%	-0.3%	3.4%	3.2%	4.9%	1.7%
Net margin	6.0%	3.0%	3.0%	6.1%	-0.1%	2.2%	3.8%	3.9%	2.1%

Source: Company Reports, Citi Research Estimates, Bloomberg consensus

Micro-Star

Valuation

Our target price of NT$118 is based on c.12x 2026E EPS, below the stock's five-year average forward 12-month PE. This valuation reflects the earnings downside risks from muted PC demand and margin pressure from soaring component costs, while accounting for the time required for the server business to achieve meaningful scale.

Risks

Key upside risks that could cause MSI's shares to trade above our target price include: 1) a sharper-than-expected recovery in high-end gaming demand; and 2) faster-than-anticipated revenue contribution from the AI server segment. Key downside risks include: 1) a deeper-than-expected contraction in global PC shipments; 2) prolonged supply shortages for gaming GPUs due to Ai resource crowding; and 3) inability to pass through surging memory and CPU costs to price-sensitive consumers.

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Appendix A-1

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Fundamental Research

Analyst: Michael Hung

	Date	Rating	Target Price	Closing Price
1	01-Mar-24 02:33:21	1	*215.00	191.00
2	27-Aug-24 09:09:36	1	*235.00	180.00
3	12-Mar-25 08:51:46	1	*210.00	179.00
4	12-May-25 08:46:00	1	*180.00	145.50
5	13-Mar-26 10:21:15	*2	*100.00	92.80
6	22-May-26 03:30:59	2	*118.00	124.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Micro-Star (2377.TW)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung

	Date	Action	Expected Direction	Duration	Closing Price
1	27-Aug-24 05:09:36	Add STV	Upside	30 Days	180.00
2	26-Sep-24 21:56:15	Remove STV	Upside	30 Days	173.50
3	12-Mar-25 04:51:46	Add STV	Downside	30 Days	179.00
4	11-Apr-25 14:08:08	Remove STV	Downside	30 Days	127.00
5	12-May-25 04:46:00	Add STV	Downside	30 Days	145.50
6	11-Jun-25 21:35:28	Remove STV	Downside	30 Days	145.00
7	13-Mar-26 06:21:15	Add STV	Downside	30 Days	92.80
8	12-Apr-26 21:49:12	Remove STV	Downside	30 Days	90.80

CW - Catalyst Watch , STV - Short-Term View

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Daiwa Capital Markets
Hong Kong Limited

earnings

11 August 2026

MEMO

Taiwan Microloops (6831 TT)

Share price (11 Aug): **TWD617.00** 12-mth rating: **Buy (1)** **Industrials: Taiwan**

2Q26 review: core business results largely in line with estimates

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Summary: Microloops released its 2Q26 results on 11 August after market hours. Overall, its 2Q26 operating profit of TWD112m (+100.9% QoQ, +1.9% YoY) was largely in line with our and the consensus estimates. Likely with some FX losses, its 2Q26 EPS came in at TWD1, missing our and the consensus estimates of TWD1.09.

We have a Buy (1) rating and 12-month TP of TWD1,325, based on a target PER of 40x applied to our one-year-forward EPS forecast. For more information on the company, please refer to our latest report, *Positive outlook over 2026-28*, published on 28 July 2026.

What's the impact

- **2Q26 results: core business largely in line with estimates.** Microloops' 2Q26 revenue of TWD1,047m (+22.5% QoQ, +0.6% YoY) was in line with our and the Bloomberg consensus estimates. Its 2Q26 gross margin came in at 21.5% (vs. 18.2% in 1Q26 and 20.1% in 2Q25), slightly lower than our (22.0%) and the consensus (22.5%) estimates. Its operating margin of 10.7% (vs. 6.5% in 1Q26 and 10.6% in 2Q25), was also slightly lower than our (10.9%) and the consensus (11.3%) estimates. Thus, its operating profit of TWD112m (+100.9% QoQ, +1.9% YoY) was roughly in line with our and the consensus estimates. Likely with some FX losses, its net profit of TWD68m (+51.5% QoQ, +166.2% YoY) missed our and the consensus estimates by 8.5% and 8.1%, respectively. Its 2Q26 EPS finished at TWD1, missing our and the consensus estimates of TWD1.09.

Microloops: 2Q26 results review

(TWDm)	2Q26 results	Our forecast	Differ	Bloomberg consensus	Differ
Revenue	1,047	1,047	0.0%	1,020	2.6%
Gross profit	225	230	-2.4%	230	-2.1%
Operating profit	112	114	-1.5%	115	-2.2%
Profit before tax	91	100	-8.9%	99	-7.7%
Net profit	68	74	-8.5%	74	-8.1%
Basic EPS	1.00	1.09	-8.6%	1.09	-7.8%
Margin					
Gross margin	21.5%	22.0%	-0.5pp	22.5%	-1pp
Operating margin	10.7%	10.9%	-0.2pp	11.3%	-0.5pp
Pre-tax margin	8.7%	9.5%	-0.8pp	9.7%	-1pp
Net margin	6.5%	7.1%	-0.6pp	7.2%	-0.8pp

Source: Company, Bloomberg, Daiwa forecasts

- **Intact revenue outlook over 2026-28E - at least double YoY.** Due to likely rising liquid-cooling penetration over 2026-28 in ASIC and NIC cards, management maintains its revenue guidance of at least doubling YoY over 2026-28. Besides, amid a rising level of automation and improving production procedures, management expects the company's gross and operating margins to improve QoQ in 2H26. Management also expects the revenue momentum to pick up MoM in 2H26, translating into record-high monthly revenue from July to December 2026. In 4Q26, the revenue drivers will include ASICs and CPUs, in our view. Microloops aims for a new CSP client to start contributing revenue in 2Q27, with another new CSP client expected to come on board in 2028.

What we recommend

We have a Buy (1) rating and 12-month TP of TWD1,325, based on a target PER of 40x and applied to our 1-year forward EPS forecast. Based on our 2026/27E EPS, the stock is currently trading at PERs of 40.9x/16.4x, vs. its past-3-year trading range of 8-39x. Key downside risks: weaker-than-expected global AI server demand; slower-than expected progress in ASIC AI server development.

In the interests of timeliness, this document has not been edited.

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

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Goldman Sachs Research

Equity Research
11 August 2026 | 2:05AM CST

All Ring Tech Co. (6187.TWO)

Earnings Review: 2Q26 margin beat; Multiple drivers into 2027 with potential new US customer penetration beyond; reiterate Buy

6187.TWO	12m Price Target: **NT$1,450.00**	Price: **NT$1,090.00**	Upside: **33.0%**

BUY

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2Q26 margin beat on better product mix

All Ring reported its 2Q26 preliminary results (see Exhibit 1) on 10 Aug. 2Q26 results beat both GSe and Bloomberg consensus due to higher GM, lower opex and higher non-op gains. GM in 2Q26 reached 54.8% (vs. 51.8% in 1Q26) and came in above GSe/cons. of 54.0%/52.5%, driven by higher mix from higher-margin CoWoS-related business. Meanwhile, 2Q26 OpM of 33.3% beat both GSe/cons. of 29.2%/29.6% thanks to better cost control and stronger operating leverage. Below the operating line, non-operating income reached NT$174mn in 2Q26, primarily attributable to much higher gains from equity investment, which led to a strong EPS (NT$8.50) beat by 36-39% vs GSe/cons.

Strong momentum into 3Q26 but 4Q26 to slow on seasonality

For 3Q26, management expects revenue to show strong momentum into 3Q26 driven by continuous CoWoS-related demand pull in. On the margin front, management expects GM to remain broadly in line with 2Q26 levels as product mix is likely similar to 2Q26. However, opex is now also guided to grow sequentially in 3Q26 as management expects higher employee bonus expenses following growth in pre-tax earnings. Looking further into 4Q26, management expects revenue to be slightly above the 2Q26 revenue level, while GM could see modest pressure from the ramp-up of new products, including panel-level packaging and CPO-related equipment. Overall, we now model 3Q26E revenue to grow by 29% QoQ but down 22% QoQ in 4Q26E, with GM of 54.9%/52.6% in 3Q26E/4Q26E.

Long-term growth outlook remains intact

Looking ahead, we remain positive on All Ring's long-term growth prospects thanks to ongoing technology migration as well as new product line ramp. We are now expecting its 2027E revenue to grow

Key Data

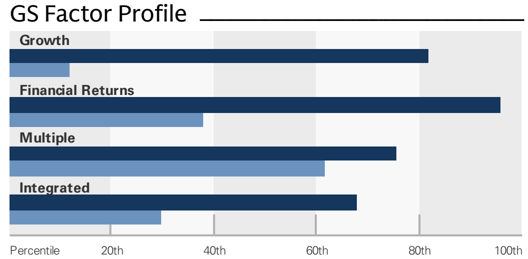
Market cap: NT$104.7bn / $3.2bn
Enterprise value: NT$101.5bn / $3.1bn
3m ADTV: NT$2.9bn / $90.5mn
Taiwan
Taiwan Semiconductor
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**5,366.2**	**9,171.9**	**13,196.9**	**16,678.9**
Revenue (NT$ mn) Old	5,366.2	9,276.9	13,477.6	17,193.8
EBITDA (NT$ mn)	1,679.3	3,102.2	4,999.2	6,423.4
EPS (NT$) New	**15.47**	**28.01**	**41.42**	**52.37**
EPS (NT$) Old	15.47	28.23	44.30	59.13
P/E (X)	22.7	38.9	26.3	20.8
P/B (X)	4.5	12.7	10.3	8.6
Dividend yield (%)	3.3	1.9	2.8	3.6
CROCI (%)	44.2	36.6	64.9	66.2

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	8.50	9.43	6.71	5.76

GS Factor Profile



6187.TWO relative to Asia ex. Japan Coverage
6187.TWO relative to Taiwan Semiconductor

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

All Ring Tech Co. (6187.TWO)

BUY

Rating since Mar 11, 2026

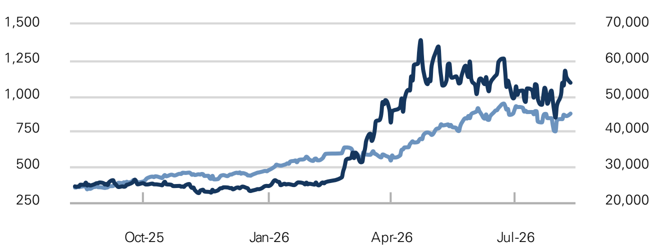
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	22.7	38.9	26.3	20.8
P/B (X)	4.5	12.7	10.3	8.6
FCF yield (%)	4.3	0.2	2.2	3.7
EV/EBITDAR (X)	17.8	33.1	20.5	15.8
EV/EBITDA (excl. leases) (X)	17.8	33.1	20.5	15.8
CROCI (%)	44.2	36.6	64.9	66.2
ROE (%)	21.5	35.2	44.2	45.7
Net debt/equity (%)	(51.3)	(37.8)	(33.9)	(35.8)
Net debt/equity (excl. leases) (%)	(51.3)	(37.8)	(33.9)	(35.8)
Interest cover (X)	172.6	435.7	773.9	990.8
Days inventory outst, sales	70.2	68.4	82.5	78.4
Receivable days	82.1	43.7	51.8	53.4
Days payable outstanding	210.6	161.3	201.3	199.3
DuPont ROE (%)	19.8	32.8	39.2	41.2
Turnover (X)	0.6	0.8	0.9	1.0
Leverage (X)	1.3	1.4	1.5	1.4
Gross cash invested (ex cash) (NT$)	3,924.6	5,477.6	7,270.7	8,591.1
Average capital employed (NT$)	3,457.9	4,398.5	5,977.2	7,371.2
BVPS (NT$)	77.10	85.52	106.02	127.32

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(3.0)	70.9	43.9	26.4
EBITDA growth	13.2	84.7	61.1	28.5
EPS growth	0.7	81.1	47.9	26.4
DPS growth	0.7	81.1	47.9	26.4
EBIT margin	30.0	32.7	36.8	37.4
EBITDA margin	31.3	33.8	37.9	38.5
Net income margin	27.7	29.6	30.5	30.5

Price Performance



	3m	6m	12m
Absolute	1.9%	184.6%	203.6%
Rel. to the Taiwan SE Weighted Index	(5.7)%	109.5%	62.3%

Source: FactSet. Price as of 10 Aug 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	5,366.2	9,171.9	13,196.9	16,678.9
Cost of goods sold	(2,452.9)	(4,238.8)	(6,044.3)	(7,526.3)
SG&A	(535.8)	(932.8)	(1,028.3)	(1,289.7)
R&D	(766.8)	(997.3)	(1,266.9)	(1,623.2)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,679.3**	**3,102.2**	**4,999.2**	**6,423.4**
Depreciation & amortization	(68.5)	(99.2)	(141.7)	(183.7)
EBIT	**1,610.8**	**3,003.0**	**4,857.4**	**6,239.7**
Net interest inc./(exp.)	40.0	37.2	39.7	39.6
Income/(loss) from associates	(0.6)	–	–	–
Pre-tax profit	**1,812.8**	**3,250.1**	**4,917.2**	**6,299.3**
Provision for taxes	(316.4)	(550.3)	(887.6)	(1,204.5)
Minority interest	(11.2)	15.5	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**1,485.2**	**2,715.3**	**4,029.6**	**5,094.7**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**1,485.2**	**2,715.3**	**4,029.6**	**5,094.7**
EPS (basic, pre-except) (NT$)	**15.47**	**28.01**	**41.42**	**52.37**
EPS (diluted, pre-except) (NT$)	**15.47**	**28.01**	**41.42**	**52.37**
EPS (basic, post-except) (NT$)	**15.47**	**28.01**	**41.42**	**52.37**
EPS (diluted, post-except) (NT$)	**15.47**	**28.01**	**41.42**	**52.37**
DPS (NT$)	11.56	20.95	30.98	39.16
Div. payout ratio (%)	74.8	74.8	74.8	74.8

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	4,182.0	3,266.8	3,614.5	4,559.2
Accounts receivable	858.6	1,337.8	2,409.2	2,475.5
Inventory	1,114.0	2,321.9	3,640.7	3,527.8
Other current assets	180.4	294.5	294.5	294.5
Total current assets	**6,335.2**	**7,221.1**	**9,959.0**	**10,857.0**
Net PP&E	1,878.7	2,798.4	3,841.4	4,849.4
Net intangibles	31.8	48.6	65.3	75.1
Total investments	986.8	1,111.4	1,111.4	1,111.4
Other long-term assets	376.9	431.0	431.0	431.0
Total assets	**9,609.4**	**11,610.4**	**15,408.1**	**17,323.9**
Accounts payable	1,292.4	2,454.8	4,213.4	4,007.8
Short-term debt	–	–	–	–
Short-term lease liabilities	–	–	–	–
Other current liabilities	348.0	593.9	633.9	673.9
Total current liabilities	**1,640.4**	**3,048.7**	**4,847.3**	**4,681.7**
Long-term debt	339.2	132.8	132.8	132.8
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	141.6	143.4	143.4	143.4
Total long-term liabilities	**480.8**	**276.2**	**276.2**	**276.2**
Total liabilities	**2,121.2**	**3,324.9**	**5,123.5**	**4,958.0**
Preferred shares	–	–	–	–
Total common equity	7,299.0	8,111.8	10,110.9	12,192.3
Minority interest	**189.2**	**173.7**	**173.7**	**173.7**
Total liabilities & equity	**9,609.4**	**11,610.4**	**15,408.1**	**17,323.9**
Net debt, adjusted	(3,842.8)	(3,134.0)	(3,481.7)	(4,426.4)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,485.2	2,721.6	4,029.6	5,094.7
D&A add-back	68.5	99.2	141.7	183.7
Minority interest add-back	11.2	(15.5)	–	–
Net (inc)/dec working capital	287.1	(524.7)	(631.6)	(158.9)
Other operating cash flow	106.1	(1,054.7)	–	–
Cash flow from operations	**1,958.0**	**1,225.8**	**3,539.8**	**5,119.6**
Capital expenditures	(512.9)	(1,010.0)	(1,161.5)	(1,161.5)
Acquisitions	(87.8)	–	–	–
Divestitures	–	–	–	–
Others	(65.2)	(45.3)	–	–
Cash flow from investing	**(665.9)**	**(1,055.3)**	**(1,161.5)**	**(1,161.5)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(980.0)	(1,110.6)	(2,030.5)	(3,013.4)
Inc/(dec) in debt	142.1	(2.0)	–	–
Other financing cash flows	191.3	26.9	0.0	0.0
Cash flow from financing	**(646.5)**	**(1,085.7)**	**(2,030.5)**	**(3,013.4)**
Total cash flow	**645.6**	**(915.2)**	**347.7**	**944.7**
Free cash flow	1,445.2	215.8	2,378.3	3,958.0

Source: Company data, Goldman Sachs Research estimates.

by 44% YoY underpinned by 1) continuous ramp in CoWoS capacity, 2) gradual ramp-up in CPO, which is the whole new product line for All Ring, 3) higher content value in next-generation advanced packaging, including panel-level packaging, with new customer penetration, and 4) potentially new business opportunity into US customers.

To note, despite our previous downward revision to its CPO assumptions, we continue to view CPO as an important next phase of long term driver for All Ring and now model CPO revenue to reach NT$1,861mn/NT$9,726mn in 2027E/2028E, accounting for 14%/58% of total revenue. In advanced packaging, we expect All Ring to benefit from higher ASPs in panel-level packaging and see potential for the company to expand into the front-end portion of the panel-level packaging process. Overall, we now forecast All Ring's revenue to grow 71%/44%/26% YoY over 2026-28E, with GM improving to 53.8%/54.2%/54.9%.

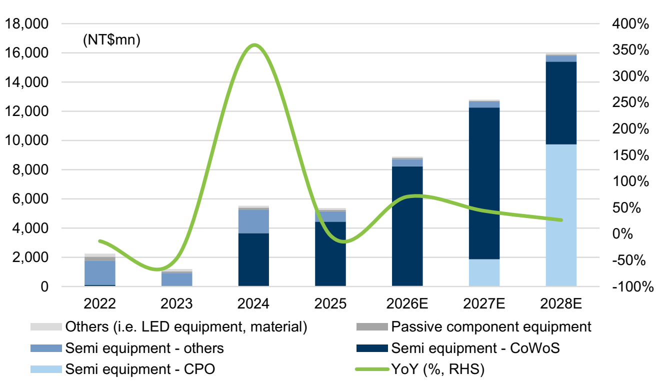
See also: All Ring Tech Co. (6187.TWO): CPO concern likely largely priced in; building in stronger CoWoS into 2027E; reiterate Buy (9 July 2026)

Exhibit 1: 2Q26 results summary

(NT$mn)	2Q26	1Q26	2Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
Revenue	2,355	1,411	1,524	66.8%	54.5%	2,355	0.0%	2,326	1.2%
Gross profit	1,290	731	792	76.5%	62.9%	1,272	1.4%	1,221	5.6%
Op. income	783	328	464	139.0%	68.9%	688	13.8%	689	13.7%
Net income	827	325	399	154.8%	107.0%	602	37.4%	587	41.0%
EPS (NT$)	8.50	3.37	4.16	152.3%	104.3%	6.25	36.0%	6.10	39.4%
GM	54.8%	51.8%	51.9%	3.0%	2.8%	54.0%	0.8%	52.5%	2.3%
OpM	33.3%	23.2%	30.4%	10.0%	2.8%	29.2%	4.0%	29.6%	3.6%
NM	35.1%	23.0%	26.2%	12.1%	8.9%	25.6%	9.6%	25.2%	9.9%

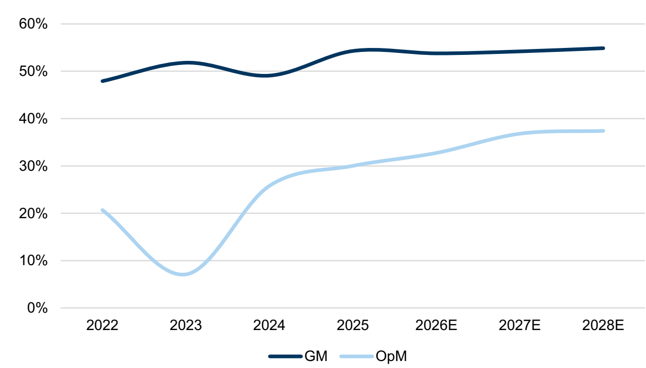
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 2: All Ring's revenue growth outlook



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: All Ring's margin trend



Source: Company data, Goldman Sachs Global Investment Research

Earnings changes, valuation and risks

Forecast changes

We revise our 2026-2028E EPS by -0.8%/-6.5%/-11.4% mainly as we factor in higher operating expenses following management's updated guidance on opex.

Exhibit 4: Earnings revisions

	2026E			2027E			2028E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	9,277	9,172	-1.1%	13,478	13,197	-2.1%	17,194	16,679	-3.0%
Gross profit	4,962	4,933	-0.6%	7,322	7,153	-2.3%	9,745	9,153	-6.1%
Op. income	3,164	3,003	-5.1%	5,174	4,857	-6.1%	7,014	6,240	-11.0%
Net income	2,718	2,715	-0.1%	4,266	4,030	-5.5%	5,694	5,095	-10.5%
EPS (NT$)	28.23	28.01	-0.8%	44.30	41.42	-6.5%	59.13	52.37	-11.4%
GM	53.5%	53.8%	0.3%	54.3%	54.2%	-0.1%	56.7%	54.9%	-1.8%
OpM	34.1%	32.7%	-1.4%	38.4%	36.8%	-1.6%	40.8%	37.4%	-3.4%
NM	29.3%	29.6%	0.3%	31.7%	30.5%	-1.1%	33.1%	30.5%	-2.6%

	3Q26E			4Q26E			1Q27E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	3,038	3,038	0.0%	2,472	2,367	-4.2%	2,240	2,211	-1.3%
Gross profit	1,655	1,668	0.7%	1,304	1,245	-4.5%	1,187	1,160	-2.2%
Op. income	1,250	1,114	-10.8%	899	778	-13.5%	753	672	-10.8%
Net income	1,042	917	-12.0%	750	653	-12.9%	626	560	-10.6%
EPS (NT$)	10.82	9.43	-12.9%	7.79	6.71	-13.8%	6.50	5.76	-11.5%
GM	54.5%	54.9%	0.4%	52.7%	52.6%	-0.1%	53.0%	52.5%	-0.5%
OpM	41.1%	36.7%	-4.5%	36.3%	32.8%	-3.5%	33.6%	30.4%	-3.2%
NM	34.3%	30.2%	-4.1%	30.3%	27.6%	-2.8%	28.0%	25.3%	-2.6%

Source: Goldman Sachs Global Investment Research

Maintain Buy with 12m TP revised to NT$1,450 from NT$1,550

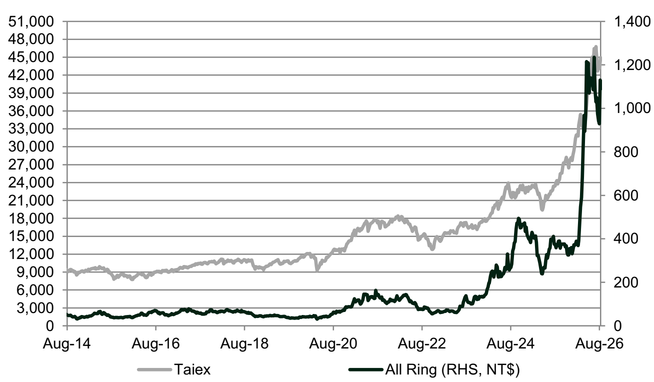
Alongside our earnings revisions, we revise our 12-month TP to NT$1,450 (from NT$1,550 previously). Our 12-month TP is based on a target P/E multiple of 35x (unchanged; derived by applying the implied earnings growth uplift (per GSe) to the company's historical valuation framework) applied to our FY27E (unchanged) EPS. We view CPO as an even stronger structural tailwind for All Ring than CoWoS, with the potential to drive multiple-fold earnings expansion over the next several years, further supporting both earnings visibility and scope for valuation re-rating. Our new 12m TP implies 33% upside. We maintain our Buy rating on All Ring.

Exhibit 5: All Ring's P&L overview

	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L											
Revenue	1,411	2,355	3,038	2,367	2,211	3,045	4,114	3,826	9,172	13,197	16,679
Gross profit	731	1,290	1,668	1,245	1,160	1,628	2,276	2,089	4,933	7,153	9,153
Operating profit	328	783	1,114	778	672	1,082	1,644	1,460	3,003	4,857	6,240
Net income	325	827	917	653	560	894	1,352	1,224	2,715	4,030	5,095
EPS (NT$)	3.37	8.50	9.43	6.71	5.76	9.19	13.90	12.58	28.01	41.42	52.37
Margins (%)											
GM	51.8%	54.8%	54.9%	52.6%	52.5%	53.4%	55.3%	54.6%	53.8%	54.2%	54.9%
OpM	23.2%	33.3%	36.7%	32.8%	30.4%	35.5%	40.0%	38.2%	32.7%	36.8%	37.4%
NM	23.0%	35.1%	30.2%	27.6%	25.3%	29.3%	32.9%	32.0%	29.6%	30.5%	30.5%
YoY (%)											
Revenue	13.2%	54.5%	77.9%	166.7%	56.7%	29.3%	35.4%	61.6%	70.9%	43.9%	26.4%
Gross profit	-3.0%	62.9%	101.8%	129.8%	58.7%	26.2%	36.5%	67.8%	69.3%	45.0%	28.0%
Operating profit	-22.1%	68.9%	122.1%	246.3%	105.0%	38.1%	47.6%	87.7%	86.4%	61.8%	28.5%
Net income	-5.3%	107.0%	118.4%	102.1%	72.6%	8.1%	47.4%	87.4%	82.8%	48.4%	26.4%
EPS	-5.7%	104.3%	115.9%	99.6%	70.8%	8.1%	47.4%	87.4%	81.1%	47.9%	26.4%
QoQ (%)											
Revenue	59.0%	66.8%	29.0%	-22.1%	-6.6%	37.7%	35.1%	-7.0%			
Gross profit	34.9%	76.5%	29.3%	-25.3%	-6.8%	40.3%	39.9%	-8.2%			
Operating profit	45.9%	139.0%	42.2%	-30.2%	-13.6%	60.9%	52.0%	-11.2%			
Net income	0.4%	154.8%	10.9%	-28.8%	-14.3%	59.6%	51.3%	-9.5%			
EPS	0.2%	152.3%	10.9%	-28.8%	-14.3%	59.6%	51.3%	-9.5%			

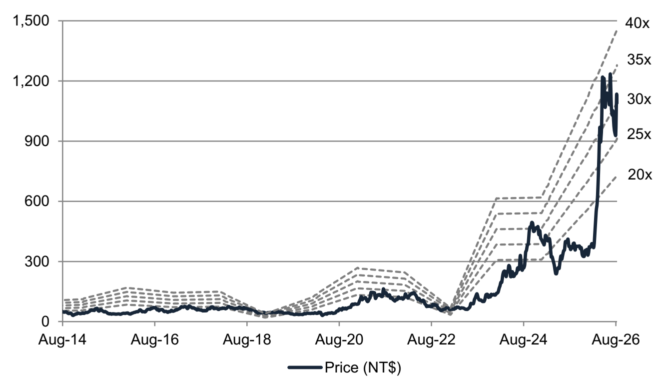
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Taiex vs. All Ring



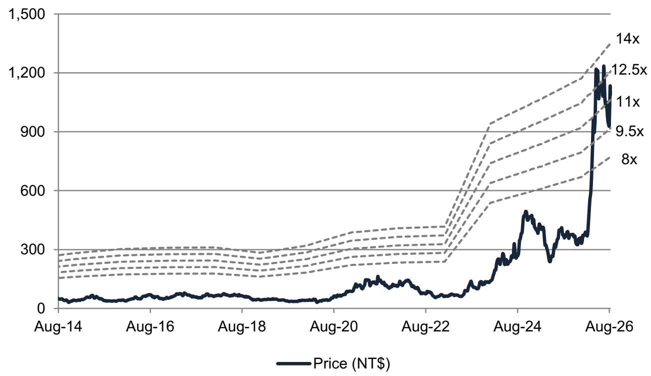
Source: Bloomberg

Exhibit 7: Forward P/E



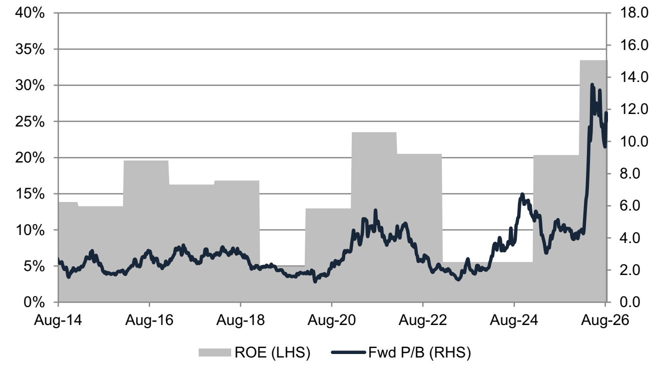
Source: Bloomberg

Exhibit 8: Forward P/B



Source: Bloomberg

Exhibit 9: P/B vs. ROE



Source: Bloomberg

Investment Thesis, Price Target Risks and Methodology

Investment Thesis - All Ring (6187.TWO)
All Ring is one of the key suppliers of semiconductor equipment in Taiwan, primarily utilized in back-end advanced packaging processes. The company manufactures underfill dispenser, TIM heat sink attach equipment, and automated optical inspection equipment which are widely adopted within the CoWoS process. All Ring currently has nearly 100% of market share in WoS underfill dispenser and TIM heatsink attach equipment, and its main customers include leading foundries and OSATs in Taiwan.

We like All Ring as we expect its revenue/earnings CAGR to reach 46%/51% in 2025-28E, driven by 1) continued advanced packaging capacity expansion, and 2) rapid growth of its CPO business. With All Ring's unique position in CPO coupling equipment and new packaging opportunity such as PLP, we see upside potential in its revenue and earnings growth and have a Buy rating on the name.

Price Target Risks and Methodology - All Ring (6187.TWO)
Valuation: We are Buy rated on All Ring. Our 12m TP of NT$1,450 is based on a target P/E multiple of 35x (derived from growth-adjusted historical valuation) applied to our FY27E EPS.

Key risks to our views: 1) slower advanced packaging expansion, 2) delay in adoption of new packaging technologies, and 3) intensifying competition.

Disclosure Appendix

Reg AC

We, Evelyn Yu and Ryan Huang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

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Disclosures

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There are no company-specific disclosures for: All Ring Tech Co. (NT$1,090.00)

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

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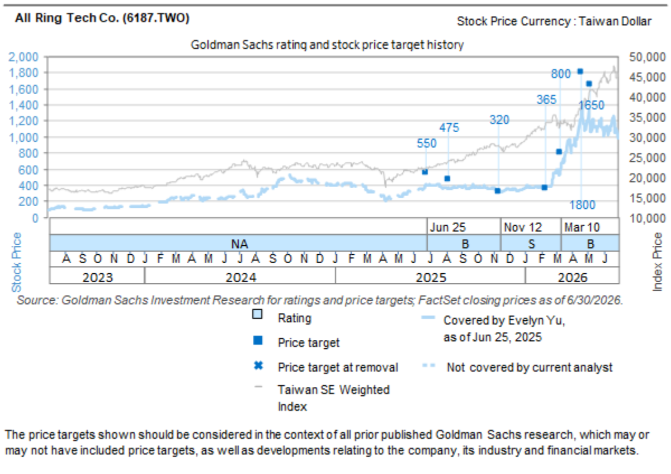
Price target and rating history chart(s)



Target price history table(s)

All Ring Tech Co. (6187.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
08-Jul-26	1,550.00	955.00
08-May-26	1,650.00	1,070.00
20-Apr-26	1,800.00	1,225.00
10-Mar-26	800.00	533.00
10-Feb-26	365.00	383.00
12-Nov-25	320.00	335.50
07-Aug-25	475.00	368.00
25-Jun-25	550.00	416.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Goldman Sachs Research

Equity Research

11 August 2026 | 10:22PM CST

GCE (2368.TW)

Better pricing outlook and fast yield rate ramp up progress point to solid 2H26 earnings; improving HDI yield rate suggests P/E re-rating opportunity; Buy with new TP at NT$1,800

2368.TW	12m Price Target: **NT$1,800.00**	Price: **NT$964.00**	Upside: **86.7%**

BUY

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GCE's 2Q26 core business (OPI) was 6%/2% lower than GSe/BBG consensus, mainly due to the less favorable than expected GM (was 2.2%/1.4ppt below GSe/BBG consensus) **resulting from the mismatch on component cost hike vs. GCE's product pricing hike and the increasing ramp up cost in its new Thailand plant (the cost-pricing mismatch and high ramping up cost will both be solved in 3Q26)**. However, the company's net income was 3/8% higher than GSe/BBG consensus, thanks to the more favorable tax rate (24% vs. GSe/BBG consensus at 32%/32%) driven mainly by its increasing earnings contribution from its new Thailand plant (Thailand plant tax rate is significantly lower than Taiwan and mainland China plants).

For 3Q26, **we expect the company's revenue to grow by 26% QoQ** (in-line with 2Q revenue growth) with (1) the 12% more capacity value in 3Q vs. 2Q, (2) the increasing contribution from high ASP ASIC products, and (3) the much better pricing in 3Q vs. 2Q (we expect the company's overall product pricing to go up by 10-15%+ in 3Q). In terms of GM/OPM, **we expect the company's GM/OPM to increase to 37.9%/30.3% (up 3.2ppt/3.9ppt QoQ)** thanks to the much better product mix and pricing condition for its PCB products.

Investment view - GCE continues to be the most competitive AI ASIC PCB supplier, with easing yield rate risk on ASIC HDI

We continue to expect GCE will hold the major share for Trainium 3 (70%+ from 3Q26) with its smooth ramp up in its new Thailand capacity, which we believe will start to gain share in the TPU supply chain from the end of 2026 and should see significant improvement on the market share (<5% in 2026 to 20-30%+ in 2027), leading to a fast capacity expansion speed in coming years (we believe capacity volume will grow by ~30% 2025-28E CAGR vs. 7% 2021-25 CAGR). Based on our calculation, GCE could hold 15-17% of global AI PCB

Key Data

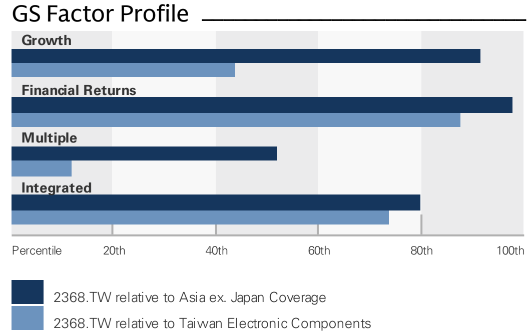
Market cap: NT$521.3bn / $16.2bn
Enterprise value: NT$531.1bn / $16.5bn
3m ADTV: NT$7.7bn / $242.0mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**60,003.8**	**112,103.0**	**197,073.8**	**269,434.4**
Revenue (NT$ mn) Old	60,003.8	108,823.2	184,735.5	253,129.2
EBITDA (NT$ mn)	15,359.3	34,558.9	69,958.6	98,090.6
EPS (NT$) New	**19.48**	**46.54**	**90.00**	**135.45**
EPS (NT$) Old	19.48	43.17	80.51	122.36
P/E (X)	18.0	20.7	10.7	7.1
P/B (X)	5.3	10.9	7.2	4.8
Dividend yield (%)	2.9	2.4	4.7	7.0
CROCI (%)	31.9	38.6	51.0	55.9

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	9.27	12.97	17.43	15.16

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY

GCE (2368.TW)

Rating since Nov 13, 2023

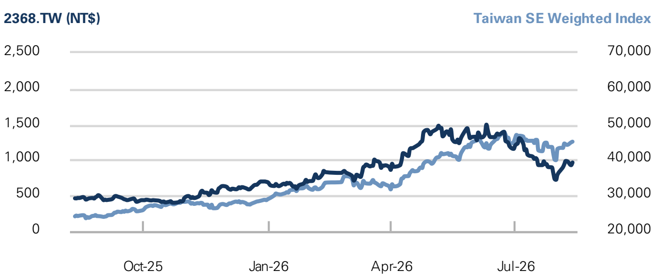
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.0	20.7	10.7	7.1
P/B (X)	5.3	10.9	7.2	4.8
FCF yield (%)	(2.6)	(1.0)	0.4	5.3
EV/EBITDAR (X)	11.3	14.6	7.4	5.2
EV/EBITDA (excl. leases) (X)	11.3	14.6	7.4	5.2
CROCI (%)	31.9	38.6	51.0	55.9
ROE (%)	35.1	60.7	81.4	81.1
Net debt/equity (%)	(0.4)	21.5	28.7	16.0
Net debt/equity (excl. leases) (%)	(0.4)	21.5	28.7	16.0
Interest cover (X)	51.5	72.8	123.7	149.5
Days inventory outst, sales	53.7	37.2	32.1	34.1
Receivable days	124.9	99.5	86.3	95.2
Days payable outstanding	87.3	68.6	64.4	69.8
DuPont ROE (%)	28.7	52.7	67.6	67.4
Turnover (X)	0.8	1.1	1.3	1.3
Leverage (X)	2.3	2.2	2.2	2.0
Gross cash invested (ex cash) (NT$)	53,996.0	77,393.5	112,273.6	146,056.9
Average capital employed (NT$)	26,369.3	44,301.9	71,821.2	104,295.4
BVPS (NT$)	65.58	88.32	133.10	200.82

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	54.0	86.8	75.8	36.7
EBITDA growth	67.8	125.0	102.4	40.2
EPS growth	68.9	138.9	93.4	50.5
DPS growth	66.7	132.7	93.4	50.5
EBIT margin	23.4	29.5	34.6	35.7
EBITDA margin	25.6	30.8	35.5	36.4
Net income margin	16.0	21.4	23.6	25.9

Price Performance



	3m	6m	12m
Absolute	(31.1)%	16.3%	118.8%
Rel. to the Taiwan SE Weighted Index	(36.2)%	(13.4)%	17.1%

Source: FactSet. Price as of 11 Aug 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	60,003.8	112,103.0	197,073.8	269,434.4
Cost of goods sold	(40,321.0)	(70,350.5)	(115,456.2)	(154,979.9)
SG&A	(4,383.1)	(6,626.6)	(9,841.9)	(13,499.1)
R&D	(1,256.4)	(2,075.8)	(3,547.3)	(4,849.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**15,359.3**	**34,558.9**	**69,958.6**	**98,090.6**
Depreciation & amortization	(1,316.1)	(1,508.7)	(1,730.2)	(1,985.0)
EBIT	**14,043.2**	**33,050.2**	**68,228.4**	**96,105.6**
Net interest inc./(exp.)	0.9	116.6	(259.4)	(498.0)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**14,173.3**	**32,835.1**	**63,728.4**	**95,655.6**
Provision for taxes	(4,566.8)	(8,882.4)	(17,286.6)	(25,764.7)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**9,606.5**	**23,952.6**	**46,441.8**	**69,890.9**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**9,606.5**	**23,952.6**	**46,441.8**	**69,890.9**
EPS (basic, pre-except) (NT$)	**19.48**	**46.54**	**90.00**	**135.45**
EPS (diluted, pre-except) (NT$)	**19.48**	**46.54**	**90.00**	**135.45**
EPS (basic, post-except) (NT$)	**19.48**	**46.54**	**90.00**	**135.45**
EPS (diluted, post-except) (NT$)	**19.48**	**46.54**	**90.00**	**135.45**
DPS (NT$)	10.00	23.27	45.00	67.72
Div. payout ratio (%)	51.3	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	18,114.5	9,417.0	4,703.0	13,065.1
Accounts receivable	27,309.7	33,784.5	59,392.1	81,199.4
Inventory	9,747.1	13,106.4	21,509.6	28,873.0
Other current assets	1,166.2	1,166.2	1,166.2	1,166.2
Total current assets	**56,337.5**	**57,474.0**	**86,771.0**	**124,303.7**
Net PP&E	17,840.3	41,363.5	61,665.1	84,712.0
Net intangibles	77.6	45.7	13.9	(18.0)
Total investments	851.3	851.3	851.3	851.3
Other long-term assets	639.7	639.7	639.7	639.7
Total assets	**75,746.3**	**100,374.2**	**149,941.0**	**210,488.7**
Accounts payable	11,028.5	15,419.3	25,305.5	33,968.2
Short-term debt	6,115.9	6,330.9	6,545.9	6,760.9
Short-term lease liabilities	–	–	–	–
Other current liabilities	10,409.4	17,455.2	28,699.8	40,424.4
Total current liabilities	**27,553.8**	**39,205.4**	**60,551.2**	**81,153.5**
Long-term debt	11,874.9	12,874.9	17,874.9	22,874.9
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	2,836.5	2,836.5	2,836.5	2,836.5
Total long-term liabilities	**14,711.4**	**15,711.4**	**20,711.4**	**25,711.4**
Total liabilities	**42,265.2**	**54,916.8**	**81,262.6**	**106,864.8**
Preferred shares	–	–	–	–
Total common equity	33,481.2	45,457.5	68,678.4	103,623.9
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**75,746.3**	**100,374.2**	**149,941.0**	**210,488.7**
Net debt, adjusted	(123.7)	9,788.8	19,717.8	16,570.7

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	9,606.5	23,952.6	46,441.8	69,890.9
D&A add-back	1,316.1	1,508.7	1,730.2	1,985.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(12,581.2)	(5,443.3)	(24,124.7)	(20,507.9)
Other operating cash flow	3,917.4	–	–	–
Cash flow from operations	**2,258.8**	**20,018.0**	**24,047.3**	**51,368.0**
Capital expenditures	(6,733.3)	(25,000.0)	(22,000.0)	(25,000.0)
Acquisitions	(261.8)	–	–	–
Divestitures	–	–	–	–
Others	(38.1)	–	–	–
Cash flow from investing	**(7,033.3)**	**(25,000.0)**	**(22,000.0)**	**(25,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(2,920.1)	(4,930.5)	(11,976.3)	(23,220.9)
Inc/(dec) in debt	8,924.0	1,215.0	5,215.0	5,215.0
Other financing cash flows	7,700.5	0.0	0.0	0.0
Cash flow from financing	**13,704.4**	**(3,715.5)**	**(6,761.3)**	**(18,005.9)**
Total cash flow	**8,929.9**	**(8,697.5)**	**(4,714.0)**	**8,362.1**
Free cash flow	(4,474.5)	(4,982.0)	2,047.3	26,368.0

Source: Company data, Goldman Sachs Research estimates.

market share in 2026-28E while its ASIC PCB market share should be consistently higher than 25% from 2026 (to 30-32% in 2027-28E), suggesting not only a solid revenue growth outlook, but also imply better profitability in the long term (we believe AI grade PCB GM is and will continue to be 45-50%+ vs. GCE 2Q GM at only at ~35%).

Moreover, the company mentioned its progress on ramping up thick-copper HDI (for AI server) capacity is smooth now and management believe the difficulty on producing AI HDI products should be similar to 800G switches (we believe the yield rate should be at least 70-80%), and we believe the positive comment on AI HDI yield rate suggests more opportunity for the company to enjoy an even better market share and profitability in coming quarters/years.

We suggest investors to build position on GCE after a significant de-rating on P/E multiple, before the yield rate ramp up on its new AI ASIC MLB/RPCB capacity, as we have already seen the company's stock price de-rate by 5-10x (was 20-25x in 2024-25, but the company only traded at 10-11x of 2027E EPS based on our estimate) due to (1) investors' concern on GCE's AI HDI yield rate (which could impact the company's market share and profitability in the LT), and (2) the relatively slow GM expansion speed especially in 1H26. We believe investors' concern on GCE AI HDI yield rate will gradually ease in coming quarters after the company ramps up all of its new high-end HDI capacity; also, considering the much better pricing condition and product mix in 3Q, we believe investors will start to revisit GCE's business once they realize the 2Q GM miss is only a one-time issue driven by the pricing/cost hike timing mismatch. As such, we see attractive upside on GCE (87% implied upside vs. today) with limited risk in the short term to long term.

Maintain Buy on GCE, with a new 12-m TP of NT$1,800 (from NT$1,585).

Exhibit 1: GCE's 2Q26 result comp table

GCE (2368.TW)	2Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	1Q26	QoQ	2Q25	YoY	Consensus	%
Revenue	24,279	23,947	1%	19,313	26%	13,853	75%	23,182	5%
Gross profits	8,413	8,814	-5%	6,722	25%	4,095	105%	8,349	1%
Operating profits	6,418	6,850	-6%	5,185	24%	2,868	124%	6,516	-2%
Pre-tax income	6,299	6,850	-8%	5,088	24%	2,509	151%	6,541	-4%
Net earnings	4,783	4,658	3%	3,484	37%	1,694	182%	4,433	8%
EPS, NT$	9.27	9.19	1%	6.87	35%	3.48	166%	8.82	5%
Gross margin (%)	34.7%	36.8%	-2.2ppt	34.8%	-0.2ppt	29.6%	5.1ppt	36.0%	-1.4ppt
EBIT margin (%)	26.4%	28.6%	-2.2ppt	26.8%	-0.4ppt	20.7%	5.7ppt	28.1%	-1.7ppt
Net margin (%)	19.7%	19.5%	0.2ppt	18.0%	1.7ppt	12.2%	7.5ppt	19.1%	0.6ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earning and TP revision

Earnings revision

We revise up our 2026/27/28E earnings estimate by 9/14/13% to factor in the faster than expected ASP hike from high-end AI server, as well as the much faster than originally expected capacity expansion plans (revise up 2026/27/28E revenue estimate by 3/7/6%), despite our less positive view on the GM outlook (due to the unfavorable FX movement).

Exhibit 2: Earnings revision table

GCE P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	112,103	108,823	3%	197,074	184,736	7%	269,434	253,129	6%
Gross Profit	41,753	41,542	1%	81,618	76,086	7%	114,455	106,880	7%
EBIT	33,050	33,256	-1%	68,228	63,535	7%	96,106	89,642	7%
Net Income	23,953	21,893	9%	46,442	40,824	14%	69,891	62,046	13%
EPS (NT$)	**46.54**	**43.17**	**8%**	**90.00**	**80.51**	**12%**	**135.45**	**122.36**	**11%**
Ratio analysis									
Gross margin	37.2%	38.2%	-0.9pp	41.4%	41.2%	0.2pp	42.5%	42.2%	0.3pp
EBIT margin	29.5%	30.6%	-1.1pp	34.6%	34.4%	0.2pp	35.7%	35.4%	0.3pp
Net margin	21.4%	20.1%	1.2pp	23.6%	22.1%	1.5pp	25.9%	24.5%	1.4pp

Source: Company data, Goldman Sachs Global Investment Research

TP revision

Maintain Buy with a new TP of NT$1,800 (from NT$1,585), based on the new 20x P/E (revise down from 22x, to factor in investors' concern on GCE's AI HDI yield rate; 20x P/E is in-line with the AI PCB industry average valuation in the past 3 years), also rollover of our valuation base from 4Q26-3Q27E to 2027E, and factoring in our earnings revision.

Exhibit 3: GCE P&L table

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Revenue	12,063	13,853	17,680	16,408	19,313	24,279	30,645	37,866	35,855	45,436	54,318	61,465	38,952	60,004	112,103	197,074	269,434
Gross profit	3,776	4,095	6,288	5,524	6,722	8,413	11,624	14,993	14,589	18,676	22,501	25,851	11,396	19,683	41,753	81,618	114,455
Operating expense	(1,233)	(1,228)	(1,641)	(1,538)	(1,538)	(1,996)	(2,329)	(2,840)	(2,517)	(3,099)	(3,704)	(4,069)	(3,329)	(5,640)	(8,702)	(13,389)	(18,349)
Operating income	2,543	2,868	4,647	3,986	5,185	6,418	9,295	12,153	12,072	15,577	18,797	21,782	8,067	14,043	33,050	68,228	96,106
Pretax income	2,653	2,509	4,730	4,281	5,088	6,299	9,295	12,153	10,572	14,077	17,297	21,782	8,490	14,173	32,835	63,728	95,656
Taxes expense	(900)	(815)	(1,501)	(1,351)	(1,604)	(1,516)	(2,603)	(3,160)	(2,749)	(3,942)	(4,497)	(6,099)	(2,875)	(4,567)	(8,882)	(17,287)	(25,765)
Net income	1,753	1,694	3,229	2,930	3,484	4,783	6,693	8,993	7,823	10,136	12,799	15,683	5,616	9,607	23,953	46,442	69,891
EPS, NT$	**3.60**	**3.48**	**6.53**	**5.86**	**6.87**	**9.27**	**12.97**	**17.43**	**15.16**	**19.64**	**24.80**	**30.39**	**11.54**	**19.48**	**46.54**	**90.00**	**135.45**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	31.3%	29.6%	35.6%	33.7%	34.8%	34.7%	37.9%	39.6%	40.7%	41.1%	41.4%	42.1%	29.3%	32.8%	37.2%	41.4%	42.5%
Operating expense ratio	10.2%	8.9%	9.3%	9.4%	8.0%	8.2%	7.6%	7.5%	7.0%	6.8%	6.8%	6.6%	8.5%	9.4%	7.8%	6.8%	6.8%
Operating margin	21.1%	20.7%	26.3%	24.3%	26.8%	26.4%	30.3%	32.1%	33.7%	34.3%	34.6%	35.4%	20.7%	23.4%	29.5%	34.6%	35.7%
Net margin	14.5%	12.2%	18.3%	17.9%	18.0%	19.7%	21.8%	23.7%	21.8%	22.3%	23.6%	25.5%	14.4%	16.0%	21.4%	23.6%	25.9%
QoQ growth (%)																	
Revenue	22.4%	14.8%	27.6%	-7.2%	17.7%	25.7%	26.2%	23.6%	-5.3%	26.7%	19.5%	13.2%	-	-	-	-	-
Gross profit	47.7%	8.5%	53.5%	-12.1%	21.7%	25.2%	38.2%	29.0%	-2.7%	28.0%	20.5%	14.9%	-	-	-	-	-
Operating income	55.5%	12.8%	62.0%	-14.2%	30.1%	23.8%	44.8%	30.7%	-0.7%	29.0%	20.7%	15.9%	-	-	-	-	-
Net income	36.7%	-3.4%	90.6%	-9.3%	18.9%	37.3%	39.9%	34.4%	-13.0%	29.6%	26.3%	22.5%	-	-	-	-	-
YoY growth (%)																	
Revenue	33.1%	44.7%	69.1%	66.5%	60.1%	75.3%	73.3%	130.8%	85.7%	87.1%	77.2%	62.3%	30%	54%	87%	76%	37%
Gross profit	55.0%	35.3%	86.2%	116.1%	78.0%	105.4%	84.9%	171.4%	117.0%	122.0%	93.6%	72.4%	48%	73%	112%	95%	40%
Operating income	47.3%	30.3%	85.5%	143.7%	103.8%	123.8%	100.0%	204.9%	132.9%	142.7%	102.2%	79.2%	57%	74%	135%	106%	41%
Net income	44.0%	11.4%	102.5%	128.5%	98.7%	182.4%	107.2%	206.9%	124.6%	111.9%	91.2%	74.4%	59%	71%	149%	94%	50%

Source: Company data, Goldman Sachs Global Investment Research

Investment thesis and Valuation & Risks

GCE is a key cloud (server+switch) PCB supplier globally with 20%+ market share in 2022. We expect cloud PCB market demand to grow at a 15% 2024-26E CAGR (far stronger than the overall RPCB+HDI market demand growth rate at 5% 2024-26E CAGR). We believe GCE's proactive capacity expansion plan (33% in 2026) and high annualized ROI (300%+) will continue to drive the company's revenue/margin level in the coming quarters/years. Additionally, we believe GCE can continue to see strong demand from the increasing content per server/switch, as we expect both markets to see a 20-50%+ layer count increase after the generation upgrade (upgrade to 400G/Eagle Stream). We are constructive on GCE's long-term growth opportunity given its solid position in the rapidly growing cloud PCB market, and we are Buy rated on the stock. GCE is trading higher than its historical P/E average level driven by strong AI server demand, but lower than the TW AI server players' average.

Price Target Risks and Methodology

Valuation methodology: Our 12m TP of NT$1,800 is based on a 20x 2027E P/E (in-line with the AI PCB leaders valuation in the past 3 years).

Key downside risks: (1) weaker-than-expected AI server market demand; (2) delays in the company's Nvidia OAM/UBB product qualification, (3) weaker-than-expected HDI demand, and (4) higher-than-expected ramp up cost for new capacity

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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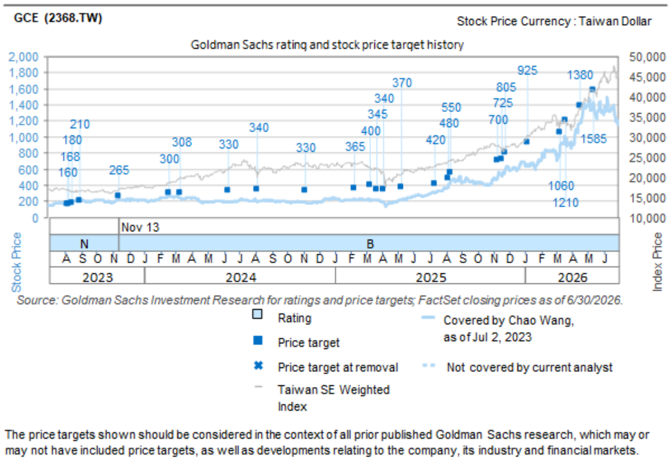
Price target and rating history chart(s)



Target price history table(s)

GCE (2368.TW)

Date of report	Target price (NT$)	Closing price (NT$)
13-May-26	1,585.00	1,350.00
17-Apr-26	1,380.00	1,175.00
20-Mar-26	1,210.00	988.00
10-Mar-26	1,060.00	817.00
06-Jan-26	925.00	662.00
26-Nov-25	805.00	610.00
19-Nov-25	725.00	522.00
11-Nov-25	700.00	498.50
13-Aug-25	550.00	460.00
07-Aug-25	480.00	372.00
15-Jul-25	420.00	320.00
09-May-25	370.00	226.00
06-Apr-25	340.00	195.00
24-Mar-25	345.00	214.00
11-Mar-25	400.00	209.00
09-Feb-25	365.00	228.00
07-Nov-24	330.00	188.50
07-Aug-24	340.00	207.00
11-Jun-24	330.00	187.50
12-Mar-24	308.00	242.50
18-Feb-24	300.00	275.00
13-Nov-23	265.00	217.00
30-Aug-23	210.00	208.50
16-Aug-23	180.00	188.00

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NYPCB (8046.TW)

New capacity expansion on high-end ABF suggesting significant ASP jump in the next 3+ years; short-term pricing uptrend remains solid; reiterate Buy (on CL)

8046.TW	12m Price Target: **NT$2,500.00**	Price: **NT$1,130.00**	Upside: **121.2%**

We hosted NYPCB's 2Q26 post result on August 11th. Key takeaways include:

(1) NYPCB mentioned it is considering multiple different CAPEX plans apart from the new Chiayi plant but most of these plans are still under evaluation. For the new Chiayi plant (NT$46.8bn investment or ~7% of NYPCB's market cap today - see here), NYPCB mentioned it will focus on the next generation advanced packaging substrates, whose pricing per unit can be US$1,000+, depending on the actual spec of substrates, and the revenue contribution could start from 1H29.

(2) In terms of the pricing of ABF substrates, the company mentioned the ASP growth will accelerate in 2H26 vs. 1H26, while NYPCB believes the like for like basis pricing will continue to go up in coming quarters, due to the industry supply shortage condition (NYPCB doesn't expect this to be solved in 2027-28 and expects the pricing for ABF substrate could continue to go higher every quarter/year without any pricing ceiling).

(3) For BT substrates, the company mentioned the GM went up from single digits % in 1Q26 to low twenties % in 2Q26, thanks to the 20-30% QoQ pricing hike per quarter since 2H25, and NYPCB continues to believe the BT substrate pricing will go up by 20-30% QoQ per quarter in foreseeable future.

(4) In 3Q26, the company believes the revenue should go up by at least high teens % QoQ and targets to reach 20%+ QoQ if possible. In terms of the revenue growth, ABF substrates will be the key growth driver for 3Q with more high-end switches IC & AI ASIC IC substrate demand and the better pricing outlook, as well as the increasing contribution from its Kunshan plant (UTR was 50% only in 2Q26 vs. 3Q should be 70%+ with increasing demand from high-end networking customer).

BUY (CL)

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Key Data

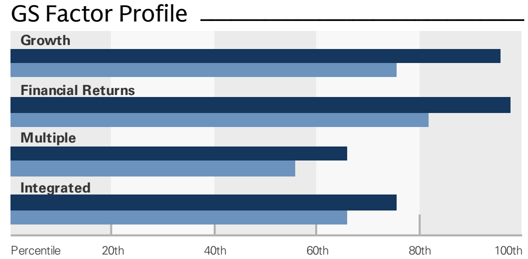
Market cap: NT$730.2bn / $22.7bn
Enterprise value: NT$713.5bn / $22.2bn
3m ADTV: NT$16.8bn / $525.9mn
Taiwan
Taiwan Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn)	40,173.0	63,496.6	128,352.1	208,109.8
EBITDA (NT$ mn)	8,876.3	23,683.3	61,326.0	107,543.3
EPS (NT$)	3.01	20.68	65.83	120.18
P/E (X)	56.6	54.6	17.2	9.4
P/B (X)	2.4	13.5	9.2	5.8
Dividend yield (%)	1.2	0.7	2.3	4.3
N debt/EBITDA (ex lease,X)	(1.0)	(0.7)	(0.5)	(0.5)
CROCI (%)	6.3	20.0	43.1	60.2
FCF yield (%)	0.5	1.3	2.5	5.5

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	3.50	6.16	8.99	11.23

GS Factor Profile



8046.TW relative to Asia ex. Japan Coverage
8046.TW relative to Taiwan Electronic Components

Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

BUY CL

NYPCB (8046.TW)

Rating since Aug 25, 2025

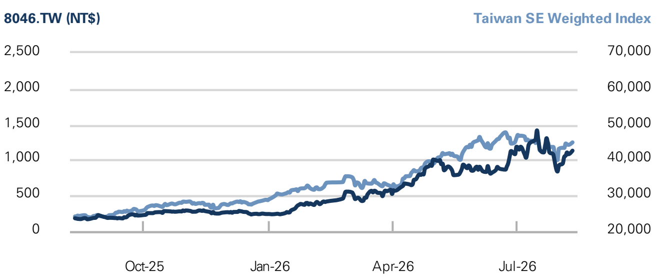
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	56.6	54.6	17.2	9.4
P/B (X)	2.4	13.5	9.2	5.8
FCF yield (%)	0.5	1.3	2.5	5.5
EV/EBITDAR (X)	11.4	30.1	11.4	6.3
EV/EBITDA (excl. leases) (X)	11.4	30.1	11.4	6.3
CROCI (%)	6.3	20.0	43.1	60.2
ROE (%)	4.3	26.7	63.6	75.4
Net debt/equity (%)	(18.6)	(30.8)	(37.6)	(42.1)
Net debt/equity (excl. leases) (%)	(18.6)	(30.8)	(37.6)	(42.1)
Interest cover (X)	27,921.3	–	–	–
Days inventory outst, sales	41.7	32.4	22.7	21.1
Receivable days	76.4	70.4	63.5	68.7
Days payable outstanding	16.1	21.9	24.5	25.3
DuPont ROE (%)	4.2	24.7	53.4	61.5
Turnover (X)	0.7	0.8	1.1	1.2
Leverage (X)	1.3	1.4	1.4	1.4
Gross cash invested (ex cash) (NT$)	98,759.1	105,904.3	125,787.2	157,104.7
Average capital employed (NT$)	37,251.5	37,486.7	43,581.2	61,391.0
BVPS (NT$)	71.38	83.79	123.28	195.39

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	24.4	58.1	102.1	62.1
EBITDA growth	70.9	166.8	158.9	75.4
EPS growth	855.6	586.4	218.3	82.6
DPS growth	100.0	313.6	218.3	82.6
EBIT margin	4.9	25.9	41.9	47.8
EBITDA margin	22.1	37.3	47.8	51.7
Net income margin	4.8	21.0	33.1	37.3

Price Performance



	3m	6m	12m
Absolute	32.3%	175.9%	570.6%
Rel. to the Taiwan SE Weighted Index	22.5%	103.1%	258.6%

Source: FactSet. Price as of 10 Aug 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	40,173.0	63,496.6	128,352.1	208,109.8
Cost of goods sold	(36,525.9)	(45,172.0)	(71,625.7)	(104,343.1)
SG&A	(1,664.6)	(1,212.8)	(1,833.5)	(2,593.7)
R&D	0.0	(666.9)	(1,167.4)	(1,610.1)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**8,876.3**	**23,683.3**	**61,326.0**	**107,543.3**
Depreciation & amortization	(6,893.8)	(7,238.5)	(7,600.5)	(7,980.5)
EBIT	**1,982.4**	**16,444.8**	**53,725.5**	**99,562.8**
Net interest inc./(exp.)	158.2	160.3	311.6	558.6
Income/(loss) from associates	0.0	0.0	0.0	–
Pre-tax profit	**2,345.5**	**17,127.0**	**53,725.5**	**99,562.8**
Provision for taxes	(398.7)	(3,765.1)	(11,189.0)	(21,903.8)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**1,946.8**	**13,361.9**	**42,536.5**	**77,659.0**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**1,946.8**	**13,361.9**	**42,536.5**	**77,659.0**
EPS (basic, pre-except) (NT$)	**3.01**	**20.68**	**65.83**	**120.18**
EPS (diluted, pre-except) (NT$)	**3.01**	**20.68**	**65.83**	**120.18**
EPS (basic, post-except) (NT$)	**3.01**	**20.68**	**65.83**	**120.18**
EPS (diluted, post-except) (NT$)	**3.01**	**20.68**	**65.83**	**120.18**
DPS (NT$)	2.00	8.27	26.33	48.07
Div. payout ratio (%)	66.4	40.0	40.0	40.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	8,589.5	16,700.0	29,939.4	53,197.8
Accounts receivable	9,707.7	14,786.9	29,890.2	48,463.9
Inventory	5,067.7	6,188.0	9,811.7	14,293.6
Other current assets	257.8	257.8	257.8	257.8
Total current assets	**23,622.6**	**37,932.6**	**69,899.1**	**116,213.1**
Net PP&E	35,373.3	35,134.8	42,534.3	59,553.9
Net intangibles	–	–	–	–
Total investments	500.2	500.2	500.2	500.2
Other long-term assets	1,711.2	1,711.2	1,711.2	1,711.2
Total assets	**61,207.4**	**75,278.8**	**114,644.9**	**177,978.4**
Accounts payable	1,710.9	3,712.8	5,887.0	8,576.1
Short-term debt	0.0	–	–	–
Short-term lease liabilities	–	–	–	–
Other current liabilities	5,477.9	9,530.3	21,200.2	35,249.2
Total current liabilities	**7,188.8**	**13,243.1**	**27,087.2**	**43,825.3**
Long-term debt	0.0	–	–	–
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	7,895.8	7,895.8	7,895.8	7,895.8
Total long-term liabilities	**7,895.8**	**7,895.8**	**7,895.8**	**7,895.8**
Total liabilities	**15,084.5**	**21,138.8**	**34,982.9**	**51,721.1**
Preferred shares	–	–	–	–
Total common equity	46,122.9	54,140.0	79,661.9	126,257.3
Minority interest	--	--	--	--
Total liabilities & equity	**61,207.4**	**75,278.8**	**114,644.9**	**177,978.4**
Net debt, adjusted	(8,589.5)	(16,700.0)	(29,939.4)	(53,197.8)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,946.8	13,361.9	42,536.5	77,659.0
D&A add-back	6,893.8	7,238.5	7,600.5	7,980.5
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(3,218.0)	(4,197.5)	(16,552.8)	(20,366.5)
Other operating cash flow	(2,595.6)	0.0	0.0	0.0
Cash flow from operations	**3,027.0**	**16,402.9**	**33,584.1**	**65,273.0**
Capital expenditures	(2,422.3)	(7,000.0)	(15,000.0)	(25,000.0)
Acquisitions	–	–	–	–
Divestitures	74.6	–	–	–
Others	625.1	–	–	–
Cash flow from investing	**(1,722.7)**	**(7,000.0)**	**(15,000.0)**	**(25,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(646.2)	(1,292.3)	(5,344.7)	(17,014.6)
Inc/(dec) in debt	–	–	–	–
Other financing cash flows	(549.4)	0.0	0.0	0.0
Cash flow from financing	**(1,195.5)**	**(1,292.3)**	**(5,344.7)**	**(17,014.6)**
Total cash flow	**108.8**	**8,110.5**	**13,239.4**	**23,258.4**
Free cash flow	604.7	9,402.9	18,584.1	40,273.0

Source: Company data, Goldman Sachs Research estimates.

(5) In terms of the material supply update, NYPCB believes the cost from T-glass will go even higher in 2H26 vs. 1H26, and the company believes the shortage on T-glass will not be solved in the foreseeable future, considering the acceleration on substrate spec migration speed which should continue to result in lower industry average yield rate and consume more and more T-glass volume in the long term.

(6) For the new capacity expansion plans, the company is considering whether to get some funding from customers (like other ABF suppliers), but it will focus on bank loan first, as the flexibility on capacity usage could be limited if getting the funding from customers.

Maintain Buy on NYPCB, as the key spot price ABF substrate supplier in the market which should benefit strongly from the S/D shortage and pricing hike in the foreseeable future, with an unchanged TP of NT$2,500 (based on 21x 2028E EPS).

Exhibit 1: P&L table

NT$mn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	11,177	13,575	17,284	21,460	24,118	29,222	34,661	40,351	44,585	50,594	53,276	59,655	40,173	63,497	128,352	208,110	336,653
Gross profit	1,771	3,360	5,408	7,785	9,566	12,422	15,716	19,022	21,749	25,020	26,462	30,536	3,647	18,325	56,726	103,767	189,175
Operating expense	(419)	(460)	(486)	(514)	(607)	(696)	(769)	(928)	(951)	(961)	(1,012)	(1,279)	(1,665)	(1,880)	(3,001)	(4,204)	(7,269)
Operating income	1,352	2,899	4,922	7,271	8,959	11,726	14,947	18,094	20,798	24,059	25,450	29,257	1,982	16,445	53,725	99,563	181,906
Pretax income	1,598	2,976	5,102	7,451	8,959	11,726	14,947	18,094	20,798	24,059	25,450	29,257	2,346	17,127	53,725	99,563	182,626
Taxes expense	(290)	(714)	(1,122)	(1,639)	(1,702)	(2,580)	(3,288)	(3,619)	(4,575)	(5,293)	(5,599)	(6,436)	(399)	(3,765)	(11,189)	(21,904)	(39,790)
Net income	1,309	2,262	3,979	5,812	7,256	9,146	11,659	14,475	16,222	18,766	19,851	22,820	1,947	13,362	42,537	77,659	142,836
EPS, NT$	**2.03**	**3.50**	**6.16**	**8.99**	**11.23**	**14.15**	**18.04**	**22.40**	**25.11**	**29.04**	**30.72**	**35.32**	**3.01**	**20.68**	**65.83**	**120.18**	**221.05**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	15.8%	24.7%	31.3%	36.3%	39.7%	42.5%	45.3%	47.1%	48.8%	49.5%	49.7%	51.2%	9.1%	28.9%	44.2%	49.9%	56.2%
Operating expense ratio	3.8%	3.4%	2.8%	2.4%	2.5%	2.4%	2.2%	2.3%	2.1%	1.9%	1.9%	2.1%	4.1%	3.0%	2.3%	2.0%	2.2%
Operating margin	12.1%	21.4%	28.5%	33.9%	37.1%	40.1%	43.1%	44.8%	46.6%	47.6%	47.8%	49.0%	4.9%	25.9%	41.9%	47.8%	54.0%
Net margin	11.7%	16.7%	23.0%	27.1%	30.1%	31.3%	33.6%	35.9%	36.4%	37.1%	37.3%	38.3%	4.8%	21.0%	33.1%	37.3%	42.4%
QoQ growth (%)																	
Revenue	0.1%	21.5%	27.3%	24.2%	12.4%	21.2%	18.6%	16.4%	10.5%	13.5%	5.3%	12.0%	-	-	-	-	-
Gross profit	26.7%	89.7%	61.0%	44.0%	22.9%	29.9%	26.5%	21.0%	14.3%	15.0%	5.8%	15.4%	-	-	-	-	-
Operating income	40.4%	114.4%	69.8%	47.7%	23.2%	30.9%	27.5%	21.1%	14.9%	15.7%	5.8%	15.0%	-	-	-	-	-
Net income	8.9%	72.8%	75.9%	46.1%	24.9%	26.0%	27.5%	24.2%	12.1%	15.7%	5.8%	15.0%	-	-	-	-	-
YoY growth (%)																	
Revenue	32.1%	41.7%	57.6%	92.2%	115.8%	115.3%	100.5%	88.0%	84.9%	73.1%	53.7%	47.8%	24%	58%	102%	62%	62%
Gross profit	311.7%	337.0%	415.2%	456.8%	440.0%	269.8%	190.6%	144.3%	127.4%	101.4%	68.4%	60.5%	920%	402%	210%	83%	82%
Operating income	3986.2%	692.0%	693.5%	655.1%	562.5%	304.4%	203.7%	148.8%	132.2%	105.2%	70.3%	61.7%	-257%	730%	227%	85%	83%
Net income	530.8%	-1306.7%	449.0%	383.6%	454.5%	304.4%	193.0%	149.1%	123.6%	105.2%	70.3%	57.7%	856%	586%	218%	83%	84%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis & PT methodology and risks

Investment Thesis - NYPCB

NYPCB manufactures and markets printed circuit boards (PCBs) and integrated circuit (IC) substrates (including ABF and BT substrates). We are Buy-rated on NYPCB considering the company's high exposure to BT substrates and non-LTA ABF substrate (70%+ of total revenue), where we expect GM/OPM to increase significantly in the coming quarters (from breakeven in OPM in 1H25 to 27/41% in 2026/27E) due to the favorable substrate pricing outlook. Despite the company's low exposure to high-end ABF substrate industry (<20% of total revenue in 1H25), we believe the expanding demand from ASIC AI server and high-end switch IC demand will drive the company's high-end ABF revenue exposure to 40%+ by 2027E, suggesting better GM/OPM outlook in the long term. In 2H25-2H26, we believe NYPCB will continue to benefit from stronger ABF/BT pricing and should be a key beneficiary of the pricing uptrend considering the company's key focus on BT and non-LTA ABF substrate industries. Moreover, in the long term (after 2026), we expect the ABF industry to return to supply tightness, and NYPCB's expanding high-end exposure will lead to a long-term earnings growth outlook (122%

2026-28E earnings CAGR). As a result, we see solid upside potential for NYPCB's earnings and stock performance.

Price Target Risks and Methodology - NYPCB

Valuation methodology: Our 12-month target price of NT$2,500 for NYPCB is based on 21x 2028E P/E, which is +1.5x STDV higher than the past upcycle average P/E (13.3x).

Key downside risks: (1) Slower-than-expected PC demand recovery, (2) Slower-than-expected ABF substrates pricing upgrading outlook, and (3) Slower-than-expected NYPCB new high-end capacity qualification progress.

Disclosure Appendix

Reg AC

I, Chao Wang, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Goldman Sachs Investment Research global Equity coverage universe

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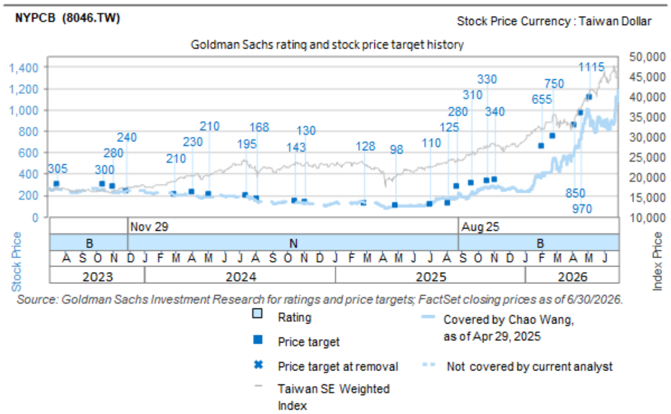
Price target and rating history chart(s)



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Target price history table(s)
NYPCB (8046.TW)

Date of report	Target price (NT$)	Closing price (NT$)
06-Aug-26	2,500.00	1,105.00
12-Jul-26	2,310.00	1,215.00
07-May-26	1,115.00	947.00
21-Apr-26	970.00	789.00
08-Apr-26	850.00	637.00
25-Feb-26	750.00	553.00
03-Feb-26	655.00	394.50
05-Nov-25	340.00	272.00
21-Oct-25	330.00	273.50
22-Sep-25	310.00	235.50
25-Aug-25	280.00	186.00
07-Aug-25	125.00	172.50
04-Jul-25	110.00	126.00
29-Apr-25	98.00	101.00
28-Feb-25	128.00	136.00
06-Nov-24	130.00	124.50
18-Oct-24	143.00	133.50
07-Aug-24	168.00	143.00
16-Jul-24	195.00	183.50
06-May-24	210.00	185.00
03-Apr-24	230.00	209.00
01-Mar-24	210.00	210.50
29-Nov-23	240.00	251.00
03-Nov-23	280.00	232.50
16-Oct-23	300.00	253.00

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Optical Networking: Top 3 investor debates on impact of potential US import restrictions on Chinese optical transceiver modules

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According to recent media reports (Link), the Trump administration is drafting a ban on US imports of Chinese data center components, with the Federal Communications Commission (FCC) working on measures to bar imports of Chinese made optical modules. Following this, three key debates have emerged in our investor conversations around the potential impact; mainly, why industry leaders continue to gain client traction, capacity and cost efficiency implications, and production base diversification. While we take no view on any outcome, we remain positive on the industry leaders in our China optical coverage (FOCI, RoboTechnik, Landmark, Eoptolink, VPEC), given strong AI demand, tight raw material supply, and the rapid pace of technology migration leading customers to rely primarily on the existing leaders. **Read more:** Optical Networking thematic report, Optical module global TAM, Thailand / Vietnam tour top 6 takeaways.

In particular, the Chinese industry leaders have long experience working with CSP customers and the AI infrastructure supply chain, and we believe their early engagement with these customers better positions them to capture emerging changes in demand and the direction of product design well ahead of others. Early engagement is especially important given the various types of optical modules, their long development times, and that they continue to evolve across different speeds (e.g. 1.6T, 2.4T, 3.2T, etc.), form factors (e.g. pluggable, LPO, NPO, CPO, etc.), materials (e.g. SiPh, EML, Lithium Niobate, etc.), and fiber types (e.g. single-mode, multi-mode, etc.), etc. The number and range of SKUs require strong R&D capabilities that further enhance the leaders' competitiveness. As a result, we expect the global leaders to extend their successful track record of launching the world's first 400G (2018), 800G (2020), and 1.6T (2023) optical transceivers and see it strengthening as AI migration continues to build. Meanwhile, we see optical transceiver suppliers expanding manufacturing capacity in Thailand and other SEA regions in order to diversify supply chain risks and reduce the impact of macro uncertainties.

Buy ratings in optical networking: *FOCI, RoboTechnik, Landmark, Eoptolink, VPEC.*

Key debates

1. Why existing leaders continue to gain client traction? *Fast technology migration, strong AI demand, tight raw material supply, and various SKUs requiring strong R&D capability*

We believe it is difficult for CSPs to diversify their AI server supply chains in an environment of rapid technology migration, strong AI demand, tight raw material supply, and high customization requirements across various SKUs. In our view, such a fast evolving technology environment only increases customers' reliance on existing leaders rather than reducing it, which adds to the difficulties in switching from existing leaders. As we highlighted in June (report link), global AI server racks continue to increase in complexity with ongoing changes in architecture, which would take new suppliers a longer time to prove their products' stability and re-align/integrate in the ecosystem, while working together with chipset suppliers, system providers, and other components suppliers to meet their quality and design specifications.

2. Capacity and Cost efficiency? *Besides strong R&D capability, existing leaders are also strong in capacity commitments, automated production, and manufacturing efficiency*

Seven out of the global top 10 optical module suppliers in terms of revenues are based in China and expanded market share in 2025 vs. 2024, echoing our positive view of the industry's increasing reliance on its existing leaders. Beside their strong R&D capabilities, we see these leaders are also strong in capacity commitments, automated production, and manufacturing efficiency, resulting in fast product deployment at a competitive price. The leading global suppliers in optical modules for example, are not only expanding capacity substantially but are also diversifying production sites across different countries, and their self-designed production lines and proprietary equipment enable them to secure manufacturing efficiencies and retain automated production know-how in house. Additionally, product specification upgrades toward 1.6T and above not only add difficulties in design but also in manufacturing, given that the size of optical modules is not increasing while at the same time requiring more fibers / lasers per box to drive up the speed, adding difficulties to coupling and thermal dissipation. We believe the smaller vendors would take a longer time to reach the same level of manufacturing efficiency given the fast evolving technology.

3. Production sites diversification? *Diversifying production sites to SEA regions (e.g. Thailand) to reduce impact of macro uncertainties*

Macro uncertainty is not a new news, and can date back to mid 2019 (geopolitical tension), 2020-2022 (the pandemic), and 2025 (additional tariff increases). We see that the technology supply chain has responded over the last several years by diversifying production sites geographically in order to reduce macro uncertainty and, after starting the first phase of mass production, continued to expand capacity. The leading suppliers are continuing to expand capacity at their production sites in Southeast Asia where they are able to produce high-end products (e.g. 1.6T optical modules), and also build capacity in other countries in order to further diversify their manufacturing base. Eoptolink, for-example, is expanding phase 2 capacity in Thailand in 2026E with phase 1 already operating at full utilization rate.

Global Optical module market opportunity

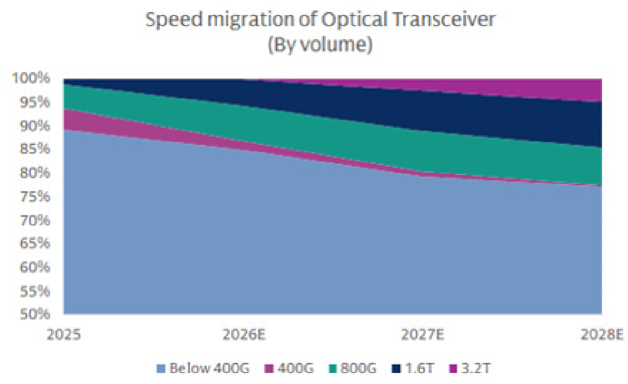
US$ m	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Global Optical module TAM												
Global TAM (US$m)	**6,570**	**7,969**	**9,607**	**10,066**	**10,142**	**12,047**	**12,770**	**15,925**	**34,211**	**50,883**	**72,593**	**69,135**
Below 400G	4,195	4,315	4,286	4,031	4,077	4,432	4,283	4,093	16,827	16,886	16,166	13,196
400G	1,804	1,023	950	432	359	422	523	441	4,209	1,745	969	287
800G	571	2,120	2,902	3,725	2,706	3,457	3,557	3,810	9,318	13,530	14,715	10,761
1.6T	-	511	1,469	1,877	3,000	3,736	4,406	7,581	3,857	18,722	27,403	23,264
3.2T	-	-	-	-	-	-	-	-	-	-	13,340	21,625
By Speed Mix	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Below 400G	64%	54%	45%	40%	40%	37%	34%	26%	49%	33%	22%	19%
400G	27%	13%	10%	4%	4%	4%	4%	3%	12%	3%	1%	0%
800G	9%	27%	30%	37%	27%	29%	28%	24%	27%	27%	20%	16%
1.6T	0%	6%	15%	19%	30%	31%	35%	48%	11%	37%	38%	34%
3.2T	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	18%	31%
By Material Mix	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
SiPh	14%	24%	32%	36%	38%	40%	42%	48%	28%	43%	56%	62%
EML	86%	76%	68%	64%	62%	60%	58%	52%	72%	57%	44%	38%

	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Global Optical module shipment TAM												
Global shipment (k units)	**98,631**	**101,929**	**103,907**	**98,580**	**103,818**	**114,888**	**113,138**	**120,425**	**403,046**	**452,269**	**528,286**	**556,429**
Below 400G	89,489	92,054	91,433	85,999	91,563	99,529	96,186	97,013	358,975	384,292	419,238	428,689
400G	7,845	4,448	4,129	1,880	1,673	1,968	2,439	2,214	18,301	8,295	5,268	2,007
800G	1,297	4,819	6,596	8,466	6,666	8,514	8,760	10,243	21,178	34,183	44,993	44,047
1.6T	-	608	1,749	2,235	3,916	4,877	5,753	10,955	4,591	25,500	45,719	53,525
3.2T	-	-	-	-	-	-	-	-	-	-	13,067	28,162
Mix	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Below 400G	91%	90%	88%	87%	88%	87%	85%	81%	89%	85%	79%	77%
400G	8%	4%	4%	2%	2%	2%	2%	2%	5%	2%	1%	0%
800G	1%	5%	6%	9%	6%	7%	8%	9%	5%	8%	9%	8%
1.6T	0%	1%	2%	2%	4%	4%	5%	9%	1%	6%	9%	10%
3.2T	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	2%	5%
SiPh penetration rate	**4%**	**5%**	**7%**	**8%**	**8%**	**9%**	**10%**	**13%**	**6%**	**10%**	**15%**	**18%**

	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
ASP (US$)												
By speed (US$)	**71**	**81**	**94**	**97**	**103**	**116**	**111**	**141**	**85**	**113**	**137**	**124**
Below 400G	50	48	47	44	47	48	43	43	47	44	39	31
400G	234	130	214	105	191	252	266	181	230	210	184	143
800G	456	1,635	602	565	320	519	418	435	440	396	327	244
1.6T			2,416	1,073	1,342	954	904	1,318	840	734	599	435
3.2T												768
YoY					**45%**	**44%**	**18%**	**45%**		**33%**	**22%**	**-10%**
Below 400G					-6%	0%	-8%	-3%		-6%	-12%	-20%
400G					-18%	93%	25%	72%		-9%	-13%	-22%
800G					-30%	-68%	-31%	-23%		-10%	-17%	-25%
1.6T							-63%	23%		-13%	-18%	-27%
3.2T												-25%

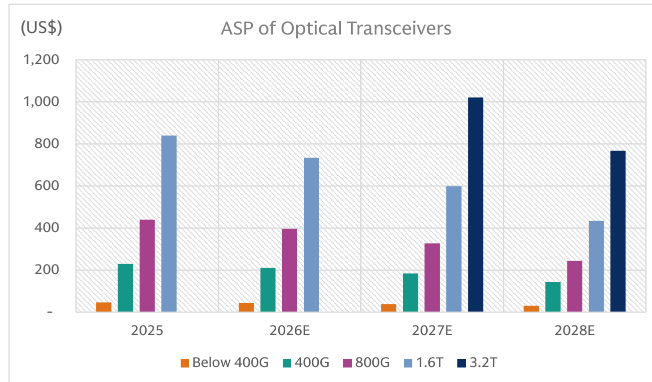
Source: Goldman Sachs Global Investment Research

Exhibit 1: Global Optical transceivers: 800G/ 1.6T/ 3.2T to account for 8%/ 10%/ 5% of the total transceiver volume by 2028E



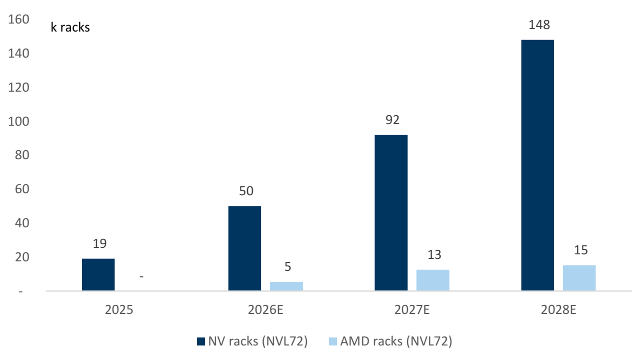
Source: Goldman Sachs Global Investment Research

Exhibit 2: Global Optical transceivers: We assume an ASP decline YoY for like-for-like products



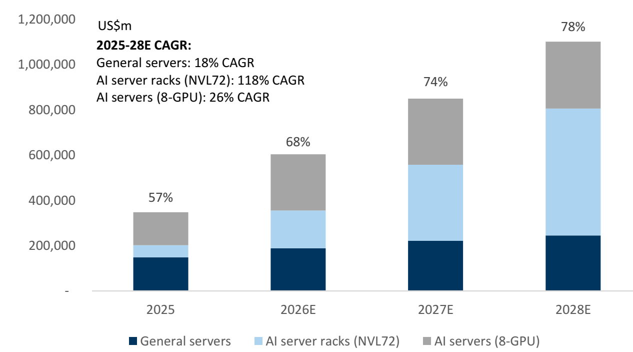
Source: Goldman Sachs Global Investment Research

Exhibit 3: AI server racks global shipment by chipset platforms



Source: Goldman Sachs Global Investment Research

Exhibit 4: Global server value TAM



% in chart indicates AI server (8-GPU and NVL72) revenues mix

Source: Goldman Sachs Global Investment Research

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Goldman Sachs Research

Equity Research

11 August 2026 | 2:15PM HKT

SZS (3376.TW): 3Q26 QoQ improvement on better seasonality and new product launches; 2Q26 GM miss on higher new project cost; Buy

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SZS's 2Q26 revenues were up 12% QoQ (or -10% YoY) to NT$2.6bn, and we attribute the slow down to clients' new product momentum and higher memory cost weighing on demand. The company reported 2Q GM at 9.8% (vs. 1Q26/ 2Q25 GM at 14.3%/ 14.2%), and management notes the lower GM is due to the spending on the new design-in projects, while taking time to contribute revenues. The operating losses widened in 2Q26 at NT$82m (vs. our estimate at operating profit at NT$133bn), and 2Q NI was 57%/ 33% below our/ Bloomberg consensus estimates. Despite near-term fluctuations, we remain positive on the company's growing capacity and R&D capability, enabling it to benefit from the rising adoption of foldable devices ahead. Maintain Buy.

3-month preview: SZS July revenues remained weak at -10% YoY/ -12% MoM at NT$811m, and we see it takes time for new projects to reflect on company's revenues and earnings. Looking ahead, we expect to see improving MoM in Aug/ Sep on better seasonality and new product launches, supporting 3Q26 to deliver strong YoY and QoQ growth.

Exhibit 1: We expect SZS Aug revenues to grow 5% YoY/ 62% MoM to NT$1.3bn

	26-Apr	26-May	26-Jun	26-Jul	Aug-26 (E)	Sep-26 (E)	Oct-26 (E)	1Q26	2Q26	3Q26E
Rev (NT$m)	907	802	922	811	1,314	2,445	2,689	2,353	2,631	4,570
Rev YoY	-10%	-17%	-5%	-10%	5%	101%	131%	-16%	-10%	72%
Rev MoM/QoQ	13%	-12%	15%	-12%	62%	86%	10%	1%	12%	74%
GS estimates (NT$m)	903	993						2,407	2,717	
Act vs. GS	0%	-19%						-2%	-3%	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: SZS 2Q26 result snapshot

NT$m	2Q25	1Q26	2Q26	QoQ	YoY	GS	Act / GS	Cons.	Act / Cons.
Revenues	2,940	2,353	2,631	12%	-10%	2,717	-3%	2,484	6%
GP	417	336	258	-23%	-38%	494	-48%	360	-28%
OP	92	-10	-82	na	na	133	na		
Net income	-90	30	62	109%	na	145	-57%	93	-33%
Margins									
GM	14.2%	14.3%	9.8%			18.2%		14.5%	
OPM	3.1%	-0.4%	-3.1%			4.9%			
NM	-3.1%	1.3%	2.4%			5.3%		3.7%	

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revision: We factor in SZS 2Q26 result, and revise down 2026-28E earnings by 21%/ 13%/ 14% on lower revenues of headset hinges on the momentum of new product launches, while we remain positive on company's growth ahead on rising foldable devices. We revise down GM by 1.3ppts/ 0.2ppts/ 0.1ppts in 2026-28E to reflect higher cost on new design-in projects.

Exhibit 3: Earnings revision

	2026E			2027E			2028E		
NT$m	Old	New	Diff %	Old	New	Diff %	Old	New	Diff %
Revenues	23,658	20,508	-13%	32,726	28,240	-14%	38,153	33,290	-13%
GP	4,499	3,636	-19%	6,522	5,581	-14%	7,640	6,620	-13%
OP	2,379	1,771	-26%	4,060	3,457	-15%	4,779	4,123	-14%
Pre-tax income	2,675	2,109	-21%	4,372	3,810	-13%	5,172	4,472	-14%
Net income	1,872	1,476	-21%	3,061	2,667	-13%	3,620	3,131	-14%
Margins									
GM	19.0%	17.7%	-1.3ppts	19.9%	19.8%	-0.2ppts	20.0%	19.9%	-0.1ppts
OPM	10.1%	8.6%	-1.4ppts	12.4%	12.2%	-0.2ppts	12.5%	12.4%	-0.1ppts
NM	7.9%	7.2%	-0.7ppts	9.4%	9.4%	0.1ppts	9.5%	9.4%	-0.1ppts

Source: Goldman Sachs Global Investment Research

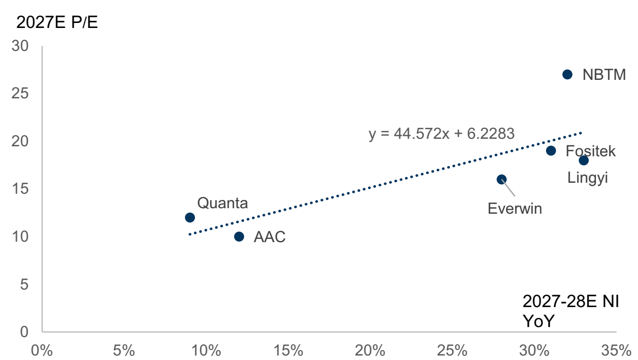
Valuation: We are Buy rated on SZS with a 12-month target price of NT$286 (vs. previously at NT$332) on lower earnings. Our TP is based on a 21x 2027E P/E (unchanged), which is derived from the sector correlation of 2027E P/E vs. 2027E-28E EPS YoY (peers unchanged), with SZS's 2027E-28E NI growth at 40% YoY. The 21x 2027E P/E is also within SZS's trading range since Aug 2019.

Exhibit 4: SZS P&L Summary

NT$ mn	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Income statement														
Revenue	10,068	13,327	10,723	20,508	28,240	33,290	2,806	2,940	2,650	2,328	2,353	2,631	4,570	10,953
Gross profit	1,805	2,462	1,496	3,636	5,581	6,620	450	417	361	268	336	258	879	2,164
OP income	895	1,252	167	1,771	3,457	4,123	159	92	(0)	(84)	(10)	(82)	532	1,331
Pretax income	1,163	1,875	537	2,109	3,810	4,472	279	(32)	181	109	43	43	608	1,415
Net income	807	1,359	318	1,476	2,667	3,131	215	(90)	116	77	30	62	426	990
EPS (NT$)	4.29	7.19	1.64	7.66	13.55	15.90	1.12	(0.46)	0.59	0.39	0.15	0.31	2.16	5.03
Ratios														
R&D to rev	3.1%	3.9%	5.8%	4.5%	3.5%	3.5%	4.4%	5.8%	5.9%	7.2%	6.8%	9.0%	3.5%	3.5%
Opex ratio	9.0%	9.1%	12.4%	9.1%	7.5%	7.5%	10.4%	11.1%	13.6%	15.1%	14.7%	12.9%	7.6%	7.6%
Tax rate	30.6%	27.5%	40.8%	30.0%	30.0%	30.0%	22.7%	-181.4%	36.2%	29.6%	30.0%	30.0%	30.0%	30.0%
Margins														
Gross margin	17.9%	18.5%	14.0%	17.7%	19.8%	19.9%	16.1%	14.2%	13.6%	11.5%	14.3%	9.8%	19.2%	19.8%
Operating margin	8.9%	9.4%	1.6%	8.6%	12.2%	12.4%	5.7%	3.1%	0.0%	-3.6%	-0.4%	-3.1%	11.6%	12.2%
Net margin	8.0%	10.2%	3.0%	7.2%	9.4%	9.4%	7.7%	-3.1%	4.4%	3.3%	1.3%	2.4%	9.3%	9.0%
YoY														
Revenue	-15%	32%	-20%	91%	38%	18%	-3%	-16%	-28%	-29%	-16%	-10%	72%	371%
Gross profit	-28%	36%	-39%	143%	53%	19%	-12%	-36%	-52%	-50%	-25%	-38%	144%	706%
OP income	-43%	40%	-87%	962%	95%	19%	-39%	-74%	na	na	na	na	na	na
Net income	-51%	68%	-77%	364%	81%	17%	-32%	na	-65%	-74%	-86%	na	267%	1188%
QoQ														
Revenue							-15%	5%	-10%	-12%	1%	12%	74%	140%
Gross profit							-17%	-7%	-14%	-26%	25%	-23%	241%	146%
OP income							-23%	-42%	-101%	na	na	695%	-751%	150%
Net income							-28%	-142%	na	-34%	-61%	109%	586%	133%

Source: Company data, Goldman Sachs Global Investment Research

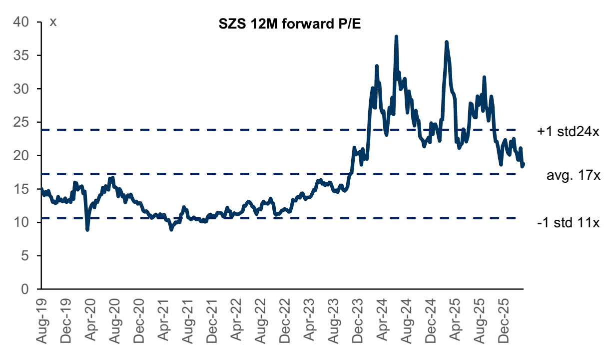
Exhibit 5: Target multiple is derived from peers correlation between P/E and NI YoY



Non-covered company data from Eikon

Source: Eikon Datastream, Company data, Goldman Sachs Global Investment Research

Exhibit 6: SZS 12m forward P/E



Source: Eikon Datastream

Exhibit 7: SZS QFII holdings

Source: TEJ

Price Target Risks and Methodology - SZS

Valuation: We use a near-term P/E vs. EPS growth correlation to derive our target price for SZS, consistent with our Taiwan Technology coverage. Our target 2027E P/E multiple of 21x for SZS is based on the sector correlation of 2027E P/E vs. 2027-28E earnings growth. We thus derive our 12-month target price at NT$286. We are Buy rated. **Key risks:** Weaker-than-expected headset hinges demand; slower-than-expected foldable phone penetration; potential competition from more suppliers; soft market demand.

3376.TW	12m Price Target: **NT$286.00**	Price: **NT$183.50**	Upside: **55.9%**

Buy

Market cap: NT$34.6bn / $1.1bn
Enterprise value: NT$32.6bn / $1.0bn
3m ADTV: NT$1.2bn / $39.1mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**10,723.1**	**20,507.5**	**28,239.5**	**33,290.4**
Revenue (NT$ mn) Old	10,723.1	23,657.9	32,726.3	38,153.2
EBITDA (NT$ mn)	730.8	2,444.3	4,104.0	4,728.4
EPS (NT$) New	**1.64**	**7.66**	**13.55**	**15.90**
EPS (NT$) Old	1.65	9.65	15.78	18.67
P/E (X)	132.7	24.0	13.5	11.5
P/B (X)	2.5	2.0	2.0	2.0
Dividend yield (%)	0.7	3.6	6.4	7.5
CROCI (%)	0.9	12.1	18.2	20.5

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	0.31	2.16	5.03	2.86

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Aug 2026 close.

Disclosure Appendix

Reg AC

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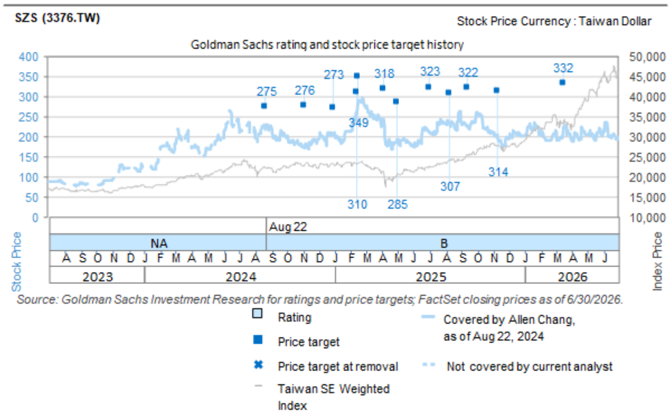
Price target and rating history chart(s)



Source: Goldman Sachs Investment Research for ratings and price targets; FactSet closing prices as of 6/30/2026.

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Target price history table(s)

SZS (3376.TW)

Date of report	Target price (NT$)	Closing price (NT$)
16-Mar-26	332.00	216.50
11-Nov-25	314.00	196.50
14-Sep-25	322.00	226.00
11-Aug-25	307.00	229.50
02-Jul-25	323.00	211.50
02-May-25	285.00	193.50
06-Apr-25	318.00	244.50
16-Feb-25	349.00	283.00
12-Feb-25	310.00	264.50
31-Dec-24	273.00	210.00
05-Nov-24	276.00	173.00
22-Aug-24	275.00	221.50

Price targets shown in table(s) are unadjusted for corporate actions.

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